BUSINESS MARKETING STRATEGY

Self-Instructional Manual

The Self-Instructional Manual (SIM) for Business Marketing Strategy (MBA6673) equips students with the conceptual frameworks, analytical tools, and strategic perspectives required to design and implement effective marketing strategies in international and digital business environments. The course bridges classical marketing theory with contemporary practice — covering global marketing environments, consumer behaviour, the marketing mix, innovation management, and market-entry strategy — with examples drawn from Sarawak, East Malaysia, and the broader ASEAN and global context.

MBA6673 | Major (Core) | Credit 3 | 120 hours SLT | Semester 1

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About This Manual

This manual comprises eight learning units covering the full spectrum of business marketing strategy: the global marketing environment and contemporary causes of globalisation; marketing micro- and macroenvironments including Hofstede's cultural dimensions; information systems and digital market research; international business, market segmentation, targeting, and positioning; the marketing mix strategy (4Ps/7Ps) including digital channels; innovation management in the global economy; strategy formulation and implementation; and strategies for analysing and entering global markets. Each unit includes learning outcomes, substantive content, Sarawak- and Malaysia-contextualised case studies, Self-Reflection prompts, Managerial Insights, Summary boxes, MCQs, Discussion Questions, and Online Learning Resources. Three assessed components — CA1 (Case Study), CA2 (Project-Based Assessment), and a Final Assignment — are mapped to CLOs with full four-level rubrics and AI academic integrity guidance.

About This Manual 2
PREFACE 5
COURSE INFORMATION 7
Course Synopsis 7
Assessment Structure 8
Assessment 9
HOW TO USE THIS MANUAL 9
LEARNING OUTCOMES 13
Overview of Marketing and Scope of Marketing 15
SUMMARY 24
SUMMARY 25
Questions for Discussion 27
REFERENCES 29
END OF TOPIC 30
LEARNING OUTCOMES 31
SUMMARY 40
SUMMARY 41
Questions for Discussion 43
REFERENCES 45
END OF TOPIC 46
LEARNING OUTCOMES 47
SUMMARY 54
SUMMARY 55
Questions for Discussion 58
REFERENCES 59
END OF TOPIC 60
LEARNING OUTCOMES 61
SUMMARY 70
SUMMARY 71
Questions for Discussion 74
REFERENCES 75
END OF TOPIC 77
LEARNING OUTCOMES 78

Summary 88
Questions for Discussion 91
END OF TOPIC 93
LEARNING OUTCOMES 94
Summary 102
Questions for Discussion 104
END OF TOPIC 107
LEARNING OUTCOMES 108
Summary 116
Questions for Discussion 118
END OF TOPIC 120
LEARNING OUTCOMES 121
Summary 130
Questions for Discussion 132
END OF TOPIC 134
REFERENCES 146
Assessment Overview 149
Assessment Overview 154
Assessment Overview 159

PREFACE

BUSINESS MARKETING STRATEGY

(MBA6673)

Welcome to MBA6673 Business Marketing Strategy. This module equips you with the strategic frameworks, analytical tools, and real-world marketing competencies required to develop, evaluate, and execute marketing strategies in both domestic and global business environments. Marketing is not simply advertising or promotions — it is the overarching discipline that connects an organisation to its customers, defines value propositions, guides resource allocation decisions, and ultimately determines competitive position in the marketplace.

Sarawak and East Malaysia as Your Marketing Laboratory: Sarawak provides an extraordinarily rich and diverse marketing environment that makes this module especially relevant for students studying at i-CATS University College. Sarawak is home to a multi-ethnic consumer base (Iban, Bidayuh, Melanau, Malay, Chinese, and Orang Ulu communities), a rapidly urbanising economy centred on Kuching, Miri, Sibu, and Bintulu, and a digital economy transformation driven by the Sarawak Digital Economy Corporation (SDEC). Local brands — from Old Town White Coffee to Sarawak Kek Lapis, from PETROS to Sarawak Tourism Board — each face real marketing strategy decisions: how to segment and target their markets, how to position against national and international competitors, how to leverage digital channels, and how to navigate Malaysia's complex regulatory environment. You will study these examples directly.

Why Marketing Strategy Matters for Managers: Marketing strategy is the engine of business growth. Three strategic capabilities define effective marketing managers. First, market analysis — understanding consumer behaviour, competitive dynamics, and environmental forces before committing resources to any marketing programme. Second, strategic positioning — making deliberate choices about which customer segments to serve, how to differentiate the firm's offering, and how to communicate value in ways that build lasting competitive advantage. Third, global marketing integration — as Malaysian businesses increasingly operate across ASEAN and beyond, understanding how to adapt marketing strategies for diverse cultural, economic, legal, and digital contexts is an essential MBA-level competency.

Examples and case studies in this SIM prioritise Sarawak first, then East Malaysia (Sabah and Sarawak), then Malaysia, and only then regional or global cases where necessary. This ensures marketing strategies are applied primarily to the real business and customer environments you operate in.

How This SIM is Structured: LU1 examines the global business marketing environment — the scope and core concepts of marketing, strategic planning, globalisation drivers, and the ethical and legal context. LU2 analyses the marketing environments (micro and macro) including cultural, economic, and political factors, with Hofstede's cultural typology applied to Malaysia. LU3 covers information systems and market research — MIS, big data, digital tools, and the global e-marketplace. LU4 examines international business, global market entry, consumer behaviour, and the STP (Segmentation, Targeting, Positioning) framework with Sarawak applications. LU5 through LU8, covered in a separate volume, address the Marketing Mix, Innovation Management, Strategy Implementation, and Strategies for Entering Global Markets.

A Note on Artificial Intelligence and Academic Integrity: AI tools such as ChatGPT, Copilot, and Gemini can be useful for initial research and concept clarification. However, submitting AI-generated analysis as your own work without disclosure constitutes academic misconduct under i-CATS University College's Academic Integrity Policy. The three assessments in this course — CA1 Case Study, CA2 Project-based Assessment, and the Final Assignment — require original strategic analysis applied to specific Sarawak, Malaysian, and global marketing scenarios. Marketing strategy is a practice discipline: it is learned by applying frameworks to real cases, debating strategic choices, and building the judgement that no AI can substitute. Use AI as a research assistant, not a strategic thinker.

We wish you a strategically rigorous and practically rewarding engagement with MBA6673. The marketing frameworks you master in this module will be among the most directly applicable skills of your entire MBA programme.

COURSE INFORMATION

Field	Details
Course Code	MBA6673
Course Title	Business Marketing Strategy
Credit Hours	3
Student Learning Time (SLT)	120 hours
Classification	Major (Core)
Semester	1 (Year 1, Semester 1)
Pre-requisite	None
Module Writer	Dr. Behrang (Hani) Parhizkar
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Institution	i-CATS University College, Kuching, Sarawak
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Course Synopsis

This course introduces the different strategies used by international companies, important criteria for their selection, and then examines the organizational structures that companies devise to suit their international operations. In addition, this course also explains how managers screen and research potential markets and sites for operations, identify the information required in the screening process and explain where managers can obtain such information for marketing and global business strategy.

Course Learning Outcomes (CLOs)

CLO	Statement	Bloom's Level	PLO	Teaching Method	Assessment Method
CLO1	Analyse the global business strategies that companies used to reach their customers.	C4	PLO1	Lecture / Assignment	CA1 Case Study
CLO2	Classify the key issues behind the marketing strategies selection that company used to reach their global customers.	C4	PLO2	Tutorial / Case Study	CA2 Project-based
CLO3	Evaluate marketing innovation and strategic elements for effective global market entry, using digital tools to support efficient decision-making and operations in a globalised environment.	A4	PLO6	Tutorial / Project-based	Final Assignment

MQF Alignment

CLO	MQF Domain	MQF Descriptor
CLO1	Knowledge — C1 + C2	MQF Level 7 — Analyse global business strategies and their application to reaching customers
CLO2	Digital Skills — C3D	MQF Level 7 — Classify marketing strategy selection criteria for global markets using digital competencies
CLO3	Application / Values — A4	MQF Level 7 — Evaluate marketing innovation and global entry strategies using digital decision-support tools

Assessment Structure

Assessment	Component	Weightage	CLO Assessed	SLT (hrs)
CA1	Case Study	35%	CLO1	25
CA2	Project-based Assessment	35%	CLO2	25
Final Assessment	Assignment	30%	CLO3	20
LU Independent Study	(LU1–LU8)	—	—	50
	GRAND TOTAL	100%		120 hrs

HOW TO USE THIS MANUAL

This Self-Instructional Material (SIM) is your primary learning resource for MBA6673 Business Marketing Strategy. It has been written for Open and Distance Learning (ODL), which means you are expected to study the content independently, at your own schedule, and come prepared for tutorials with strategic analyses, reflections, and questions already formed. Marketing strategy requires active engagement: reading alone is insufficient. You must apply frameworks to real companies, analyse case studies, and practise the analytical vocabulary of marketing — segmentation, targeting, positioning, value proposition, competitive advantage — to develop genuine strategic competence.

Feature	Description	How to Use It
Self-Reflection 📝	A prompt inviting you to connect marketing theory to your personal, professional, or Sarawak consumer experience.	Take 10–15 minutes to write a brief personal response before your next tutorial. These are not graded but build the applied strategic reasoning required for CA1 and CA2.

Managerial Insight 💡	A focused box highlighting a real Sarawak or Malaysian marketing application — often featuring Sarawak Tourism Board, Grab, Shopee, local F&B brands, or SDEC.	Read carefully — these examples mirror the type of analysis expected in CA1 Case Study and CA2 Project-based submissions. The Sarawak and Malaysian cases are especially examination-relevant.
Summary Box	A structured bullet summary of the key marketing strategy concepts covered in the Learning Unit.	Review before assessments. If any concept is unclear, return to the relevant subtopic. Use summaries to check your recall of frameworks — STP, 4Ps, Porter's Five Forces, Hofstede.
MCQs	Multiple Choice Questions testing conceptual understanding and applied marketing analysis.	Attempt all MCQs independently before checking answers. For applied questions, write a brief justification of your choice. Identify gaps and re-read the relevant subtopics.
Discussion Questions	Higher-order analytical questions aligned to the CLOs, suitable for tutorial discussions and reflective writing.	Prepare a structured response (250–400 words) before each tutorial. These directly mirror the style of CA1 and CA2 questions.
Diagram Note 📊	A textual description of a marketing framework or model diagram — axes, quadrants, labels, and interpretations.	Draw the diagram yourself from the description. Practise reproducing key frameworks (BCG Matrix, Ansoff Matrix, Porter's Five Forces, Hofstede's Dimensions) from memory.
Online Resources	Curated links to free or freemium videos, tools, and data sources that supplement the unit content.	Access at your own pace. Coursera and HubSpot Academy are especially useful for digital

		marketing competencies relevant to CLO3 and the Final Assignment.

Self-Paced Study Guidance: MBA6673 is a 3-credit course with 120 hours total SLT. Of these, 50 hours are allocated to the 8 Learning Units of independent study. The 14-week schedule below maps the LUs across the semester. Each week, you should read the assigned LU section, complete the Self-Reflection prompts, attempt the MCQs, and prepare one Discussion Question response. A disciplined 3–4 hour weekly study commitment will keep you on track for all three assessments.

Online Resources: Sarawak students have access to a rich set of free online marketing resources. The Sarawak Tourism Board website (sarawaktourism.com), MDEC (mdec.my), SDEC, and the Malaysian Communications and Multimedia Commission (MCMC) all publish data and reports relevant to this course. Google Analytics Academy and HubSpot Academy offer free certifications in digital marketing that directly complement LU3's digital market research content and CLO3's digital tools requirement.

14-WEEK COURSE SCHEDULE

The following schedule maps the 8 Learning Units across the 14-week semester, including assessment milestones and indicative Student Learning Time (SLT) allocations. Total LU study hours: 50 hours. Total assessment SLT: 70 hours (CA1: 25 hrs; CA2: 25 hrs; Final Assignment: 20 hrs). Grand total: 120 hours.

Week	LU	Topic	Ind. Study (hrs)	Assessment Milestones
1	LU1	Global Business Marketing Environment	3	—
2	LU1	Global Business Marketing Environment (cont.)	3	CA1 Case Study Introduced

3	LU2	The Marketing Environments	3	—
4	LU2	The Marketing Environments (cont.)	2	—
5	LU3	Information Systems and Market Research	3	—
6	LU3	Information Systems and Market Research (cont.)	2	CA1 Due (end of Week 6)
7	LU4	International Business & Consumer Behaviour	3	CA2 Project-based Introduced
8	LU4	International Business & Consumer Behaviour (cont.)	3	—
9	LU5	Marketing Mix Strategy	3	—
10	LU5 + LU6	Marketing Mix + Innovation Management	3	—
11	LU6	Innovation Management (cont.)	3	CA2 Due (end of Week 11)
12	LU7	Formulating and Implementing Strategy	4	Final Assessment Introduced
13	LU7 + LU8	Strategy Formulation + Global Market Entry	3	—
14	LU8	Strategies for Entering Global Markets	4	Final Assessment Due
	TOTAL		50 LU hrs + 70 Assessment hrs = 120 hrs	

Note: Tutorial hours and scheduled contact sessions are organised by your programme coordinator and are separate from the SLT hours listed above. Please refer to your official i-CATS University College timetable for tutorial session details. Students are encouraged to establish a regular weekly study routine from Week 1 — marketing strategy frameworks build cumulatively, and early familiarity with LU1 concepts (strategic planning, globalisation drivers) is essential for understanding the more advanced content in LU5–LU8.

TOPIC

1

GLOBAL BUSINESS MARKETING ENVIRONMENT

Module Writer: Dr. Behrang (Hani) Parhizkar

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Explain the scope and core concepts of marketing and their relevance to global business strategy**
- **Analyse market opportunities and describe the strategic marketing planning process**
- **Evaluate the contemporary drivers of globalisation and their implications for Malaysian and Sarawak businesses**
- **Identify ethical and legal dimensions of marketing activities in a global context**

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LO Learning Objectives

By the end of this topic you should be able to:

- **Explain the scope and core concepts of marketing** and their application in global and Sarawak business contexts.
- **Analyse opportunities in global markets** and develop a strategic marketing planning framework.
- **Evaluate the contemporary drivers of globalisation** and their impact on marketing strategy and practice.
- **Assess ethical and legal issues in international marketing** to ensure responsible global business conduct.

1.1 Overview of Marketing and Scope of Marketing

Marketing is one of the most expansive and strategically consequential disciplines in business. At its most fundamental, marketing is the process by which organisations create value for customers and build strong customer relationships in order to capture value from customers in return (Keegan & Green, 2025). This definition — derived from Kotler and Keller's widely accepted formulation — captures a critical insight: marketing is not a one-way persuasion exercise. It is a value exchange in which customers receive goods, services, information, and experiences that satisfy their needs, and in return, the organisation receives revenue, loyalty, and competitive positioning.

The scope of marketing has expanded dramatically over the past three decades. Where marketing was once primarily associated with advertising, sales promotions, and distribution logistics, it now encompasses brand strategy, customer experience design, digital channel management, data analytics, social media engagement, sustainability communications, and competitive intelligence. In a globally connected economy — where a Kuching-based SME can sell its products on Shopee to customers in Peninsular Malaysia and simultaneously reach global buyers through Alibaba — marketing strategy is inseparable from business strategy. Keegan and Green (2025) argue that the most successful global companies — Apple, Nike, Unilever, Samsung — achieve competitive advantage not primarily through production

efficiency but through superior marketing: understanding what customers value, building brands that create loyalty, and delivering consistent experiences across diverse global markets.

The Marketing Concept and Its Evolution

Marketing thinking has evolved through several distinct orientations over the 20th and 21st centuries. The production orientation (dominant pre-1950s) assumed that customers primarily wanted affordable, widely available products — the managerial focus was on efficient production. The sales orientation (1950s–1960s) shifted emphasis to aggressive selling and promotion, assuming customers needed to be persuaded to buy. The marketing orientation (1970s–present) represents a fundamental shift: the organisation starts with customer needs and builds products, services, and communications to satisfy them. The societal marketing orientation (1990s–present) extends this further, requiring firms to balance customer satisfaction with long-term societal wellbeing and sustainability. The holistic marketing orientation (2000s–present) integrates internal marketing (aligning employees), integrated marketing (consistent multi-channel communications), relationship marketing (building long-term customer and partner relationships), and performance marketing (measuring marketing ROI and brand equity). For Malaysian SMEs — including the growing number of Sarawak-based agri-food businesses, digital startups, and tourism operators — transitioning from a sales orientation to a genuine marketing orientation is often the single most important strategic improvement available.

Sarawak Case: Sarawak Kek Lapis — From Local Speciality to National Brand

Sarawak Kek Lapis (layered cake) provides an instructive example of a local product transitioning through marketing orientations. For generations, kek lapis was produced by home bakers in Kuching, primarily for Hari Raya and festive gifting — a pure production-orientation model where product availability, not strategic marketing, drove sales. As Kuching's tourism sector grew and food gifting became central to the Sarawak visitor economy, commercial kek lapis producers began adopting a marketing orientation: researching which flavours, packaging formats, and price points appealed to tourists, Japanese visitors, and Peninsular Malaysians. Today, brand-conscious producers such as Dayang Salhah and Kek Lapis Dayak have invested in distinctive packaging, Instagram-ready product presentations, and e-commerce channels including Shopee Malaysia — transitioning to a holistic marketing orientation. The result has been a substantial expansion of market reach from local Kuching customers to national and

international buyers, demonstrating the commercial value of moving beyond a production orientation to strategic marketing thinking.

1.2 Core Marketing Concepts

Six core concepts form the foundational vocabulary of marketing: needs, wants, and demands; market offerings; value and satisfaction; exchanges and relationships; markets; and customer value management. Mastery of these concepts enables managers to speak precisely about marketing phenomena and apply analytical frameworks with rigour. Keegan and Green (2025) note that one of the most common managerial errors in marketing is confusing needs with wants — mistaking what customers desire for what they fundamentally require — leading to product development misalignment and wasted marketing investment.

Needs, Wants, and Demands

Needs are the most basic human requirements — food, shelter, safety, belonging, and esteem. Abraham Maslow's hierarchy, while contested in contemporary psychology, remains a useful heuristic for marketing strategy: consumers in different income groups and life stages prioritise different levels of the need hierarchy in their purchasing decisions. Wants are the specific forms that needs take, shaped by culture, individual personality, and social environment. A rural Sarawakian consumer and a Kuala Lumpur executive may share the same need (reliable transportation) but express very different wants (a durable 4WD pickup truck versus a premium sedan, respectively). Demands are wants that are backed by purchasing power — not all wants translate into market demand. Marketing does not create needs (a common misconception); it shapes and channels wants, and stimulates demand by making offerings more accessible, visible, and desirable.

Value, Satisfaction, and Customer Delight

Customer value is the ratio of the perceived benefits a customer receives from a product or service to the total cost they incur (monetary, time, psychological, and relational costs). Customer satisfaction occurs when actual performance meets or exceeds expectations. Customer delight — a state of exceeding expectations in unexpected ways — is increasingly the strategic objective for premium brands. Hooley et al. (2024) argue that in competitive

markets, customer satisfaction is merely the entry ticket for continued participation — firms that merely satisfy customers are vulnerable to switching. The brands that achieve enduring competitive advantage are those that consistently deliver experiences that exceed expectations, building emotional loyalty that resists competitive encroachment. For Sarawak's tourism operators — competing against Peninsular Malaysia, Bali, and Thailand for both domestic and international visitors — delivering customer delight (not merely satisfaction) through culturally immersive, authentic Sarawak experiences is a sustainable competitive strategy.

Exchanges, Relationships, and Markets

An exchange is the act of obtaining a desired object from someone by offering something of value in return. The exchange concept is central to marketing: marketing activities are designed to facilitate exchanges that create value for both parties. Relationship marketing extends the exchange concept over time — rather than treating each transaction as an isolated event, relationship marketing seeks to build lasting bonds between the organisation and its customers, suppliers, channel partners, and other stakeholders. The concept of a market — any group of actual or potential buyers of a product or service — defines the relevant competitive arena for a marketing strategy. Markets can be defined by geography (the Sarawak market, the ASEAN market, the global market), by customer segment (the Bumiputera professional market, the millennial consumer market), or by product category (the Malaysian halal food market, the Southeast Asian e-commerce market). Precise market definition is the essential first step of any marketing strategy process, as it determines who you are trying to reach, who your competitors are, and what customer needs you must satisfy.

1.3 Analysing Market Opportunities and Strategic Marketing Planning

Analysing market opportunities is the analytical foundation of marketing strategy. Before committing resources to any marketing programme, managers must systematically assess the size, growth, attractiveness, and accessibility of the markets they are considering. Keegan and Green (2025) identify four key dimensions of market opportunity analysis: market potential (the maximum possible demand if all marketing efforts were maximised), market forecast (a realistic estimate of actual demand given planned marketing expenditure), market share (the

firm's portion of total market sales), and market penetration rate (the percentage of potential customers who have been converted to actual customers). Each dimension requires different data sources and analytical methods, which will be examined in detail in LU3.

The Strategic Marketing Planning Process

Strategic marketing planning is the systematic process by which an organisation establishes marketing objectives, assesses its competitive position, develops strategies to achieve those objectives, and allocates resources to execute those strategies. The process follows a logical sequence: (1) Mission and corporate objectives define the organisation's purpose and the performance targets that marketing must contribute to. (2) Situation analysis — typically using SWOT (Strengths, Weaknesses, Opportunities, Threats) and PESTEL (Political, Economic, Social, Technological, Environmental, Legal) frameworks — maps the internal capabilities and external environment. (3) Marketing objectives are set — specific, measurable, achievable, relevant, and time-bound (SMART) goals for market share, revenue, customer acquisition, or brand awareness. (4) Marketing strategy development involves the STP process: Segmentation (dividing the market into homogeneous groups), Targeting (selecting the segments most attractive for the firm), and Positioning (designing the marketing mix to create a distinct and desirable image in the target customer's mind). (5) Marketing mix decisions (the 4Ps: Product, Price, Place, Promotion) translate strategy into tactical programmes. (6) Implementation and control involves executing the marketing plan, monitoring performance against objectives, and adjusting as necessary.

Diagram Note — The Strategic Marketing Planning Process

Stage	Key Activities	Outputs
1. Mission & Objectives	Define organisational purpose; set corporate performance targets	Mission statement; financial and market objectives
2. Situation Analysis	SWOT analysis; PESTEL scan; competitor analysis; customer insight	SWOT matrix; environmental audit; competitive profile

3. Marketing Objectives	Translate corporate goals into marketing targets (market share, revenue, brand metrics)	SMART marketing objectives
4. STP Strategy	Market segmentation; target market selection; positioning strategy	Segment profiles; target market brief; positioning statement
5. Marketing Mix (4Ps)	Product, Price, Place, Promotion decisions	Marketing plan with tactical programmes
6. Implementation & Control	Resource allocation; execution; KPI monitoring; feedback and adjustment	Performance dashboards; corrective actions

Sarawak Case: Sarawak Tourism Board's Strategic Marketing Planning

The Sarawak Tourism Board (STB) — the state government agency responsible for marketing Sarawak as a tourism destination — provides a real-world example of the strategic marketing planning process operating at a destination level. STB's mission is to position Sarawak as a premier adventure, nature, and cultural destination in Southeast Asia, contributing to the state's economic diversification objectives under the Sarawak Post-COVID-19 Development Strategy 2030 (PCDS 2030). The situation analysis reveals clear strengths: Sarawak's biodiversity (Bako National Park, Mulu National Park — a UNESCO World Heritage Site, the Iban longhouse cultural experience), geographic accessibility from Singapore and Kuala Lumpur via AirAsia and MASwings, and relatively untouched natural environments versus over-touristed competitors like Bali. Key weaknesses include limited international air connectivity (no direct flights from most European or Northeast Asian cities), infrastructure gaps in rural ecotourism areas, and lower brand recognition compared to Bali or Chiang Mai in global tourism surveys. STB's target markets have evolved: from primarily domestic tourists (Peninsular Malaysians visiting during school holidays) to international segments including adventure travellers, eco-tourists, and cultural heritage visitors from Singapore, Hong Kong, Japan, and Australia.

1.4 Contemporary Causes of Globalisation and Global Marketing Integration

Globalisation — the integration of national economies through trade, investment, technology, information flows, and migration — has fundamentally transformed the competitive landscape for businesses of all sizes, including Sarawak's. Keegan and Green (2025) identify several contemporary drivers of globalisation that marketing managers must understand. These forces both create new market opportunities and intensify competitive threats, making strategic marketing planning in a global context qualitatively different from purely domestic marketing strategy.

Technology and Digital Platforms as Globalisation Drivers

Digital technology is the most powerful contemporary driver of globalisation. E-commerce platforms — Shopee, Lazada, Alibaba, Amazon — have eliminated geographic barriers to trade that once protected domestic markets from foreign competition. A small Kuching producer of Sarawak pineapple jam now competes on Shopee Malaysia not only with other Sarawak producers but with jam brands from Johor, Kuala Lumpur, and imported brands from Thailand and China, all on the same digital shelf. Social media platforms — Facebook, Instagram, TikTok — enable consumer brands to build global followings at minimal cost, but they also expose any brand to global competitive benchmarking. The Malaysia Digital Economy Corporation (MDEC) has reported that Malaysia's digital economy contributed approximately 23.2% of GDP in 2023, with e-commerce growing at approximately 14% annually. The Sarawak Digital Economy Corporation (SDEC) is driving digital adoption among Sarawak SMEs, providing grants and training to enable businesses to participate in the digital economy — directly lowering the barriers to market access that globalisation has created.

Post-COVID-19 Reshaping of Global Marketing

The COVID-19 pandemic (2020–2022) simultaneously disrupted global supply chains, accelerated digital adoption, and permanently altered consumer behaviour patterns in ways that profoundly affect global marketing strategy. Several structural changes are now well-established. First, the acceleration of e-commerce: Malaysian e-commerce penetration jumped from approximately 15% of retail sales pre-pandemic to over 24% by 2022, as consumers were

compelled to adopt online purchasing for the first time. Second, the growth of contactless and digital payment systems: GrabPay, Touch 'n Go eWallet, and Boost became mainstream in Sarawak during the pandemic, creating new digital marketing channels and consumer data streams. Third, the premiumisation of home consumption: with dining out restricted, Malaysian consumers invested in premium food and beverage products for home consumption, creating significant market opportunities for premium Sarawak food brands (artisanal Sarawak pepper products, specialty kek lapis, high-quality Sarawak coffee). Fourth, the reshoring and regionalisation of supply chains: many multinationals reduced their China-heavy supply chain exposure, creating ASEAN nearshoring opportunities that Malaysian manufacturers — including in Sarawak's industrial areas in Demak Laut and Bintulu — are positioned to capture.

Regional Trade Integration: ASEAN and RCEP

The Association of Southeast Asian Nations (ASEAN) Free Trade Area (AFTA) and the Regional Comprehensive Economic Partnership (RCEP) — the world's largest free trade agreement by GDP coverage, which came into force for Malaysia in January 2022 — have significantly altered the competitive dynamics facing Malaysian businesses. RCEP covers 15 countries (ASEAN plus China, Japan, South Korea, Australia, and New Zealand), representing approximately 30% of global GDP and 2.2 billion consumers. For Sarawak businesses, RCEP creates both opportunities and threats: export opportunities for Sarawak commodities, agri-food products, and manufactured goods in the vast RCEP market, but intensified import competition from lower-cost producers in Vietnam, Indonesia, and China. Marketing strategy in this context requires Malaysian firms to develop clearer competitive positioning — competing on quality, sustainability credentials, and brand differentiation rather than price, where they cannot compete with lower-cost ASEAN and Chinese producers.

1.5 Ethical Issues in Marketing and Law Impacting Marketing Activities

Ethical marketing practice and legal compliance are not optional constraints on marketing strategy — they are foundational to sustainable business performance and brand trust. Hooley et al. (2024) argue that firms that prioritise short-term sales gains through deceptive advertising, manipulative pricing, or misleading claims ultimately destroy the customer trust that is the

foundation of brand equity and long-term competitive advantage. Marketing ethics encompasses truth and accuracy in advertising, fairness in pricing, respect for consumer privacy, responsible data collection and use, environmental claims integrity, and fair treatment of vulnerable consumer groups including children.

Malaysian Legal Framework for Marketing

Several Malaysian laws directly regulate marketing activities. The Consumer Protection Act 1999 (CPA 1999) prohibits misleading and deceptive conduct in trade, false representations regarding goods and services, unfair contract terms, and pyramid selling. The Communications and Multimedia Act 1998 (CMA 1998), administered by the Malaysian Communications and Multimedia Commission (MCMC), governs digital communications, online content, and e-commerce activities — making it the primary legal framework for digital marketing in Malaysia. The Personal Data Protection Act 2010 (PDPA 2010) regulates the collection, processing, storage, and disclosure of personal data in commercial transactions — directly affecting how companies collect and use customer data for targeted marketing, email campaigns, and data analytics. Violations of PDPA 2010 can result in fines up to RM 500,000 or imprisonment of up to three years. The Trade Descriptions Act 2011 (TDA 2011) prohibits false trade descriptions applied to goods or services, directly affecting product labelling, packaging claims, and advertising. The Direct Sales and Anti-Pyramid Scheme Act 1993 regulates direct marketing, multi-level marketing, and e-commerce direct selling channels that are widely used by Malaysian and Sarawak consumer brands.

Digital Marketing Ethics and the PDPA in Practice

The Personal Data Protection Act 2010 has become increasingly relevant as Malaysian businesses shift marketing budgets toward digital channels that rely on personal data — email marketing, social media retargeting, programmatic advertising, and customer relationship management (CRM) systems. Under PDPA 2010, organisations must: obtain explicit consent from individuals before collecting personal data; inform data subjects of the purpose of data collection; not use personal data for purposes other than those specified; allow data subjects to access and correct their personal data; and protect personal data from unauthorised access, loss, or disclosure. For Sarawak businesses using platforms like Shopee, Lazada, or their own e-commerce websites, this means ensuring customer data collected during transactions (names, addresses, purchase histories, browsing patterns) is handled with appropriate consent, security,

and purpose limitation. The 2022 amendments to PDPA and the ongoing development of the MyDIGITAL framework signal that Malaysia's data protection regime will continue to tighten, aligning with the European GDPR standard and requiring ever-more-rigorous data governance practices from marketing professionals.

SUMMARY

Managerial Insight: SDEC and the Digital Marketing Opportunity for Sarawak SMEs

The Sarawak Digital Economy Corporation (SDEC) — established in 2018 under the Ministry of Digital Economy and Entrepreneurship — has committed to transforming Sarawak into a leading digital economy hub in Borneo. For Sarawak SMEs, the SDEC's initiatives (e-commerce adoption grants, Sarawak Digital Hub at Wisma Satok, digital marketing training programmes, and the SEDC-SDEC partnership for rural digital access) represent concrete marketing strategy opportunities. A kampung-based Sarawak pepper producer or a Miri-based traditional handicraft business that adopts e-commerce on Shopee, builds an Instagram presence, and implements basic search engine optimisation (SEO) can access a national and regional market that was previously only available to larger firms with physical retail distribution. SDEC data shows that Sarawak SMEs that adopted digital marketing channels during the COVID-19 period achieved average revenue recovery rates of 68% compared to 41% for non-digital SMEs — a powerful empirical argument for the marketing orientation transition discussed in this LU.

Self-Reflection

1. Think of a Sarawak product or brand you interact with regularly — it could be a food brand, a tourism operator, a retail shop, or a digital service. Using the marketing orientation concepts from this unit, assess: what marketing orientation does this organisation appear to operate from? What evidence supports your assessment? What one strategic change in marketing orientation would most improve their competitive position?

Self-Reflection

2. As globalisation intensifies through RCEP and digital platforms, small Sarawak businesses face both new market opportunities and new competitive threats. Identify one specific opportunity and one specific threat that RCEP and e-commerce globalisation present for a Sarawak SME in the food and beverage sector. What marketing strategy response would you recommend for each?

SUMMARY

Marketing is the process of creating value for customers and capturing value in return. It has evolved from production and sales orientations to a holistic marketing orientation integrating customer, societal, and performance dimensions.

Core marketing concepts — needs, wants, demands, value, satisfaction, exchanges, and markets — form the vocabulary required for precise strategic analysis. Sarawak Kek Lapis illustrates the commercial value of transitioning from a production to a marketing orientation.

The strategic marketing planning process follows six stages: mission and objectives; situation analysis (SWOT/PESTEL); marketing objectives; STP strategy; marketing mix (4Ps); and implementation and control. Each stage is essential — skipping situation analysis is a common cause of marketing strategy failure.

Contemporary globalisation drivers include digital platforms (Shopee, Lazada, social media), post-COVID-19 consumer behaviour shifts, and regional trade integration (ASEAN, RCEP). Malaysian digital economy contributes approximately 23.2% of GDP (MDEC, 2023).

SDEC is driving digital marketing adoption among Sarawak SMEs, with evidence that digitally enabled SMEs recovered from COVID-19 at significantly higher rates than non-digital peers.

Ethical marketing and legal compliance — CPA 1999, PDPA 2010, TDA 2011, CMA 1998 — are foundational to sustainable competitive advantage. PDPA 2010 is especially relevant for any marketing strategy using digital data collection and targeted advertising.

Multiple Choice Questions (MCQS):

1. Which marketing orientation starts with understanding customer needs before developing products?

A) Production orientation

B) Sales orientation

C) Marketing orientation — ANSWER

D) Product orientation

2. Customer value is best defined as:

A) The monetary price of a product

B) The ratio of perceived benefits to total costs incurred — ANSWER

C) The difference between revenue and expenses

D) The amount a customer is willing to spend

3. Which Malaysian law most directly governs the use of customer data in digital marketing campaigns?

A) Consumer Protection Act 1999

B) Trade Descriptions Act 2011

C) Personal Data Protection Act 2010 — ANSWER

D) Communications and Multimedia Act 1998

4. The STP process in marketing strategy stands for:

A) Strategy, Tactics, Planning

B) Segmentation, Targeting, Positioning — ANSWER

C) Sales, Technology, Promotion

D) Standardisation, Testing, Performance

5. Which of the following is a contemporary driver of globalisation for Sarawak SMEs?

A) Increasing tariff barriers in ASEAN

B) Declining internet penetration in rural Sarawak

C) E-commerce platforms enabling borderless trade — ANSWER

D) Reduction in smartphone adoption among Malaysian consumers

6. The Sarawak Tourism Board's marketing planning stage of identifying strengths, weaknesses, opportunities, and threats is known as:

A) Marketing mix analysis

B) PESTEL analysis

C) SWOT analysis — ANSWER

D) CLO mapping

7. Which ASEAN free trade agreement, effective for Malaysia from January 2022, covers the largest share of global GDP?

A) AFTA

B) CPTPP

C) RCEP — ANSWER

D) TPPA

8. According to Keegan and Green (2025), global companies achieve competitive advantage primarily through:

A) Lower production costs than competitors

B) Superior marketing — understanding value, building brands, delivering consistent experiences — ANSWER

C) Government subsidies and trade protection

D) Acquiring smaller competitors in target markets

MCQ Answers: 1-C, 2-B, 3-C, 4-B, 5-C, 6-C, 7-C, 8-B

Questions for Discussion

1. Using the strategic marketing planning framework (mission → SWOT → objectives → STP → 4Ps → control), analyse how the Sarawak Tourism Board might develop a marketing strategy to attract more international adventure tourists to Sarawak. Identify at least two specific target segments, one positioning statement, and two marketing mix implications. (CLO1)
2. Globalisation through RCEP and digital platforms creates both market opportunities and competitive threats for Sarawak SMEs in the food and beverage sector. Evaluate the opportunities and threats, and recommend a specific marketing strategy response that a mid-sized Sarawak pepper exporter could implement to compete effectively in the new globalised environment. (CLO1)
3. Identify a Malaysian brand (Sarawak or national) that you believe is currently operating from a sales orientation rather than a genuine marketing orientation. Present evidence for your assessment, explain what a marketing orientation transition would look like for this brand, and predict the competitive consequences of making (or failing to make) this transition. (CLO1)

Online Learning Resources

The following resources supplement your study of LU1. All are free or freemium.

Keegan & Green Global Marketing — Pearson Companion Website (Textbook resources, cases)

https://www.pearson.com/en-gb/subject-catalog/p/global-marketing/P200000004866

MDEC — Malaysia Digital Economy Corporation — Reports and Data (Free, Malaysian)

https://mdec.my/resources/publications

Sarawak Digital Economy Corporation (SDEC) — SME Digital Programmes

https://www.sdec.com.my

Coursera — Marketing Strategy Specialisation (Audit free, University of Virginia)

https://www.coursera.org/specializations/marketing-strategy

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END OF TOPIC

TOPIC

2

THE MARKETING ENVIRONMENTS

Module Writer: Dr. Behrang (Hani) Parhizkar

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Analyse the microenvironmental forces affecting a firm's marketing activities**
- **Evaluate the cultural, economic, and political macroenvironmental forces using frameworks including Hofstede's cultural typology**
- **Apply PESTEL analysis to the Malaysian and Sarawak marketing environments**
- **Identify the implications of international law and political risk for global marketing strategy**

INSPIRING MINDS, SHAPING FUTURE

LO Learning Objectives

By the end of this topic you should be able to:

- **Analyse microenvironmental factors** including competitors, customers, and suppliers, that shape marketing decisions.
- **Apply Hofstede's cultural typology** to assess cross-cultural consumer behaviour in global markets.
- **Evaluate macroeconomic and political environments** and their influence on international marketing strategy.
- **Assess the impact of international law** on market entry decisions and global marketing operations.

2.1 Microenvironments in Marketing

The marketing environment comprises all the forces that affect a firm's ability to serve its target customers. Environmental analysis is the prerequisite for strategic marketing planning: without a rigorous understanding of the forces acting on the firm, any marketing strategy is built on incomplete foundations. Marketing environments divide into two levels: the microenvironment (forces close to the company that directly affect its ability to serve its customers) and the macroenvironment (broader societal forces that affect the entire industry). This distinction is important for strategy: microenvironmental forces can often be managed or influenced through strategic relationships, while macroenvironmental forces typically must be adapted to rather than controlled.

The Company's Internal Environment

The firm's own internal environment is the first microenvironmental force. Marketing strategy cannot be formulated in isolation from the firm's financial resources, human capital, technological capabilities, brand equity, and organisational culture. A well-formulated marketing strategy that exceeds the firm's operational capacity to deliver — through distribution, customer service, product quality, or after-sales support — will fail in execution regardless of its strategic elegance. For Sarawak-based firms, the internal environment assessment must honestly address the scale and capability constraints facing smaller regional

businesses: limited marketing budgets, reliance on social media as the primary (often only) marketing channel, limited data analytics capacity, and dependence on informal word-of-mouth networks as the primary customer acquisition mechanism. These are not insurmountable constraints — they define the strategic context within which marketing resources must be deployed most efficiently.

Suppliers, Intermediaries, and Customers

Suppliers are organisations that provide the resources a company needs to produce its goods or services. Supplier reliability, pricing, quality standards, and relationships directly affect a firm's ability to deliver value to customers. In the context of Sarawak's agri-food sector, the supply chain for premium products — Sarawak pepper, sago, wild honey, pineapple — involves village-level smallholder farmers, collection agents, processing facilities, and quality certification bodies (such as the Sarawak Pepper Board and SIRIM). Disruptions at any point in this supply chain affect the marketing promise the downstream brand can make to its customers. Marketing intermediaries — distributors, wholesalers, retailers, logistics companies, and digital platform operators such as Shopee, Lazada, and GrabMart — are critical partners in delivering value to end customers. The choice of marketing intermediaries is a major strategic decision: selling through Shopee reaches millions of Malaysian consumers but also exposes the brand to platform dependency and competitive price wars, while selling through selected Sarawak Tourism Bureau gift shops positions the brand as a premium artisanal product but limits volume. The customer environment analysis requires understanding who the target customers are, what they value, how they make purchasing decisions, and how their needs are changing — the foundation of the STP process introduced in LU1.

Competitors and Publics

Competitors are a microenvironmental force that directly affects market share, pricing power, and strategic positioning. Competitor analysis — identifying who the key competitors are, what their capabilities are, what strategies they pursue, and where their vulnerabilities lie — is an essential input to marketing strategy. Hooley et al. (2024) recommend that competitive analysis extends beyond current direct competitors (firms offering the same product to the same customers) to include potential entrants, substitutes, and competitors that might expand into your market. For Sarawak's growing craft coffee scene, direct competitors are other specialty cafés (such as the dozens of artisanal coffee shops in Kuching's Old Town area — Bing Café,

Black Bean Coffee, Lepau Coffee). But the relevant competitive set also includes Starbucks and The Coffee Bean (which recently expanded in Kuching's retail malls), Malaysia-wide café chains (Zus Coffee, Gong Cha), and the home-brewing segment stimulated by the pandemic. Publics are any groups with actual or potential interest in, or impact on, a firm's marketing activities: government regulatory agencies (MCMC, SSM), media outlets, environmental groups, financial investors, and the general public. Managing relationships with key publics — particularly regulatory bodies and media — is an increasingly important marketing management competency.

2.2 Society, Culture, Global Consumer Culture, and Hofstede's Cultural Typology

Culture is one of the most powerful forces shaping consumer behaviour, communication preferences, and purchasing decisions across markets. For global marketing, understanding cultural differences is not optional — it is the foundational competency distinguishing locally effective marketing from globally strategic marketing. Keegan and Green (2025) define culture as the sum total of learned beliefs, values, customs, and practices that serve to regulate the behaviour of members of a particular society. Culture determines what products are considered appropriate, how prices are perceived (as signals of quality or exploitation), which communication appeals resonate (family, status, individualism, tradition), and what distribution channels consumers trust.

Hofstede's Cultural Dimensions Framework

Geert Hofstede's cultural dimensions theory — originally based on surveys of IBM employees across 72 countries and subsequently expanded — remains the most widely used quantitative framework for comparing national cultures and their marketing implications. Hofstede identified six dimensions: (1) Power Distance Index (PDI): the extent to which less powerful members of society accept unequal power distribution. High PDI cultures accept hierarchical authority; low PDI cultures expect consultation and equality. (2) Individualism vs Collectivism (IDV): the degree to which individuals are integrated into groups. Individualist cultures prioritise personal achievement; collectivist cultures prioritise group harmony and loyalty. (3) Masculinity vs Femininity (MAS): in masculine cultures, competitive achievement and success

are paramount; in feminine cultures, quality of life and care for the weak are more valued. (4) Uncertainty Avoidance Index (UAI): the extent to which members of a culture feel threatened by ambiguous or unknown situations, and seek to minimise uncertainty through rules and procedures. (5) Long-term vs Short-term Orientation (LTO): whether the culture is oriented toward future rewards (perseverance, adaptation) or present and past traditions. (6) Indulgence vs Restraint (IVR): the degree to which societies allow relatively free gratification of basic human drives, versus suppressing and regulating these through strict norms.

Hofstede's Dimensions Applied to Malaysia and Sarawak

Malaysia scores as one of the highest Power Distance countries globally (PDI = 100 on Hofstede's scale), reflecting a strong acceptance of hierarchical authority in both corporate and social settings. For marketing, this means: brand endorsements by authority figures (respected leaders, senior professionals, religious scholars) are highly effective; marketing communications that imply the brand is preferred by successful or high-status individuals resonate strongly; and B2B marketing in Malaysia requires navigating hierarchical procurement processes where senior decision-makers wield significant authority. Malaysia scores as a collectivist culture (IDV = 26), meaning family and group decisions significantly influence individual purchases — marketing campaigns that appeal to family wellbeing, community belonging, and shared identity consistently outperform individualist appeals (particularly relevant for housing, insurance, automotive, and food marketing). Malaysia scores moderately in Uncertainty Avoidance (UAI = 36) — somewhat tolerant of ambiguity — and moderately in Masculinity (MAS = 50), reflecting a balance between competitive achievement and quality of life values.

Sarawak's Multicultural Consumer Context

Sarawak's consumer market presents unique cultural complexity even within the Malaysian context. The Iban community — Sarawak's largest ethnic group — has strong collectivist orientations (gawai festival celebrations drive significant communal purchasing), traditional long-house social structures that influence community-level purchasing decisions, and growing urban migration to Kuching and Miri. The Chinese community in Sarawak (approximately 23% of the population) has historically strong merchant traditions, high price sensitivity and product quality consciousness, and significant influence on the food and beverage sector. The Malay community, primarily in coastal areas, represents the core halal consumer market for

food brands — Malaysia's halal certification by JAKIM is a marketing requirement, not merely a regulatory one. The Dayak community broadly (Iban, Bidayuh, Orang Ulu) represents a growing aspirational consumer segment as education levels rise, urban migration accelerates, and digital access improves. Marketing strategies in Sarawak that treat this multi-ethnic market as homogeneous will consistently underperform strategies that recognise and respond to these cultural distinctions through appropriate segmentation and culturally adapted messaging.

Diagram Note — Hofstede's Six Dimensions: Malaysia Profile

Dimension	Malaysia Score	Marketing Implication for Sarawak/Malaysia
Power Distance (PDI)	100 (Very High)	Authority endorsements, status-signalling brands, hierarchical B2B decisions
Individualism (IDV)	26 (Collectivist)	Family/group appeals, community identity, word-of-mouth through trusted networks
Masculinity (MAS)	50 (Balanced)	Mix of achievement and quality-of-life appeals; varies by target segment
Uncertainty Avoidance (UAI)	36 (Moderate)	Brand trust and quality assurance important; some openness to new products
Long-term Orientation (LTO)	41 (Moderate)	Mix of traditional values and pragmatic future orientation
Indulgence (IVR)	57 (Indulgent)	Leisure, food, and experiential consumption are valued; premium experiences resonate

2.3 Economic Environment and Economic Systems

The economic environment encompasses the macroeconomic conditions and structural characteristics of the economy that affect consumer purchasing power, business investment, and competitive dynamics. For marketing strategy, the key economic variables are: GDP growth (indicating overall market expansion or contraction), income distribution (determining which consumer segments can afford which products), inflation rates (affecting consumer price

sensitivity and purchasing power), interest rates (affecting consumer credit and investment), exchange rates (critical for any business engaged in import or export), and unemployment rates (affecting consumer confidence and discretionary spending). Keegan and Green (2025) note that economic environment analysis must go beyond headline GDP figures to understand structural income distribution — because a country with high GDP but extreme inequality presents very different marketing opportunities than one with moderate GDP and wide middle-class distribution.

Malaysia's Economic Environment for Marketing

Malaysia is an upper-middle-income economy (World Bank classification) with a GDP per capita of approximately USD 13,500 (2023), a growing middle class estimated at approximately 45% of households (Household Income Survey, DOSM 2022), and one of the highest smartphone penetration rates in Southeast Asia (approximately 82.7% as of 2024 — MCMC). These macro indicators translate directly into marketing strategy implications: the expanding middle class creates demand for aspirational consumption (premium food, experiences, personal care, education); high smartphone penetration makes digital marketing channels (social media, e-commerce, mobile apps) the primary marketing investment for consumer brands; and the government's 12th Malaysia Plan (2021–2025) emphasis on high-income economy transition supports growth in premium segments across healthcare, education, financial services, and tourism.

Economic Systems and Market Entry Implications

Economic systems determine who owns productive resources, how resources are allocated, and how prices are set — with profound implications for marketing strategy in international markets. Market economies (like Malaysia, Singapore, and most ASEAN countries) rely on price signals and private enterprise; command economies (like North Korea, Cuba) involve government control of production and distribution; and mixed economies blend market mechanisms with significant government intervention (China represents the most important current example — a market economy with extensive state ownership and government direction of key industries). For Malaysian and Sarawak businesses considering ASEAN market entry (Indonesia, Vietnam, Philippines, Thailand), understanding the economic system of each target country is essential: Vietnam's socialist market economy involves significant government influence over business licensing, distribution channels, and pricing; Indonesia's

economy involves complex regional regulatory variation and a dominant role for state-owned enterprises; Thailand's market economy is more open but involves strong protectionist sentiment in certain sectors.

2.4 Political Environment and International Law

The political environment encompasses government policies, political stability, regulatory frameworks, and the relationship between business and government in a given market. Political risk — the risk that political decisions, events, or conditions will negatively affect the profitability or viability of a business investment — is a critical consideration for any marketing strategy involving international market entry. Hill and Hult (2022) categorise political risk along two dimensions: macro political risk (affecting all firms in a country equally, such as nationalisations, regime change, civil conflict, or sweeping regulatory change) and micro political risk (affecting specific industries or firms, such as sector-specific regulations, licensing changes, or politically motivated procurement decisions).

Malaysian Political and Regulatory Environment

Malaysia's political system is a constitutional monarchy with a parliamentary democracy. The Barisan Nasional coalition dominated Malaysian politics from independence until 2018, when the Pakatan Harapan coalition achieved a historic electoral victory. Subsequent political transitions (2020: Perikatan Nasional government; 2022: Unity Government under Prime Minister Anwar Ibrahim) have resulted in periods of policy uncertainty, but Malaysia's fundamental economic policy orientation — open to foreign investment, committed to export-led growth, maintaining the Ringgit peg and positive current account — has remained broadly stable. The Companies Commission of Malaysia (SSM), the Malaysian Communications and Multimedia Commission (MCMC), the Ministry of Domestic Trade and Cost of Living (KPDN), and Bank Negara Malaysia (BNM) are the key regulatory bodies affecting marketing activities. For Sarawak specifically, the state government's distinctive constitutional position — including control over land, natural resources, and immigration — creates a regulatory environment that differs in important respects from Peninsular Malaysia, with implications for businesses operating across both territories.

ASEAN Political Risk for Marketing Strategy

ASEAN's ten member states present a diverse political risk landscape for Malaysian businesses expanding regionally. Singapore is a stable, rule-of-law jurisdiction with highly reliable regulatory frameworks and minimal political risk for foreign businesses — the ideal anchor for ASEAN headquarters and regional marketing operations. Thailand has experienced significant political instability (multiple coups, constitutions, and governments since 2006) but maintains a market-oriented economy open to foreign investment in most sectors. Indonesia, as the region's largest economy (approximately USD 1.36 trillion GDP in 2023), presents both the largest market opportunity and significant political risks including regional separatist tensions, resource nationalism (manifested in regulations requiring local ownership of mining and plantation assets), and a complex, decentralised regulatory system with significant provincial government authority. Vietnam and the Philippines both present growing middle-class consumer markets with significant marketing opportunities but require careful navigation of local partnership requirements, government procurement processes, and sector-specific regulations. For Sarawak businesses, the most relevant ASEAN market entry opportunities are in Kalimantan (Indonesian Borneo) — sharing a land border and Borneo cultural context — and Brunei, which is geographically proximate and economically affluent.

International Law and Marketing: Key Frameworks

International law affecting marketing strategy operates at several levels. Intellectual property law — patents, trademarks, copyright, and geographical indications — is critical for protecting brand assets in international markets. Malaysia's "Sarawak Pepper" and "Sarawak Layer Cake" (Kek Lapis Sarawak) have both received Geographical Indication (GI) status, protecting these Sarawak origin brands from imitation in Malaysia. However, GI protection in foreign markets requires separate registration under each country's IP law, or under international treaties such as the WIPO Madrid System for trademarks. Competition law and anti-dumping regulations are relevant for export marketing strategy: ASEAN's Competition Law framework prohibits anti-competitive agreements and abuse of dominant positions, and WTO anti-dumping rules prevent export pricing strategies that artificially undercut domestic competitors. Product standards and labelling regulations vary significantly across markets: food product labelling requirements differ between Malaysia (Halal certification under JAKIM), Singapore (Singapore Food Agency regulations), and the European Union (EU food labelling directives), requiring significant adaptation for cross-border food marketing strategies.

SUMMARY

Managerial Insight: Applying Hofstede to Grab's Marketing Strategy in Sarawak

Grab — Southeast Asia's leading super-app covering ride-hailing, food delivery (GrabFood), and digital payments (GrabPay) — provides an excellent example of culturally adapted marketing strategy in Malaysia. Grab's Malaysia marketing leverages Malaysia's collectivist culture (PDI = high, IDV = low) systematically: its referral reward programme (GrabRewards) is designed to tap collectivist word-of-mouth networks, encouraging users to refer friends and family in exchange for points redeemable for discounts. Grab's Raya campaigns (Hari Raya Aidilfitri) feature multi-generational family imagery, balik kampung (returning home for festivities) themes, and discounted GrabCar rates for festive travel — directly addressing the collectivist, family-centred consumer psychology that Hofstede predicts for Malaysian consumers. In Sarawak, Grab has further localised by incorporating Sarawak cultural themes in Gawai festival promotions, partnering with local Sarawak food hawkers on GrabFood to emphasise "local food, local pride" positioning, and adjusting pricing strategies to reflect Sarawak's lower average income levels relative to KL. This multi-level cultural adaptation — from national (Malaysian Raya) to state-level (Sarawak Gawai) — demonstrates the commercial value of Hofstede-informed marketing strategy.

Self-Reflection

1. Using Hofstede's six dimensions, analyse how a Malaysian FMCG brand (e.g., Gardenia, Milo Malaysia, or a Sarawak brand of your choice) has adapted its marketing communications to reflect Malaysian cultural values. Identify one specific advertisement or campaign that you believe reflects high Power Distance or Collectivism. What specific cultural signals are being deployed, and why do they resonate in the Malaysian consumer context?

Self-Reflection

2. A Sarawak-based food producer is considering entering the Indonesian market via e-commerce through Shopee Indonesia. Using the political

and economic environment analysis from this unit, identify the two most significant environmental risks they would face, and recommend one strategic action for each risk that could mitigate its impact on the marketing strategy.

SUMMARY

The marketing environment divides into microenvironment (company, suppliers, intermediaries, competitors, publics) and macroenvironment (cultural, economic, political, technological, environmental, legal forces).

Hofstede's six cultural dimensions — PDI, IDV, MAS, UAI, LTO, IVR — provide a quantitative framework for cross-cultural marketing analysis. Malaysia scores very high on Power Distance (100) and Collectivism (IDV = 26), with direct implications for communication strategy (authority endorsements, family appeals) and market segmentation.

Sarawak's multi-ethnic consumer market (Iban, Bidayuh, Malay, Chinese, Orang Ulu) requires culturally differentiated marketing approaches. Gawai celebrations, halal food requirements, and Chinese business traditions all create segment-specific marketing strategy considerations.

Malaysia's economic environment — upper-middle income, expanding middle class (~45% of households), 82.7% smartphone penetration — supports digital-first marketing strategies targeting aspirational consumption.

Political risk in ASEAN varies significantly: Singapore (low), Malaysia (moderate), Vietnam and Indonesia (higher), requiring country-specific risk assessment for regional market entry strategies.

International IP law (Geographical Indications for Sarawak Pepper, Kek Lapis Sarawak) and competition law (ASEAN Competition Framework, WTO anti-dumping rules) are the most strategically relevant legal frameworks for Sarawak export marketing.

Multiple Choice Questions (MCQS):

1. Malaysia's Hofstede Power Distance Index score of 100 implies that marketing strategies should:

A) Emphasise personal independence and anti-establishment messaging

B) Focus on egalitarian, consensus-based brand values

C) Use authority endorsements and status-signalling brand associations — ANSWER

D) Avoid celebrity endorsements

2. In Hofstede's framework, Malaysia's low Individualism score (IDV = 26) suggests that the most effective marketing appeals will emphasise:

A) Personal achievement and self-expression

B) Family and community belonging — ANSWER

C) Environmental sustainability

D) Individual financial independence

3. Which of the following is a microenvironmental force affecting a firm's marketing strategy?

A) National GDP growth rate

B) Inflation and interest rates

C) Marketing channel intermediaries — ANSWER

D) International trade agreements

4. The Geographical Indication (GI) status of "Sarawak Pepper" is most relevant to which area of international marketing law?

A) Competition law

B) Product liability law

C) Intellectual property protection — ANSWER

D) Trade sanctions

5. A Malaysian food company entering Vietnam encounters government requirements for local ownership of distribution companies. This is an example of:

A) Macro political risk

B) Micro political risk — ANSWER

C) Currency risk

D) Legal compliance with WTO rules

6. Which Malaysian regulatory body oversees communications and multimedia including digital marketing compliance?

A) SSM (Companies Commission of Malaysia)

B) KPDN (Ministry of Domestic Trade)

C) MCMC (Malaysian Communications and Multimedia Commission) — ANSWER

D) EPU (Economic Planning Unit)

7. Sarawak's multicultural consumer environment is best addressed through:

A) A single standardised marketing message for all ethnic groups

B) Culturally differentiated segmentation and messaging — ANSWER

C) Exclusively digital marketing channels

D) Price-only competition strategy

MCQ Answers: 1-C, 2-B, 3-C, 4-C, 5-B, 6-C, 7-B

Questions for Discussion

1. Using Hofstede's cultural dimensions framework, compare the marketing strategy implications for a Malaysian consumer brand expanding into Singapore (Confucian, high collectivism, high uncertainty avoidance) versus Indonesia (high PDI, high collectivism, high UAI). What specific adaptations in communication, pricing, and distribution would you recommend for each market? (CLO1)

2. Conduct a PESTEL analysis of the Sarawak tourism industry. For each dimension (Political, Economic, Social, Technological, Environmental, Legal), identify one specific factor and explain its positive or negative implication for the Sarawak Tourism Board's marketing strategy. Which dimension presents the greatest strategic challenge, and why? (CLO1)
3. A Kuching-based café chain is considering expanding to Kalimantan, Indonesia (across the Sarawak-Kalimantan border). Using the political environment and cultural analysis from this unit, identify the three most significant environmental challenges they would face and propose a market entry marketing strategy that addresses these challenges. (CLO1)

Online Learning Resources

The following resources supplement your study of LU2. All are free or freemium.

Hofstede Insights — Country Comparison Tool (Free, interactive cultural dimension scores)

https://www.hofstede-insights.com/country-comparison

MCMC — Malaysian Communications and Multimedia Commission (Free, Malaysian regulatory reports)

https://www.mcmc.gov.my

DOSM — Department of Statistics Malaysia — Consumer Survey Data (Free, Malaysian)

https://www.dosm.gov.my/v1/index.php

Hill & Hult International Business Online Resources — Companion Website

https://www.mheducation.com/highered/product/international-business-competing-global-marketplace-hill-hult/M9781260915297.html

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END OF TOPIC

TOPIC

3

INFORMATION SYSTEMS AND MARKET RESEARCH

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LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Explain the role of IT, MIS, and big data in supporting global marketing decisions**
- **Describe the breadth and scope of digital market research and the marketing research process**
- **Evaluate digital tools for social media analytics, consumer insight, and market intelligence**
- **Apply digital market research methods to Sarawak and Malaysian marketing contexts**

INSPIRING MINDS, SHAPING FUTURE

LO Learning Objectives

By the end of this topic you should be able to:

- **Explain the role of information technology, MIS, and big data** in supporting global marketing decisions.
- **Apply the marketing research process** to design and execute a business research study.
- **Evaluate digital and social media marketing tools** as sources of market intelligence and customer insight.
- **Analyse the digital revolution's impact** on market research methods and the global e-marketplace.

3.1 IT, MIS, and Big Data for Global Marketing

Marketing decisions have always required information — about customers, competitors, markets, and the broader environment. What has changed fundamentally in the 21st century is the volume, velocity, variety, and veracity of available data, and the sophistication of tools available to collect, analyse, and act on that data. Keegan and Green (2025) argue that the gap between firms with strong marketing information capabilities and those relying on intuition alone has widened dramatically in the digital era: a Malaysian SME with a well-configured Google Analytics account, a social media listening tool, and a basic CRM system has more real-time consumer insight than the largest retail corporations of the 1990s had available to them at any price.

Marketing Information Systems (MIS)

A Marketing Information System (MIS) is the organised set of procedures, people, equipment, and information technologies used to collect, analyse, store, and distribute marketing information to decision-makers on a planned, regular basis. A well-designed MIS has four components: (1) Internal records — data generated within the organisation through operations (sales transactions, customer inquiries, service records, Shopee/Lazada order history, CRM interactions). Internal records are often the most immediately actionable data source and are freely available. (2) Marketing intelligence — systematic programmes for gathering daily information about developments in the marketing environment (competitor monitoring, trade

publications, social media scanning, industry association reports). (3) Marketing research — the formal, systematic process of collecting specific primary or secondary data to address a defined marketing problem or opportunity (detailed in the next subtopic). (4) Decision Support Systems (DSS) — software tools that enable managers to query marketing data interactively, model scenarios, and generate reports for decision-making. Modern Business Intelligence (BI) platforms (Power BI, Tableau, Google Looker Studio) serve as the DSS layer in most commercial MIS architectures.

Big Data and its Marketing Applications

Big data refers to datasets that are characterised by volume (too large for conventional databases), velocity (generated in real time), variety (structured and unstructured, from multiple sources including text, images, video, location data, and sensor data), and veracity (requiring careful quality assessment). For marketing, big data sources include: social media streams (Facebook, Instagram, TikTok, Twitter/X user-generated content); e-commerce transaction logs (Shopee, Lazada, Grab purchase histories); search engine query data (Google Search Console, Google Trends); mobile location data (movement patterns, footfall to retail locations); payment data (Touch 'n Go eWallet transactions, credit card payment patterns); and customer loyalty programme data. Shopee Malaysia, for example, generates tens of millions of transaction records daily, enabling sophisticated personalisation algorithms that recommend products, personalise promotions, and predict consumer churn with remarkable accuracy. For marketers, the challenge is not data scarcity but data integration and interpretation — developing the analytical capabilities to turn big data into marketing insight.

Sarawak Case: SDEC and Big Data for Sarawak SMEs

The Sarawak Digital Economy Corporation (SDEC) has recognised that data analytics capability is a critical gap for most Sarawak SMEs. Through its Digital Marketing Accelerator programme and partnerships with Google Malaysia and Meta (Facebook/Instagram), SDEC has provided training in Google Analytics, Facebook Business Manager, and social media analytics to thousands of Sarawak business owners since 2020. A Kuching-based traditional Sarawak craft producer participating in the SDEC e-commerce programme can now access Google Analytics data showing: where their website visitors are geographically located (allowing them to discover, for example, that 40% of their website traffic originates from Singaporean visitors searching for "Sarawak handicrafts" and "Sarawak gifts"), which products

attract the most interest, how long visitors spend on each product page, and at what stage of the purchase journey they abandon the buying process. This kind of data, previously available only to large corporates, is now freely accessible to any Sarawak SME with a website and basic analytics literacy.

3.2 Sources of Market Information and the Digital Revolution in Marketing

Market information sources are categorised along two primary dimensions: primary versus secondary data, and internal versus external sources. Primary data is information collected for the specific research purpose at hand — it does not yet exist in any form and must be created. Secondary data is information that already exists and was collected for some other purpose (government statistics, trade association reports, academic research, commercial market research publications). External data comes from outside the organisation; internal data is generated within. The choice of data sources depends on research objectives, available budget, time constraints, and the level of specificity required.

Secondary Data Sources for Malaysian and Sarawak Markets

Freely available secondary data sources are an underutilised resource for Malaysian marketers. The Department of Statistics Malaysia (DOSM) publishes comprehensive population census data, household income surveys, retail trade statistics, and industry output data at both national and state (including Sarawak) levels — all freely downloadable from dosm.gov.my. Bank Negara Malaysia (BNM) publishes monthly economic and financial statistics, including consumer credit data and payment system transaction volumes. The Malaysian Communications and Multimedia Commission (MCMC) publishes annual Internet Users Surveys, which are invaluable for digital marketing strategy: data on social media platform usage rates by demographic segment, e-commerce adoption by region, and digital literacy levels across the Malaysian population. The Sarawak Economic Planning Unit (EPU Sarawak) publishes the Sarawak State Socioeconomic Report annually, providing Sarawak-specific data on income, employment, industry structure, and demographic trends. Internationally, the World Bank's Open Data Portal, the IMF Data Mapper, and the ASEAN Secretariat's statistics portal provide free cross-country comparative data essential for ASEAN market research.

The Digital Revolution and the Global E-Marketplace

The digital revolution has fundamentally changed the global e-marketplace in three ways that directly affect marketing strategy. First, the democratisation of market access: e-commerce platforms (Shopee, Lazada, Alibaba) have eliminated the need for physical retail infrastructure, allowing even the smallest Sarawak producer to sell nationally and internationally. Second, the collapse of information asymmetry: consumers can now compare prices, read independent reviews, and research competing products in seconds — eliminating the information advantages that sellers once enjoyed. Third, the emergence of platform-mediated markets: platforms like Shopee do not merely facilitate transactions, they actively shape market outcomes through search ranking algorithms, promotional mechanisms (Shopee Flash Deals, 11.11 campaigns), and seller performance ratings that determine visibility. Understanding platform dynamics — how to optimise for Shopee's search algorithm, how to leverage Lazada's affiliate programme, how to use GrabFood's in-app advertising — has become a core digital marketing competency for Malaysian consumer brands.

Digital and Social Media Marketing in Malaysia

Malaysia is one of the most socially connected populations in Southeast Asia. MCMC's 2023 Internet Users Survey reports that 87.9% of Malaysian internet users access social media daily, with Facebook (71.2% monthly active users), Instagram (56.7%), TikTok (54.8%), and YouTube (83.1%) dominating the platform landscape. For Sarawak-based marketers, TikTok and Instagram are particularly relevant: TikTok's short-form video format has proven highly effective for food, lifestyle, and experience-based marketing, with multiple Sarawak food brands (including Sarawak laksa product manufacturers and kek lapis producers) gaining national visibility through organic TikTok content at minimal cost. Instagram's visual format suits Sarawak's photogenic natural environments and food aesthetics — the Sarawak Tourism Board's Instagram account (@sarawaktourism) has built a substantial following through high-quality photography of Mulu caves, Iban longhouses, Kuching's waterfront, and Mount Santubong, driving organic interest in Sarawak as a destination without paid advertising. Facebook remains essential for reaching the 35+ demographic and for B2B marketing through Facebook Groups and Facebook Marketplace, which are extensively used by Sarawak traders for both local and cross-border commerce.

3.3 The Marketing Research Process and Digital Market Research

Marketing research is the systematic design, collection, analysis, and reporting of data and findings relevant to a specific marketing situation facing the company (Keegan & Green, 2025). It differs from marketing intelligence (which is continuous and non-specific) and from internal records analysis (which is retrospective and internal). Marketing research is typically project-based: it is initiated to address a specific, defined marketing problem or opportunity, conducted according to a rigorous research design, and produces actionable findings that inform a specific decision.

The Six-Stage Marketing Research Process

Stage	Activities	Example: Sarawak Tourism Research
1. Define the research problem and objectives	Clarify the management decision; specify the research question; define information needed	"What are the primary barriers preventing Singaporean tourists from visiting Sarawak?"
2. Develop the research plan	Choose data sources (primary/secondary); select research approaches (survey, focus group, observation, experiment); choose instruments (questionnaire, discussion guide); plan sampling	Online survey of 400 Singaporean adults aged 25–55; secondary review of STB visitor statistics
3. Collect information	Execute fieldwork; manage data quality; administer questionnaires; conduct interviews	Deploy survey via SurveyMonkey; analyse STB arrival data; conduct 8 focus groups with Singaporean travel enthusiasts in Singapore
4. Analyse information	Tabulate data; apply statistical methods (descriptive stats,	Key finding: price of flights (60%) and lack of awareness (45%) are

	regression, factor analysis); identify patterns and insights	primary barriers; not safety or attraction quality
5. Present findings	Prepare research report; present key findings and recommendations to decision-makers	STB Board presentation: recommend direct AirAsia Singapore–Kuching route campaign and targeted digital advertising in Singapore
6. Make decisions	Use research findings to inform marketing strategy	STB launches Kuching direct campaign in collaboration with AirAsia; targets Singaporean millennials via Instagram

Digital Market Research Tools

Digital technology has dramatically expanded the toolkit available for market research, reducing both cost and time-to-insight for researchers at all budget levels. Google Analytics provides detailed insights into website visitor behaviour — traffic sources, page engagement, conversion funnel analysis, and audience demographics. Google Trends reveals the relative search volume for keywords over time, enabling marketers to identify rising consumer interests, seasonal patterns, and geographic concentrations of demand. SEMrush and Ahrefs are professional SEO and competitive intelligence tools that reveal what keywords competitors are ranking for, what content drives traffic to competitor websites, and where advertising spend is being directed — enabling Malaysian SMEs to make data-informed SEO investment decisions. Social media analytics tools — Facebook Business Manager (Meta Business Suite), TikTok Business Centre, and Instagram Insights — provide platform-specific engagement data (reach, impressions, click-through rates, demographic breakdowns of followers). Social listening tools such as Brandwatch, Sprout Social, and the free Google Alerts enable brands to monitor consumer conversations about their brand and competitors across the internet, providing real-time consumer sentiment data.

Sarawak Case: Social Listening for Sarawak Food Brands

Social listening — the practice of monitoring digital conversations about a brand, product, or topic across social media platforms, review sites, and blogs — has become accessible to

Sarawak food brands at near-zero cost using free tools. A Sarawak laksa paste producer can use Google Alerts to monitor whenever their brand name appears in online content; can use Facebook's built-in page insights to understand which content generates the most engagement among their followers; can monitor Shopee product reviews to identify quality concerns or packaging issues that consumers raise; and can use Instagram's hashtag monitoring to track user-generated content mentioning #sarawaklaksa, #kuchingfood, and related hashtags — revealing consumer sentiment, usage occasions, and competitive comparisons. This data enables an evidence-based marketing response: if Shopee reviews consistently mention that packaging is not airtight enough for the laksa paste to remain fresh during shipping to Peninsular Malaysia, this is an actionable product improvement insight that would have previously required expensive consumer research to uncover.

SUMMARY

Managerial Insight: Shopee and Lazada Data as Market Research for Malaysian SMEs

Shopee Malaysia's Seller Centre provides registered sellers with a comprehensive suite of marketing intelligence tools at no additional cost. For a Sarawak food SME selling on Shopee, the Seller Centre dashboard provides: total sales volume and revenue by period; traffic data showing how many shoppers viewed product listings; conversion rates (the percentage of visitors who made a purchase); search keyword data revealing which terms shoppers used to find the product; and competitor pricing benchmarks within the same product category. These data streams, synthesised, provide a detailed picture of consumer demand, price sensitivity, and competitive positioning that would have cost tens of thousands of ringgit in traditional market research. Lazada Malaysia's equivalent Analytics Portal provides similar capabilities. For MBA6673 students with access to a family business or employer that sells on these platforms, running a live analysis of these data streams as part of the CA1 Case Study or CA2 Project represents an excellent opportunity to demonstrate real digital marketing research competency aligned directly to CLO2 and the C3D (Digital Skills) MQF requirement.

Self-Reflection

1. Think about your own digital behaviour as a consumer in Malaysia. Which social media platforms do you use most frequently? Which types of content influence your purchasing decisions most (product reviews, influencer posts, brand advertisements, friend recommendations)? How does your behaviour align with or differ from the MCMC survey data (Facebook 71.2%, TikTok 54.8%) presented in this unit? What implications does your own consumer behaviour have for Sarawak marketers targeting your demographic?

Self-Reflection

2. You are the marketing manager for a new Sarawak speciality coffee brand launching online. Design a basic digital market research plan: (a) identify two primary research methods you would use and why; (b) identify three free digital tools you would use for secondary/digital research; (c) specify the single most important question your research needs to answer before you launch your Instagram marketing campaign.

SUMMARY

A Marketing Information System (MIS) has four components: internal records, marketing intelligence, marketing research, and decision support systems. Modern BI platforms (Power BI, Google Looker Studio) serve as the DSS layer.

Big data (volume, velocity, variety, veracity) from social media, e-commerce transactions, and mobile location data provides rich marketing insight. Shopee Malaysia's Seller Centre Analytics is a freely available big data resource for Malaysian SMEs.

Secondary data sources including DOSM, BNM, MCMC, EPU Sarawak, and the World Bank Open Data Portal provide comprehensive free data for Malaysian and Sarawak market research.

Malaysia has one of the highest social media usage rates in ASEAN: 87.9% of internet users access social media daily; YouTube (83.1%), Facebook (71.2%), TikTok (54.8%), and Instagram (56.7%) dominate (MCMC, 2023).

The six-stage marketing research process: define problem → develop plan → collect data → analyse → present findings → make decisions. Digital tools (Google Analytics, SEMrush, Meta Business Suite, Google Trends) accelerate all stages.

Social listening tools enable Sarawak brands to monitor consumer sentiment, competitive comparisons, and usage occasions at near-zero cost — providing actionable market intelligence previously available only to large corporates.

Multiple Choice Questions (MCQS):

1. Which component of a Marketing Information System collects data specifically to address a defined marketing problem?

   A) Marketing intelligence

   B) Internal records

   C) Marketing research — ANSWER

   D) Decision support system

2. According to MCMC's 2023 Internet Users Survey, which platform has the highest Malaysian usage rate among those listed?

   A) Facebook (71.2%)

   B) Instagram (56.7%)

   C) YouTube (83.1%) — ANSWER

   D) TikTok (54.8%)

3. Big data is characterised by which set of dimensions?

   A) Validity, Variety, Value, Volume

   B) Volume, Velocity, Variety, Veracity — ANSWER

   C) Velocity, Visibility, Value, Viability

   D) Volume, Validity, Visibility, Velocity

4. A Sarawak food producer monitors consumer reviews on Shopee and Facebook comments about their brand. This activity is best described as:

A) Primary quantitative research

B) Internal records analysis

C) Social listening / digital market research — ANSWER

D) Competitor analysis only

5. Which free tool provides keyword search volume and trend data useful for Malaysian SEO and content marketing strategy?

A) SEMrush (paid)

B) Facebook Business Manager

C) Google Trends — ANSWER

D) Brandwatch

6. The first stage of the marketing research process is:

A) Collecting information

B) Defining the research problem and objectives — ANSWER

C) Selecting the research instrument

D) Presenting findings to management

7. Data from DOSM (Department of Statistics Malaysia) is categorised as:

A) Primary external data

B) Primary internal data

C) Secondary external data — ANSWER

D) Secondary internal data

8. The digital revolution has affected the e-marketplace primarily by:

A) Increasing information asymmetry in favour of sellers

B) Making physical retail infrastructure more important

C) Democratising market access and reducing information asymmetry — ANSWER

D) Limiting market reach to domestic consumers only

MCQ Answers: 1-C, 2-C, 3-B, 4-C, 5-C, 6-B, 7-C, 8-C

Questions for Discussion

1. Design a comprehensive marketing information system (MIS) for the Sarawak Tourism Board (STB). For each of the four MIS components (internal records, marketing intelligence, marketing research, decision support), specify: (a) the specific data you would include; (b) the technology or tool you would use; and (c) how the data would inform a specific STB marketing decision. (CLO1)
2. A Miri-based artisanal coffee brand is launching on Shopee Malaysia. Using the digital market research tools discussed in this unit (Google Trends, SEMrush/Google Search Console, Shopee Seller Analytics, social media analytics), design a four-step digital research plan to identify the optimal target market, pricing strategy, and launch campaign approach. Specify what data each tool would provide and how it would inform the marketing decision. (CLO1)
3. Social media has simultaneously made marketing research more accessible (free tools, real-time data) and more complex (data overload, platform algorithm changes, fake reviews). Evaluate both dimensions of this claim, using specific Malaysian and Sarawak examples, and recommend a practical social media research approach for a Sarawak SME with a monthly marketing budget of RM 1,000. (CLO1)

Online Learning Resources

The following resources supplement your study of LU3. All are free or freemium.

Google Analytics Academy — Free Certification Courses (Free, Google)

https://analytics.google.com/analytics/academy

HubSpot Academy — Digital Marketing Certification (Free, industry-recognised)

https://academy.hubspot.com/courses/digital-marketing

MCMC — Internet Users Survey Reports (Free, Malaysian digital statistics)

https://www.mcmc.gov.my/skmmgovmy/media/General/pdf/Internet-Users-Survey-2022.pdf

Google Trends — Malaysian Consumer Search Trend Analysis (Free)

https://trends.google.com/trends/?geo=MY

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END OF TOPIC

TOPIC

4

INTERNATIONAL BUSINESS, GLOBAL MARKETPLACE AND CONSUMER

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Apply the STP (Segmentation, Targeting, Positioning) framework to Malaysian and Sarawak marketing contexts**
- **Analyse the role of culture and management perspective in global marketplace decisions**
- **Evaluate consumer buying behaviour and the Consumer Decision-Making Process**
- **Assess global market environment dimensions (legal, political, technological) and their implications for target market selection**

INSPIRING MINDS, SHAPING FUTURE

LO Learning Objectives

By the end of this topic you should be able to:

- **Assess global market potential** using systematic frameworks for market screening and target market selection.
- **Apply STP (Segmentation, Targeting, Positioning) strategy** to enter and compete in international markets.
- **Analyse consumer buying behaviour and the decision-making process** to develop culturally responsive marketing strategies.
- **Evaluate strategies for building long-term customer relationships** in diverse global and Malaysian market environments.

4.1 Assessing Market Potential, Target Market Strategy, and the STP Framework

One of the most consequential decisions in marketing strategy is the selection of target markets — the specific groups of customers whose needs the firm will focus on satisfying. Attempting to serve all possible customers with a single undifferentiated offering is a strategy that typically results in mediocre performance across all segments rather than excellence in any. Keegan and Green (2025) argue that disciplined target market selection — choosing where you will compete and, equally importantly, where you will not — is the foundation of effective marketing resource allocation. The STP process (Segmentation, Targeting, Positioning) provides the systematic framework for this critical set of decisions.

Market Segmentation: Principles and Bases

Market segmentation is the process of dividing a total market into distinct subgroups of customers (segments) that share similar characteristics, needs, or behaviours, such that each segment can be targeted with a distinct marketing mix. Effective segmentation requires that segments are: (1) measurable — the size and purchasing power of the segment can be quantified; (2) substantial — large enough to justify a dedicated marketing strategy; (3) accessible — the segment can be effectively reached through marketing communications and

distribution channels; (4) differentiable — segment members respond differently from other segments to marketing mix changes; and (5) actionable — effective marketing programmes can be designed to attract and serve the segment. Segmentation bases for consumer markets are: demographic (age, income, gender, education, occupation, family life stage, ethnicity); geographic (country, region, urban/rural, climate); psychographic (lifestyle, values, personality, social class); and behavioural (purchase occasion, usage rate, brand loyalty, benefits sought, readiness stage).

Segmenting the Malaysian Market: Geographic and Demographic Considerations

Geographic segmentation is especially important for Malaysian marketers because of the significant economic, cultural, and demographic differences between Peninsular Malaysia and East Malaysia (Sarawak and Sabah). East Malaysia's consumer market differs from Peninsular Malaysia in income levels (East Malaysian average household income approximately 15–20% lower than the national average — DOSM 2022), urban/rural distribution (Sarawak has a significantly higher proportion of rural population, though this is changing rapidly with urban migration to Kuching and Miri), digital access patterns (4G coverage gaps in interior areas affect e-commerce and digital marketing reach), and cultural composition (the Dayak, Iban, and Melanau communities are unique to East Malaysia). Demographic segmentation for Malaysian markets should address: the Bumiputera market (comprising Malay and indigenous communities, approximately 69% of Malaysia's population, with specific halal food requirements, affirmative business programme access, and distinct cultural consumption patterns); the Chinese Malaysian market (approximately 23%, with distinct food, festival, and financial service preferences); and the Indian Malaysian market (approximately 7%, with significant disposable income concentration in professional segments and unique cultural celebration spending patterns). Age cohort segmentation reveals: Malaysian Generation Z (born 1997–2012) represents approximately 22% of the population, is digitally native, uses TikTok and Instagram as primary media, and has a strong preference for experiential over material consumption; Malaysian Millennials (born 1981–1996) are the current peak income earners and the primary target for mortgage, insurance, premium automotive, and lifestyle brands.

Targeting Strategy Options

Hooley et al. (2024) identify five targeting strategy options along a spectrum from mass coverage to hyper-focused niche: (1) Undifferentiated (mass) marketing — a single product and marketing programme targeting the entire market, ignoring segment differences. Appropriate only for truly undifferentiated commodities (generic salt, basic utilities). (2) Differentiated marketing — separate products and marketing programmes for two or more segments. Used by large FMCG companies with broad product portfolios (Unilever serving both mass-market and premium segments with different personal care brands). (3) Concentrated (niche) marketing — all marketing resources focused on a single, well-defined niche segment. Appropriate for firms with limited resources competing against larger players. (4) Micromarketing — highly customised products and marketing for very small segments or even individual customers (luxury bespoke brands, professional B2B services). (5) Global niche marketing — a concentrated strategy applied globally, serving the same niche segment across multiple national markets.

Concentrated Global Marketing and the Sarawak Tourism Example

Concentrated global marketing — selecting a single well-defined global niche segment and developing a deeply tailored marketing programme for that segment across multiple national markets — is a viable strategy for smaller organisations with distinctive offerings. The Sarawak Tourism Board exemplifies a concentrated global marketing approach in its recent strategy: rather than attempting to compete with Bali or Thailand for mass-market beach tourism (where Sarawak cannot compete on price, infrastructure, or recognition), STB has concentrated on the adventure eco-tourism segment globally — targeting experienced travellers with interest in biodiversity, indigenous culture, and off-the-beaten-path experiences. This segment, while smaller than mass tourism, is: growing rapidly (global ecotourism market growth approximately 14% annually); high-value (eco-tourists typically spend more per visit than mass tourists); aligned with Sarawak's genuine strengths (Mulu National Park, Kinabatangan/Danum Valley equivalent experiences, Iban longhouse cultural immersion); and concentrated in specific geographic markets (Singapore, Australia, Western Europe, Japan) accessible through targeted digital marketing and travel media partnerships.

4.2 Positioning Strategy

Positioning is the act of designing a company's offering and image so that they occupy a distinctive and valued place in the mind of the target customer (Hooley et al., 2024). Positioning is not what you do to a product — it is what you do to the mind of the prospect. A positioning strategy communicates: for whom the product is intended (target segment identification); what category the product belongs to (frame of reference); and what makes it better than the competition (point of difference). The classic positioning statement format is: "For [target segment], [Brand Name] is the [category frame of reference] that [point of difference] because [reason to believe]."

Positioning Map (Perceptual Map)

A positioning map (perceptual map) is a visual tool that plots brands within a product category on two key dimensions that matter to the target segment — typically quality vs price, or two performance/experiential attributes. Positioning maps reveal: where brands are currently positioned in the customer's perception; which positions are overcrowded (intense competition) or under-served (potential white spaces); and whether a brand's desired positioning is consistent with its actual market perception. For the Kuching café market, a positioning map with axes of "Premium quality / Affordable price" and "Local/Traditional / International/Modern" would reveal distinct clusters: Black Bean Coffee and Bing Café positioned as premium local-traditional (high quality, high price, strong local identity); Zus Coffee positioned as affordable-modern (competitive pricing, young modern brand); Old Town White Coffee positioned as affordable-traditional; and Starbucks as international-modern-premium. Identifying unoccupied positioning spaces — for example, a premium café that is simultaneously strongly identified as authentically Sarawakian and digitally modern — reveals potential positioning opportunities for new entrants.

Diagram Note — Positioning Map: Kuching Café Market

Diagram Description: A two-axis positioning map. Vertical axis: Price Positioning — top = Premium/High Price, bottom = Affordable/Value. Horizontal axis: Brand Identity — left = Local/Traditional Sarawak, right = International/Modern. Quadrant placements: Upper-Left (Premium-Local) — Black Bean Coffee, Bing Café (speciality Sarawak coffee, heritage positioning, higher prices, strong local community identity). Upper-Right (Premium-International) — Starbucks, The Coffee Bean (international premium chains, mall-based, aspirational global brand positioning). Lower-Right (Affordable-International) — Zus Coffee

(modern Malaysian chain, strong social media presence, competitive pricing). Lower-Left (Affordable-Local) — Old Town White Coffee, traditional coffee shops (kopitiam), Sarawak hawker coffee stalls. Unoccupied space: Centre-Right (Mid-Premium, balancing local and international identity) — represents a potential positioning opportunity for a new Sarawak speciality café brand that can combine authentic Sarawak ingredients with modern café experience and competitive pricing.

4.3 Consumer Buying Behaviour and the Consumer Decision-Making Process

Understanding how consumers make purchasing decisions is the empirical foundation of effective marketing strategy. Without deep insight into consumer motivation, information search behaviour, evaluation processes, and post-purchase responses, marketing strategies are built on assumptions rather than evidence. Consumer behaviour is influenced by cultural factors (values, subcultures, social class), social factors (reference groups, family, social roles and status), personal factors (age, occupation, economic circumstances, lifestyle, personality), and psychological factors (motivation, perception, learning, beliefs and attitudes). Each of these influence categories offers a potential point of leverage for marketing strategy: cultural alignment in brand messaging, social proof through reference group endorsements, life-stage targeting of relevant demographic segments, and psychological triggers in advertising design.

The Consumer Decision-Making Process: Five Stages

The classic five-stage Consumer Decision-Making Process (CDMP) model describes the sequential steps a consumer goes through in making a purchase: (1) Need Recognition — the consumer perceives a difference between their current state and a desired state, triggering the motivation to seek a solution. Need recognition can be triggered internally (hunger, discomfort) or externally (seeing an advertisement, a friend's recommendation, a social media post). For marketers, the strategic implication is that need recognition is the first point of intervention: content marketing and social media can be used to surface latent needs that consumers have not yet consciously identified. (2) Information Search — once a need is recognised, the consumer seeks information about how to satisfy it. Information sources include internal (memory of past experiences), personal (friends, family recommendations), commercial

(advertising, websites, packaging), public (consumer reports, social media reviews), and experiential (product trials). For Malaysian e-commerce marketers, this stage is increasingly dominated by Google search, Shopee product reviews, and social media recommendations — making SEO, content marketing, and review management critical marketing investments. (3) Evaluation of Alternatives — the consumer compares the features, prices, and benefits of competing options using a set of evaluative criteria. These criteria differ across segments and product categories: a premium car buyer may prioritise brand prestige, fuel efficiency, and after-sales service; a first-time smartphone buyer may prioritise camera quality, battery life, and price.

Decision Stage and Post-Purchase Behaviour

(4) Purchase Decision — having evaluated alternatives, the consumer makes a purchase decision. The purchase decision can be interrupted by two factors: the attitudes of others (a family member's objection can reverse a purchase decision in collectivist Malaysian culture, where family opinions carry significant weight — consistent with Hofstede's collectivism score for Malaysia) and unanticipated situational factors (the product is out of stock, the price has changed, or a competing promotion appears). For online marketers on Shopee and Lazada, reducing friction at the purchase stage — through clear product descriptions, genuine customer reviews, competitive pricing, and visible shipping guarantees — directly improves conversion rates. (5) Post-Purchase Behaviour — after the purchase, the consumer evaluates whether the product met, exceeded, or fell below expectations. Post-purchase dissonance (buyer's remorse, or cognitive dissonance) occurs when the consumer is uncertain whether they made the right choice — particularly common for high-involvement, expensive purchases. Marketers can reduce post-purchase dissonance through confirmation emails, satisfaction surveys, loyalty reward points, and excellent after-sales support. Satisfied customers become brand advocates, particularly powerful in Malaysia's collectivist culture where trusted personal recommendations drive significant consumer behaviour through WhatsApp family groups and Facebook community pages.

Consumer Behaviour in Malaysian E-Commerce: Shopee Dominance

Malaysia's e-commerce landscape provides a compelling case study in digital consumer behaviour. Shopee Malaysia has achieved dominant market position, regularly ranking as the most downloaded shopping app in Malaysia with over 20 million monthly active users. Several

consumer behaviour dynamics unique to the Malaysian e-commerce context are strategically relevant. First, social commerce integration: Malaysian consumers increasingly discover products through TikTok Shop and Instagram Shopping before completing purchases on Shopee or Lazada — the information search and evaluation stages have shifted entirely to social media, compressing the traditional CDMP timeline. Second, promotional event concentration: Malaysian e-commerce consumer behaviour is extremely responsive to platform mega-sale events (11.11, 12.12, Shopee Birthday Sale, Raya promotions) — a significant proportion of annual online spending is concentrated in these windows, requiring advance marketing investment to capture peak demand. Third, review dependency: Malaysian online shoppers show very high sensitivity to seller ratings and product reviews — Shopee sellers with fewer than 4.5-star ratings experience significantly lower conversion rates, making post-purchase customer satisfaction management directly commercially significant. Fourth, GrabPay and e-wallet adoption: the seamless integration of GrabPay, Touch 'n Go eWallet, and Boost into Shopee's checkout flow has reduced purchase friction for younger Malaysian consumers, contributing to higher impulse purchase rates among Gen Z and Millennials.

4.4 Global Market Environments and Building Relationships with the Right Customers

Global market entry decisions require assessment of three dimensions of the target market environment: legal, political, and technological. The legal environment determines: the validity and enforceability of contracts; the protection of intellectual property; the regulatory requirements for product standards, advertising, and data privacy; and the legal channels through which market entry is permitted (wholly owned subsidiaries, joint ventures, licensing, franchising, or direct export). The political environment has been analysed in LU2; the technological environment encompasses the digital infrastructure, e-commerce regulatory framework, and digital payment ecosystem of the target market. For Malaysian businesses entering ASEAN markets, technological environment assessment must address: mobile internet penetration and quality (high in Singapore and Malaysia; improving but variable in Indonesia and Vietnam; limited in Laos and Myanmar); mobile payment infrastructure (GrabPay and GoPay dominant in Southeast Asia; WeChat Pay dominant for Chinese tourist

segments); social media platform dominance (Facebook dominant in Southeast Asia; TikTok growing rapidly; LINE dominant in Thailand; Zalo in Vietnam).

Customer Lifetime Value and Relationship Marketing in Global Context

Building relationships with the right customers — rather than maximising short-term transaction volume with any customer — is a fundamental principle of strategic marketing (Hooley et al., 2024). Customer Lifetime Value (CLV) is the total net present value of the profits a firm expects to earn from a customer relationship over its entire duration. The CLV concept has profound strategic implications: it is often more profitable to invest heavily in acquiring and retaining a smaller number of high-value customers than to pursue mass market volume. For Sarawak's tourism sector, a high-CLV customer might be an Australian adventure traveller who visits Sarawak every two to three years (spending RM 5,000–8,000 per visit on accommodation, guides, and experiences), brings three friends on the next visit, and actively promotes Sarawak on social media to a network of 2,000 travel-enthusiast followers. The marketing investment to acquire, delight, and retain this customer is far more productive than investing the same amount in mass advertising to low-CLV day-trip tourists.

Role of Culture and Management from a Global Perspective

Cross-cultural management competency — the ability to understand, respect, and effectively navigate cultural differences in managing teams, negotiating with partners, and marketing to consumers — is a defining characteristic of globally effective marketing managers (Buckley et al., 2018). Three cultural management dimensions are especially relevant for Malaysian businesses operating in ASEAN. First, high-context vs low-context communication: Malaysian business culture (high-context) embeds significant meaning in non-verbal signals, relationship history, and indirect communication — contrasting with the lower-context communication styles of Australian, German, or American partners, who expect direct, explicit communication. Second, relationship-based vs contract-based business: Malaysian business relationships are built on personal trust developed over time (the concept of "guanxi" in Chinese Malaysian business culture, or "jaringan" in Malay business networks), while Western business partners rely primarily on contractual frameworks. Third, time orientation: Malaysian business culture is generally polychronic (multiple tasks and relationships managed simultaneously; flexible timekeeping) versus monochronic cultures (single-task focus, precise

scheduling) — affecting how meetings, negotiations, and project timelines are managed in multicultural business contexts.

SUMMARY

Managerial Insight: Sarawak Tourism Board's STP Strategy in Practice

The Sarawak Tourism Board's international marketing strategy illustrates the STP framework at a destination-marketing level. Segmentation: STB identifies six primary visitor segments: (1) Adventure eco-tourists (typically 28–45, high income, seeking authentic nature immersion); (2) Cultural heritage travellers (seeking authentic indigenous culture, longhouse experiences, tribal arts); (3) Family eco-holidaymakers (families with children seeking safe, educational nature experiences); (4) Business event delegates (MICE — Meetings, Incentives, Conferences, Exhibitions — visitors to Kuching Convention Centre); (5) Domestic leisure visitors (Peninsular Malaysians visiting family or seeking beach and nature holidays); (6) Diaspora visitors (Sarawakians living in KL and Peninsular Malaysia returning to visit family). Targeting: STB's primary international target is the Adventure eco-tourist segment from Singapore, Australia, UK, Germany, and Japan — high-value, growth-oriented, and aligned with Sarawak's genuine competitive strengths. Positioning: "Sarawak — Where Culture and Nature Unite: Experience the ancient rainforests, living traditions, and warm Sarawakian hospitality that only Borneo can offer." This positioning is consistently applied across STB's Instagram content, press trips for international travel journalists, and partnerships with adventure travel operators including G Adventures and Intrepid Travel. The strategic focus on a concentrated global niche — rather than attempting to compete across all tourism segments — has allowed STB to invest limited marketing resources where they generate maximum impact.

Self-Reflection

1. Apply the five-stage Consumer Decision-Making Process (CDMP) to a significant purchase you made in the past year — a smartphone, a university course, a major appliance, or a holiday. Trace each stage explicitly: what triggered the need? What information sources did you

consult? How did you evaluate alternatives? What factors influenced your final purchase decision? Did you experience post-purchase dissonance? What could the brand have done at each stage to improve your experience?

Self-Reflection

2. You are advising a new Sarawak-based halal food brand that wants to enter the Peninsular Malaysia market via Shopee. Using the STP framework: (a) identify three viable demographic/psychographic segments they could target; (b) select the most attractive segment and justify your targeting decision; (c) draft a positioning statement for the chosen segment. What specific elements of Malaysian consumer behaviour (from Section 4.3) are most relevant to your STP analysis?

SUMMARY

The STP framework — Segmentation, Targeting, Positioning — is the core analytical toolkit for global and domestic market strategy. Effective segments are measurable, substantial, accessible, differentiable, and actionable.

Malaysian market segmentation must address geographic differences (Peninsular vs East Malaysia), ethnic demographics (Bumiputera 69%, Chinese 23%, Indian 7%), and age cohort digital behaviour (Gen Z TikTok-native; Millennials peak income earners).

Positioning occupies a specific place in the target consumer's mind through a distinctive value proposition. Positioning maps visually reveal competitive positions and potential white-space opportunities (illustrated for Kuching's café market).

The five-stage Consumer Decision-Making Process (CDMP): Need Recognition → Information Search → Evaluation of Alternatives → Purchase Decision → Post-Purchase Behaviour. Each stage represents a distinct marketing intervention point.

Malaysian e-commerce consumer behaviour is shaped by Shopee dominance, social commerce integration (TikTok Shop), promotional event concentration (11.11, 12.12), review dependency, and e-wallet adoption (GrabPay, TNG). These dynamics directly affect marketing strategy on e-commerce platforms.

Customer Lifetime Value (CLV) and relationship marketing — investing in high-value, long-term customer relationships — is more profitable than volume-driven mass marketing. The Sarawak Tourism Board's adventure eco-tourist targeting exemplifies CLV-driven concentrated global marketing.

Multiple Choice Questions (MCQS):

1. The Sarawak Tourism Board's focus on the global adventure eco-tourism niche rather than mass tourism is an example of:

A) Undifferentiated marketing

B) Concentrated (niche) global marketing — ANSWER

C) Micromarketing

D) Differentiated marketing

2. Which of the following is NOT one of the five criteria for effective market segmentation?

A) Measurable

B) Accessible

C) Profitable — ANSWER

D) Differentiable

3. A positioning map (perceptual map) is used to:

A) Calculate Customer Lifetime Value

B) Visualise brand positions on key consumer dimensions — ANSWER

C) Map the distribution channel from manufacturer to customer

D) Plot the marketing research process stages

4. In Malaysia's collectivist culture, which stage of the Consumer Decision-Making Process is most influenced by family and peer opinions?

A) Need recognition

B) Information search

C) Purchase decision (influenced by attitudes of others) — ANSWER

D) Post-purchase behaviour

5. Customer Lifetime Value (CLV) encourages marketers to:

A) Maximise short-term transaction volume

B) Invest in acquiring and retaining high-value, long-term customers — ANSWER

C) Target the largest demographic segment regardless of profitability

D) Focus exclusively on new customer acquisition

6. Malaysian Generation Z consumers (born 1997–2012) are best characterised by:

A) Preference for traditional print advertising and in-store shopping

B) High sensitivity to television advertising

C) Digital nativity, TikTok and Instagram as primary media, experiential consumption preference — ANSWER

D) Low smartphone penetration and limited e-commerce adoption

7. The concept of "guanxi" in Chinese Malaysian business culture most directly affects which aspect of global marketing management?

A) Product development strategy

B) Pricing strategy for premium segments

C) Relationship-based business development and market entry — ANSWER

D) Digital advertising campaign design

8. Malaysian Shopee consumers' very high sensitivity to seller ratings and product reviews during purchase decisions reflects which stage of the CDMP?

A) Need recognition

B) Evaluation of alternatives — ANSWER

C) Post-purchase behaviour

D) Purchase decision (unanticipated situational factors)

MCQ Answers: 1-B, 2-C, 3-B, 4-C, 5-B, 6-C, 7-C, 8-B

Questions for Discussion

1. A Sarawak-based halal artisanal food company (producing premium Sarawak pepper sauces, natural honey, and dried fruit products) wants to expand beyond Sarawak to the national Malaysian market and eventually to Singapore. Apply the full STP framework: (a) identify and profile at least three viable market segments using demographic, geographic, and psychographic variables; (b) evaluate each segment and recommend the primary target market with justification; (c) develop a positioning statement; (d) identify one key insight from Malaysian consumer behaviour (Section 4.3) that would directly affect the marketing campaign design. (CLO2)
2. Using the Consumer Decision-Making Process (CDMP) model, analyse how the shift toward social commerce (TikTok Shop, Instagram Shopping) has disrupted the traditional five-stage process for Malaysian Gen Z consumers purchasing fashion and beauty products online. Which stages have been most compressed or transformed? What are the specific marketing strategy implications for a Sarawak-based online fashion brand? (CLO2)
3. Evaluate the strategic logic of the Sarawak Tourism Board's concentrated global marketing approach (targeting adventure eco-tourists from Singapore, Australia, UK, and Japan). Using the targeting strategy options discussed in Section 4.1, assess whether concentrated global marketing is the optimal strategy for STB, or whether differentiated marketing across multiple segments (ecotourism + MICE + domestic leisure) would generate superior results. Support your evaluation with specific evidence from the cultural, economic, and consumer behaviour analysis in LU2, LU3, and LU4. (CLO2)

Online Learning Resources

The following resources supplement your study of LU4. All are free or freemium.

Sarawak Tourism Board — Official Tourism Website and Digital Resources

https://sarawaktourism.com

Shopee Malaysia Seller Centre — Analytics and Market Intelligence (Free for registered sellers)

https://seller.shopee.com.my

Coursera — Consumer Behaviour and Marketing Strategy (Audit free, Duke University)

https://www.coursera.org/learn/understanding-customer

Buckley, Enderwick & Cross — International Business (4th ed.) Companion Resources, OUP

https://global.oup.com/ukhe/product/international-business-9780198722595

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END OF TOPIC

TOPIC

5

MARKETING MIX STRATEGY

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LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Explain product and branding decisions within global and local marketing contexts**
- **Analyse pricing strategies and their application in competitive Malaysian markets**
- **Evaluate distribution channel choices and promotional mix strategies**
- **Apply marketing mix decisions to real Malaysian and Sarawak business scenarios**

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LO Learning Objectives

By the end of this topic you should be able to:

- **Design product and branding strategies** aligned to the needs of global and local customer segments.
- **Apply pricing strategies** appropriate for competitive global markets and Malaysian consumer contexts.
- **Evaluate marketing channel options and physical distribution strategies** for efficient global market coverage.
- **Develop integrated marketing communication plans** using digital and traditional promotional mix elements.

5.1 Product and Branding Decisions

The product element of the marketing mix is the foundation upon which all other strategic decisions rest. A product encompasses not merely its physical characteristics but a comprehensive bundle of tangible and intangible attributes — quality, design, features, branding, packaging, warranties, and after-sales services — that customers perceive as delivering value (Keegan & Green, 2025). In the global marketing context, firms must decide whether to standardise their products across markets or adapt them to local preferences, regulatory requirements, and cultural norms. This "standardise vs adapt" tension is one of the central strategic debates in international marketing management.

Product strategy operates at three distinct levels. The core product addresses the fundamental need the product satisfies — for example, a mobile phone's core benefit is communication. The actual product encompasses the physical design, quality, features, brand name, and packaging. The augmented product includes additional services that surround the actual product — warranties, after-sales service, installation, and customer training. Kotler and Keller (2022) note that in mature markets, where physical product differentiation is minimal, competitive advantage increasingly resides at the augmented product level: superior service, faster delivery, and stronger customer support.

Sarawak Pepper Marketing Board — Branding Local Commodities

An instructive Malaysian example of product and branding strategy is the Sarawak Pepper Marketing Board (SPMB), which has worked to transform Sarawak pepper from an undifferentiated commodity into a branded premium product. Sarawak produces approximately 27,000 tonnes of pepper annually, representing about 1% of global supply. However, Sarawak white and black pepper carry a Geographical Indication (GI) certification — the first Malaysian agricultural product to receive this recognition — which links the product's quality and reputation to its geographic origin, analogous to Champagne (France) or Parmesan (Italy). The SPMB's branding strategy positions "Sarawak Pepper" as a premium, traceable, and sustainably produced spice for export to Japan, the United States, and European specialty food markets, enabling it to command price premiums of 20–40% over generic pepper.

Kolo Mee and Kek Lapis Sarawak — Local Brand Identity

Within Sarawak's food and beverage sector, culinary products such as Kolo Mee (a distinctive Kuching-style dry noodle) and Kek Lapis Sarawak (the elaborate layered cake that has become a regional cultural icon) demonstrate the power of local brand identity. Local café operators and artisanal bakers have leveraged social media — particularly Instagram and TikTok — to build brand awareness for these uniquely Sarawakian products. Several Kuching-based Kolo Mee brands have extended their reach through Shopee and Lazada by offering instant Kolo Mee kits, transforming a dine-in product into an e-commerce proposition. These examples illustrate product extension strategy: adapting the core product for new consumption occasions and channels.

Global Branding Strategy

For multinational corporations entering Malaysia, brand standardisation decisions are critical. International brands such as McDonald's, Samsung, and L'Oréal maintain globally consistent brand identities while adapting product offerings for local tastes — McDonald's Malaysia offers nasi lemak burgers and Chicken McDeluxe variants tailored to Malaysian palates, while maintaining the golden arches brand architecture globally. Hooley et al. (2024) identify brand equity — the value premium a brand commands above an unbranded equivalent — as a critical

intangible asset that must be carefully built, protected, and leveraged in global market expansion.

5.2 New Product Development Process

New product development (NPD) is the lifeblood of sustained competitive advantage. In the global marketing context, NPD processes must balance the need for speed to market — given shortening product life cycles — with thorough market research, technical development, and commercial validation (Keegan & Green, 2025). The classical NPD process comprises eight stages: (1) Idea Generation, (2) Idea Screening, (3) Concept Development and Testing, (4) Marketing Strategy Development, (5) Business Analysis, (6) Product Development, (7) Test Marketing, and (8) Commercialisation. While this sequential model provides a useful framework, modern firms increasingly use parallel or concurrent development processes — simultaneously advancing multiple stages to compress development timelines.

Stage 1 — Idea Generation draws from multiple sources: customer feedback and unmet needs research, competitive intelligence (reverse engineering competitor products), internal R&D, supplier innovations, and increasingly, crowdsourcing and open innovation platforms. In the Malaysian context, Grab's product innovation — from its original ride-hailing service to GrabFood, GrabPay, GrabMart, and its expanded financial services suite — illustrates how continuous idea generation, fuelled by rich customer usage data and user feedback, can drive platform ecosystem expansion.

Stage 3, Concept Development and Testing, involves translating promising ideas into detailed product concepts that can be evaluated by target customers. Digital tools have transformed this stage: Malaysian FMCG brands routinely use online survey platforms (Google Forms, SurveyMonkey), social media polls, and concept testing through Meta Ads (showing varying product concept visuals to target demographic cohorts and measuring click-through rates) to rapidly test concepts before committing significant development resources.

Test Marketing — Stage 7 — involves limited launch in representative geographic areas or customer segments. In Malaysia, TikTok Shop and Shopee's "flash sale" mechanics function as effective test marketing vehicles: a new product can be listed on Shopee with a promotional launch campaign, and sales data, conversion rates, and customer reviews collected within 7–14 days provide robust commercialisation indicators before national distribution roll-out. This agile approach to NPD is particularly valuable for Malaysian SMEs with limited capital for traditional test marketing.

5.3 Product Life Cycle (PLC) and Strategic Implications

The Product Life Cycle (PLC) model describes the trajectory of a product's sales and profitability from market introduction through growth, maturity, and eventual decline. Understanding where a product sits within its life cycle is fundamental to making appropriate marketing mix decisions — the strategies that generate growth in the introduction phase are radically different from those that sustain margins in the maturity phase or manage decline (Kotler & Keller, 2022).

Diagram Note

Diagram Note: Product Life Cycle — Four Stages

Visualise the PLC as a horizontal time axis (X) against a vertical Sales/Profit axis (Y). Four clearly demarcated stages: [1] INTRODUCTION — slow sales growth (innovators adopting); profit negative (high launch costs); limited competition; marketing spend heavy on awareness. [2] GROWTH — rapid sales increase; profits rise sharply; competition enters; focus on brand preference, channel expansion. [3] MATURITY — sales plateau; maximum profits; intense competition; strategy shifts to market share defence, product modifications, price competition. [4] DECLINE — sales and profits fall; weak products exit; survivors focus on loyal niches or harvest cash. Malaysian example: Feature phones (Nokia) followed classic PLC — now in extreme decline replaced by smartphones (currently in late Maturity in Malaysia). TikTok Shop in Malaysia (Growth stage, 2023–2025).

In the Introduction stage, marketing objectives centre on building product awareness and stimulating trial. Promotional spending as a percentage of revenue is highest here, as the firm must educate consumers about the product's existence and benefits. Pricing strategy in introduction involves a fundamental choice: skim pricing (high initial price targeting early adopters who value novelty and are price-inelastic) versus penetration pricing (low initial price to rapidly build market share). Apple's iPhone launches exemplify skim pricing; Xiaomi's entry into Malaysia exemplified penetration pricing.

In the Maturity stage — where most established Malaysian FMCG products reside — the principal strategic challenge is sustaining differentiation and resisting commoditisation. Strategies available include: market modification (finding new uses or users for the product), product modification (quality improvements, feature additions, style changes), and marketing mix modification (new pricing tiers, new channels, updated promotional campaigns). Malaysian dairy brand Dutch Lady has successfully navigated product maturity through continuous product line extensions — launching low-fat, UHT, and fortified variants — while investing in digital storytelling campaigns targeting millennial parents on Instagram.

5.4 Strategies for Pricing in Global and Malaysian Markets

Pricing is simultaneously the most powerful and most complex element of the marketing mix. Unlike product development, distribution, or advertising — which require significant time and investment to change — price can be adjusted rapidly, making it a primary instrument for competitive response. Yet pricing decisions have immediate and direct implications for revenue, profitability, and brand positioning (Keegan & Green, 2025). In global marketing, firms must navigate additional pricing complexities: varying competitive conditions across markets, fluctuating exchange rates, government price controls, parallel import risks (grey markets), and the price-brand equity trade-off in emerging markets.

Pricing strategy rests on three foundational inputs, known as the "3 Cs" of pricing: (1) Cost — the minimum price floor (the firm must at least cover variable costs in the short run and total costs in the long run); (2) Competitors — the external price benchmarks that shape customer

price expectations and competitive positioning; (3) Customers — the perceived value customers place on the product, which sets the theoretical price ceiling. Value-based pricing — anchoring price to perceived customer value rather than cost — generates the highest margins when customer value perception is high and differentiation is strong.

Malaysian Pricing Context: Subsidies, Price Sensitivity, and Digital Price Transparency

Malaysia's pricing environment has several distinctive features. Price sensitivity among Malaysian consumers is high compared to developed markets — a Nielsen Malaysia study found that 71% of Malaysian shoppers actively compare prices before purchase, driven partly by the widespread use of price comparison tools on Shopee and Lazada. Government price controls apply to certain categories (petrol, flour, cooking oil, sugar), constraining pricing flexibility for businesses in those segments. The progressive fuel subsidy rationalisation since 2023 has increased input costs for logistics-dependent businesses, requiring careful cost-pass-through pricing decisions. In Sarawak's retail sector, where disposable incomes are often lower than Peninsular Malaysia, value pricing strategies — emphasising affordability and honest value — tend to resonate strongly with consumers.

Malaysian F&B and Retail Pricing Strategies

In Malaysian F&B, competitive pricing is intense. Petaling Street hawker stalls, Old Town White Coffee cafés, and premium restaurant chains occupy different price tiers, each with specific target segments. Premium positioning through "affordable luxury" — coffee at RM 8–15 per cup at Starbucks versus RM 1.50–3 at a traditional kopitiam — is sustainable when brand experience, environment, and social signalling value justify the premium. Jollibee's entry into Malaysia (2022) used penetration pricing to build trial against established QSR competitors, before gradually normalising prices. Digital platforms have intensified price transparency: Shopee's "Lowest Price Guarantee" feature and Grab's dynamic surge pricing during peak demand periods are both pricing strategy implementations enabled by real-time data analytics.

5.5 Marketing Channels and Physical Distribution

Marketing channels (also called distribution channels or place strategy) constitute the interconnected set of organisations, intermediaries, and logistics systems that make products and services available to end customers at the right time, in the right place, and in the right quantities. Channel decisions are among the most strategically significant — and most difficult to reverse — in the marketing mix, because establishing distribution relationships, building retailer partnerships, and developing logistics infrastructure require substantial time, investment, and relationship capital (Hooley et al., 2024).

Channel structure can be conceptualised by the number of intermediary levels: a zero-level (direct) channel connects producer to consumer without intermediaries; a one-level channel adds a single retailer; a two-level channel adds a wholesaler and retailer; and a three-level channel adds an agent or distributor. Each additional channel level provides reach and local market knowledge but reduces the manufacturer's control over pricing, display, and customer service, and compresses margins. Channel selection involves a trade-off between reach (more intermediaries extend coverage) and control (fewer intermediaries preserve quality and brand consistency).

Digital Channels in Malaysia — Shopee, Lazada, TikTok Shop, and WhatsApp

Malaysia's digital commerce ecosystem has transformed channel strategy for businesses of all sizes. Shopee and Lazada — the two dominant e-marketplaces — collectively command approximately 75% of Malaysia's e-commerce gross merchandise value (GMV). For Malaysian SMEs, listing on these platforms provides immediate access to millions of active buyers without the capital investment required to open physical stores. Shopee's seller ecosystem includes logistics integration (Shopee Express), payment processing (ShopeePay), and promotional tools (flash sales, vouchers) — effectively providing a full marketing and distribution infrastructure. TikTok Shop has emerged rapidly as a third channel option, with live-commerce (live-stream selling) driving significant impulse purchase behaviour, particularly for beauty, apparel, and food product categories.

WhatsApp Business marketing has become a vital channel for Malaysian micro-enterprises and SMEs. With a smartphone penetration rate exceeding 85% in Malaysia and WhatsApp usage near-ubiquitous, many small businesses — from home-based Kuching bakers to Sibu garment

retailers — operate effectively as "WhatsApp-first" businesses, taking orders, processing payments via QR code (DuitNow), and managing customer relationships entirely through WhatsApp groups and broadcast lists. This low-cost, high-intimacy channel strategy is highly effective in the trust-based relationship marketing culture of Malaysian consumers (Chaffey & Ellis-Chadwick, 2022).

5.6 Promotional Mix Strategies and Integrated Marketing Communications

The promotional mix — also called the communications mix — encompasses the full range of tools and channels a firm uses to communicate with its target audiences and persuade them to purchase. The traditional five components are: (1) Advertising — paid, non-personal mass communication through media channels; (2) Personal Selling — direct, interactive selling through sales force; (3) Sales Promotion — short-term incentives to stimulate purchase (discounts, coupons, contests); (4) Public Relations (PR) — earned media, reputation management, and community relations; and (5) Direct Marketing — targeted communications delivered directly to individual prospects. Digital marketing has dramatically expanded and blurred these categories (Kotler & Keller, 2022).

Integrated Marketing Communications (IMC) is the strategic framework for ensuring all elements of the promotional mix deliver a consistent, coherent, and compelling brand message across all customer touchpoints. IMC recognises that a customer's brand perception is shaped by every interaction — advertising, social media content, customer service responses, packaging design, retail display, and even the invoicing experience. Inconsistency between touchpoints erodes brand trust and creates cognitive dissonance. Malaysian brands that exemplify strong IMC practice include Milo Malaysia (consistent "champion energy" messaging from TV advertising through school sports sponsorships, packaging, and digital content) and AirAsia (consistent "Dare to Dream" democratisation-of-travel narrative across all channels).

Malaysian Digital Advertising Landscape

Malaysia's digital advertising expenditure has grown strongly, with digital channels now accounting for over 60% of total advertising spend as of 2024 (IAB Malaysia/MDEC data). Social media advertising — particularly Meta (Facebook + Instagram) and TikTok — dominates digital ad spend for consumer-facing brands. Meta's advertising platform enables highly granular targeting by demographic, interest, behaviour, and lookalike audience, making it accessible and effective even for small Malaysian businesses with monthly budgets of RM 500–2,000. Google Search Ads remain critical for capturing intent-based demand — Malaysian consumers actively searching for products and services. The rapid growth of TikTok's advertising platform is particularly significant for youth-oriented and lifestyle brands, with Malaysian TikTok's monthly active user base exceeding 8 million (DataReportal, 2024).

Influencer Marketing in Malaysia

Influencer marketing has become a mainstream channel strategy for Malaysian brands. The Malaysian influencer ecosystem spans mega-influencers (1M+ followers), macro-influencers (100K–1M), micro-influencers (10K–100K), and nano-influencers (<10K) — with micro and nano influencers increasingly preferred by Malaysian SMEs for their authenticity, lower cost, and higher engagement rates. In Sarawak, local lifestyle influencers covering food, travel, and Sarawakian culture have proven highly effective for promoting regional tourism, local food brands, and artisanal products to both domestic and diaspora Malaysian audiences.

Self-Reflection

Self-Reflection

1. Consider a Malaysian SME you are familiar with — a local café, online retailer, or service business. Map its current marketing mix (4Ps or 7Ps). Which element is strongest? Which represents the greatest opportunity for improvement, and what specific action would you recommend? (CLO2)

Self-Reflection

2. Sarawak pepper carries a Geographical Indication (GI). How might the Sarawak Pepper Marketing Board use the 7Ps framework — including People, Process, and Physical Evidence — to build a premium

direct-to-consumer digital channel for the premium cooking segment globally? (CLO2)

Managerial Insight

Managerial Insight: The Live-Commerce Revolution in Malaysia

Live commerce — combining live video streaming with direct in-stream purchasing — is transforming Malaysian retail. Shopee Live and TikTok Shop live streams have generated extraordinary conversion rates, sometimes 10–15 times higher than conventional product listings, because live demos, real-time Q&A, and scarcity mechanics (limited-time vouchers) create powerful purchase triggers. Malaysian brands in beauty (Sephora MY), fashion (FashionValet), and food (Old Bak Kut Teh) have used live commerce as a key channel to drive both awareness and immediate sales.

Strategic Implication: Marketing managers should view live commerce not merely as a sales tactic but as a strategic channel that integrates product demonstration, customer education, community building, and immediate conversion in one experience. For Sarawak-based artisanal food brands, a well-produced weekly live stream can substitute for expensive physical retail presence.

Summary

LU5 Key Takeaways:

- The marketing mix (4Ps/7Ps) provides a systematic framework for operationalising marketing strategy; each element must be coherently integrated.
- Product strategy must address all three levels (core/actual/augmented); branding decisions involve standardise-vs-adapt trade-offs in global contexts.
- The PLC model guides stage-appropriate marketing strategies; maturity demands differentiation, while introduction demands awareness investment.
- Malaysian digital channels (Shopee, Lazada, TikTok Shop, WhatsApp) have fundamentally reshuffled channel strategy for SMEs.
- IMC ensures consistent brand messaging; influencer marketing and live commerce are rapidly becoming mainstream Malaysian marketing tools.

Multiple Choice Questions (MCQS):

1. Which of the following best describes the "augmented product" level in Kotler's Three Levels of Product model?

A) The core benefit or need satisfied by the product

B) The physical features, design, and brand name of the product

C) Additional services such as warranty, after-sales support, and installation

D) The packaging and labelling of the product

2. A firm sets a high initial price for a new tech product to recover development costs from early adopters. This is an example of:

A) Penetration pricing strategy

B) Value-based pricing strategy

C) Price skimming strategy

D) Competitive pricing strategy

3. Sarawak Pepper's Geographical Indication (GI) certification helps to:

A) Lower production costs for all pepper farmers

B) Legally protect the brand and justify premium pricing based on geographic origin

C) Eliminate competition from Indonesian pepper

D) Standardise pepper pricing across all global markets

4. In the Product Life Cycle, the Maturity stage is characterised by:

A) Rapid sales growth and new competitor entries

B) High promotional spending focused entirely on awareness

C) Sales plateau, intense competition, and focus on market share defence

D) Declining investment in the product and preparations for exit

5. TikTok Shop's live-commerce model creates value primarily by:

A) Replacing traditional retail stores with cheaper alternatives

B) Combining real-time product demonstration, Q&A, and in-stream purchase to drive high conversion rates

C) Providing search-engine optimisation for Malaysian brands

D) Automating email marketing campaigns for sellers

6. Integrated Marketing Communications (IMC) ensures that:

A) All marketing activities focus solely on advertising

B) Each channel delivers independent, channel-specific messages

C) All promotional channels deliver a consistent, coherent brand message across all customer touchpoints

D) Marketing communications are entirely digital

7. WhatsApp Business marketing is particularly effective for Malaysian SMEs because:

A) It requires significant advertising budget to reach customers

B) It enables low-cost, high-intimacy, trust-based customer communication leveraging near-universal smartphone adoption

C) It replaces all social media marketing activities

D) It is exclusively used for B2B marketing in Malaysia

8. A "zero-level" distribution channel refers to:

A) A channel with no sales staff

B) A channel where the producer sells directly to the end consumer without any intermediaries

C) A digital channel only

D) A channel that generates zero profit margins

Answer Key (LU5): 1-C, 2-C, 3-B, 4-C, 5-B, 6-C, 7-B, 8-B

Questions for Discussion

1. Using the Sarawak Pepper Marketing Board example, analyse how a GI certification functions as both a product strategy tool and a pricing strategy tool. What additional marketing mix decisions would you recommend to maximise global revenue? (CLO2)
2. Compare skim pricing and penetration pricing strategies. Select a Malaysian product launch from the past two years (e.g., a tech product, new QSR brand, or subscription service) and justify whether the firm chose the optimal pricing strategy for its market context. (CLO2)
3. A Sarawak-based artisanal food brand is planning to sell on TikTok Shop and Shopee simultaneously. Identify the key channel management challenges this creates (pricing consistency, customer service, logistics) and recommend how the brand should design its omnichannel strategy. (CLO2)

Online Learning Resources

The following free resources supplement your study of this Learning Unit.

HubSpot Academy — Inbound Marketing Certification (Free)

https://academy.hubspot.com

Meta Blueprint — Digital Advertising Skills (Free)

https://www.facebook.com/business/learn

Google Digital Garage — Fundamentals of Digital Marketing (Free, Google-certified)

https://learndigital.withgoogle.com/digitalgarage

Shopee Seller Academy — E-commerce Marketing in Malaysia (Free)

https://seller.shopee.com.my/edu/home

END OF TOPIC

TOPIC

6

INNOVATION MANAGEMENT

Module Writer: Dr. Behrang (Hani) Parhizkar

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Explain the nature, types, and process of global innovation**
- **Analyse the journey from creativity to commercial innovation**
- **Evaluate how firms build and transfer innovation capabilities across national borders**
- **Apply open innovation concepts to Malaysian and Sarawak business contexts**

INSPIRING MINDS, SHAPING FUTURE

LO Learning Objectives

By the end of this topic you should be able to:

- **Explain the nature, types, and global innovation process** and their strategic significance for competitive advantage.
- **Analyse the journey from creativity to innovation** and the organisational enablers that drive it.
- **Evaluate open innovation strategies** and their application in global markets including Sarawak's emerging economy.
- **Assess how organisations build and transfer innovation capabilities** across national boundaries and markets.

6.1 Nature, Types, and Process of Global Innovation

Innovation is the process of translating an idea or invention into a good or service that creates value for customers and generates commercial returns for firms (Keegan & Green, 2025). In the global business context, innovation is not merely a competitive advantage — it is increasingly a survival imperative. Firms that fail to innovate face competitive displacement by more agile rivals, technological disruption, and the relentless commoditisation pressures of global markets. The management of innovation — deliberately building organisational capabilities to generate, select, develop, and commercialise novel ideas — has become a core strategic discipline for global business leaders.

Types of Innovation

Innovation can be classified along two primary dimensions: the degree of novelty (incremental vs radical) and the domain of innovation (product vs process). Incremental innovations make small, continuous improvements to existing products or processes — improving efficiency, reducing costs, or adding minor features. Radical innovations introduce fundamentally new technologies, business models, or value propositions that can disrupt entire industries. Product innovations create new or improved goods or services for customers. Process innovations

improve the methods, systems, or operations through which goods and services are produced or delivered.

Diagram Note

Diagram Note: Innovation Types 2×2 Matrix

Visualise a 2×2 matrix with axes: Horizontal = Domain (Product Innovation | Process Innovation); Vertical = Degree of Novelty (Incremental | Radical). Four quadrants: [1] Incremental Product Innovation — minor improvements to existing products (e.g., Dutch Lady adding fortified variant); [2] Radical Product Innovation — entirely new product categories (e.g., GrabFood launching within existing Grab platform); [3] Incremental Process Innovation — process efficiency improvements (e.g., Sarawak Energy adopting smart meters); [4] Radical Process Innovation — transformation of how value is created (e.g., AirAsia's fully digitised ticketing and ancillary revenue model replacing traditional airline distribution). Use this matrix to classify Malaysian firm innovation examples.

Beyond product and process innovation, Tidd and Bessant (cited in Keegan & Green, 2025) identify position innovation (changing the context or market in which a product is sold — e.g., Nescafé repositioning from a commodity to a premium barista-style coffee experience) and paradigm innovation (changing the underlying mental model — e.g., Grab redefining transportation not as a taxi service but as a "super app" platform). Understanding which type of innovation a firm is pursuing determines the capabilities, resources, and risk management approaches required.

6.2 From Creativity to Innovation: Organisational Enablers

Creativity — the generation of novel and useful ideas — is a necessary precursor to innovation but is not sufficient on its own. The journey from a creative idea to a successfully commercialised innovation requires a supporting organisational ecosystem: strategic leadership that champions innovation, resource allocation processes that fund experimentation, structural mechanisms that protect entrepreneurial projects from bureaucratic inertia, and a

culture that tolerates and learns from failure. Teresa Amabile's componential model of creativity (cited in Hooley et al., 2024) identifies three requirements for individual and team creativity: domain-relevant knowledge, creativity-relevant skills (divergent thinking, risk tolerance), and intrinsic task motivation.

Design Thinking — popularised by IDEO and Stanford d.school — provides a human-centred process framework for moving from problem to solution: Empathise (deeply understand user needs), Define (frame the problem), Ideate (generate many possible solutions), Prototype (create low-cost representations of solutions), and Test (get feedback from real users and iterate). This iterative, user-centred approach is increasingly used by Malaysian organisations — from MDEC-supported digital startups to established corporates like Telekom Malaysia (TM) — to develop digital products and services that genuinely address unmet customer needs rather than technology-driven solutions in search of a problem.

AirAsia Innovation Culture

AirAsia represents perhaps the most celebrated Malaysian example of radical innovation. Tan Sri Tony Fernandes's transformation of AirAsia from a loss-making government airline into the world's leading low-cost carrier (LCC) was not merely a cost-reduction exercise — it was a radical business model innovation that challenged every assumption of traditional airline marketing. By eliminating travel agents (direct web-only booking), pioneering yield management pricing in Southeast Asia (generating massive price asymmetry between advance and last-minute fares), and building a distinctive "Dare to Dream" brand identity, AirAsia made air travel accessible to millions of first-time flyers across Malaysia, Indonesia, Thailand, and the Philippines. AirAsia's subsequent evolution into a "super app" (AirAsia MOVE, formerly airasia.com) reflects ongoing radical platform innovation.

6.3 Innovation in the Global Economy

Innovation patterns in the global economy have shifted dramatically over the past three decades. Innovation is no longer the exclusive domain of large R&D laboratories in developed nations. The diffusion of digital technology, globalisation of talent, growth of venture capital

ecosystems in emerging markets, and reduction in technology development costs have democratised innovation globally (Buckley et al., 2018). China has moved from being a manufacturing powerhouse copying Western innovations to a leading global innovator in e-commerce (Alibaba, JD.com), fintech (Alipay), electric vehicles (BYD), and AI (Baidu, Tencent). South Korea's Samsung and LG have become global innovation leaders in consumer electronics and OLED displays. In Southeast Asia, Grab (Malaysia/Singapore), GoTo (Indonesia), and Sea Limited (Singapore) have developed platform business models that are globally distinctive innovation achievements.

Malaysia's National Innovation Ecosystem

Malaysia's national innovation ecosystem is anchored by several key institutions. MDEC (Malaysia Digital Economy Corporation) drives digital economy innovation through the Malaysia Digital (MD) Status programme (formerly MSC status), which provides fiscal incentives, regulatory support, and ecosystem connectivity for technology companies. MOSTI (Ministry of Science, Technology, and Innovation) funds research through MOSTI grants and MyBrain scholarships. CRADLE Fund provides seed and early-stage funding for Malaysian technology startups. The Malaysian Research Accelerator for Technology and Innovation (MRANTI) parks in Kuala Lumpur provide R&D infrastructure. Technology Park Malaysia (TPM) provides incubation and co-working facilities for early-stage innovators.

In Sarawak, the Sarawak Digital Economy Corporation (SDEC) plays an equivalent role, implementing the Sarawak Digital Economy Blueprint 2030. SDEC-supported programmes include the Kuching Smart City initiative, the Sarawak Multimedia Authority's (SMA) digital infrastructure programmes, and the ASEAN Digital Integration Framework projects. Several Sarawak digital startups — in agritech (remote sensing for plantation management), aquaculture monitoring, and rural health telemedicine — have emerged from SDEC-supported incubators.

6.4 Building Innovation Capabilities Abroad and Cross-Border Knowledge Transfer

Multinational corporations increasingly build innovation capabilities by accessing knowledge assets in multiple geographic locations — a strategy known as distributed innovation or dispersed R&D. Rather than centralising all R&D at headquarters, global firms establish innovation centres in locations with specialised expertise, talent clusters, or proximity to key customer markets. Buckley et al. (2018) identify three primary motivations for international R&D location: (1) access to scientific and technical expertise concentrated in world-class research universities and innovation ecosystems (e.g., establishing engineering centres near MIT, Stanford, or NUS); (2) proximity to lead customers and lead markets for rapid user feedback and market testing; and (3) cost arbitrage — accessing high-quality research talent at lower cost than home country rates.

For Malaysian firms with regional ambitions, building innovation capabilities abroad means establishing regional technology or marketing teams in key ASEAN markets to gather local market intelligence and develop locally relevant innovations. Telekom Malaysia's TM One enterprise division has evolved from a domestic telecommunications provider to a regional cloud and digital services provider, building technical capabilities in Singapore, Indonesia, and Thailand to serve multinational clients operating across ASEAN. This geographic capability dispersion enables TM One to develop innovations that are simultaneously technically advanced and contextually adapted to ASEAN enterprise requirements.

Knowledge Transfer Mechanisms

Transferring knowledge across national borders is one of the most complex challenges in global innovation management. Explicit knowledge — codified information captured in documents, patents, manuals, and databases — can be transferred relatively easily through documentation, licensing, and technology transfer agreements. Tacit knowledge — the know-how embedded in people's experience, intuition, and practice — is far more difficult to transfer and requires face-to-face interaction, mentoring, job rotation, and communities of practice. Hill and Hult (2022) note that subsidiaries resist knowledge transfer when they perceive it as reducing their own strategic value to the parent corporation — a phenomenon known as "knowledge hoarding." Effective global innovation management requires creating incentive systems that reward knowledge sharing and cultivating an organisational culture that values collaborative learning.

6.5 Open Innovation in the Global Market

Henry Chesbrough's concept of open innovation — first articulated in his 2003 book — has transformed how firms conceptualise the innovation process. The closed innovation paradigm assumed that all valuable knowledge was generated inside the firm and that protecting proprietary R&D from external access was essential to competitive advantage. Open innovation argues the opposite: in a world of widely distributed knowledge, firms can and should use external ideas, collaborations, and technologies to accelerate innovation, and should also allow their unused internal innovations to be exploited externally through licensing and spin-offs. Open innovation does not mean "free innovation" — it means strategically managing the boundary between internal and external knowledge flows.

Diagram Note

Diagram Note: Open Innovation Funnel

Visualise the Open Innovation Funnel as two contrasting funnels side by side: [LEFT — Closed Innovation] A single sealed funnel: all ideas enter at the top from internal R&D only, filtered down through internal development stages, exiting as products to a single market. [RIGHT — Open Innovation] A porous funnel with multiple entry and exit points: External ideas and technologies enter from partners, universities, startups, customers, and open-source communities at various stages; internal ideas can exit through licensing, joint ventures, and spin-offs; the firm actively manages both in-bound (acquiring external knowledge) and out-bound (licensing unused IP) innovation flows. Label arrows: "In-licensing," "University partnerships," "Customer co-creation," "Out-licensing," "Corporate venture." Malaysian example: Telekom Malaysia partnering with global tech vendors (Microsoft Azure, AWS) for cloud innovation — rather than building all cloud infrastructure internally.

Open Innovation in Malaysian and ASEAN Contexts

Malaysian corporations are increasingly adopting open innovation practices. Petronas runs a technology challenge programme that invites external technology providers and startups to propose solutions for upstream exploration and production challenges. Axiata Group (parent of CelcomDigi) operates the Axiata Digital Innovation Fund, which invests in external digital startups to access disruptive innovations faster than internal development would allow. MDEC's Global Digital Initiative connects Malaysian digital companies with international technology ecosystems, facilitating knowledge inflows from Silicon Valley, London, and Singapore innovation hubs.

AI in Marketing Innovation

Artificial intelligence is rapidly becoming a core innovation enabler in marketing, representing a radical process innovation in how marketing activities are planned, executed, and optimised. AI-powered tools are transforming Malaysian marketing practice across multiple dimensions: AI copy generation tools (ChatGPT, Jasper, Canva AI) enable marketers to produce high volumes of personalised content at minimal cost; AI-powered targeting algorithms (Meta Advantage+, Google Performance Max) optimise ad delivery in real time across thousands of audience micro-segments; AI sentiment analysis tools (Brandwatch, Sprinklr) enable brands to monitor and respond to consumer sentiment at scale; and AI-powered recommendation engines (powering Shopee's "Recommended for You" and Lazada's discovery feed) personalise the shopping experience for individual consumers. MDEC's AI Roadmap for Malaysia (2021–2025) positions AI adoption across all sectors — including marketing — as a national productivity and competitiveness priority (MDEC, 2021).

Self-Reflection

Self-Reflection

1. Think about a Malaysian company you admire. Classify their most significant recent innovation using the 2×2 Innovation Types Matrix (incremental/radical × product/process). What organisational capabilities enabled this innovation? What open innovation partnerships, if any, did they leverage? (CLO2)

Self-Reflection

2. MDEC's SDEC has supported digital startups in Sarawak. Identify one area of unmet need in Sarawak's economy (e.g., agricultural supply chain, rural healthcare, or sustainable tourism) and propose a digital innovation concept that could address it. What knowledge and partnerships would be required? (CLO2)

Managerial Insight

Managerial Insight: Short-Form Video as Marketing Innovation

The rise of TikTok and Instagram Reels represents a radical process innovation in content marketing distribution. Brands that mastered short-form video storytelling — delivering value, entertainment, or information in 15–60 seconds — have achieved viral reach at effectively zero media cost. Malaysian brands such as MyTeksi (Grab's predecessor), Klook Malaysia, and multiple Kuching F&B businesses have used TikTok to achieve millions of views from RM 0 paid media spend through organic virality.

Key Managerial Learning: Innovation in marketing is not always about the product — it is often about innovating the channel, the format, or the customer engagement model. Marketing managers who experiment early with emerging content formats capture disproportionate organic reach before the platform becomes saturated with competitors.

Summary

LU6 Key Takeaways:

- Innovation is classified by novelty (incremental/radical) and domain (product/process/position/paradigm); different types require different capabilities.
- Design Thinking provides a human-centred process (Empathise/Define/Ideate/Prototype/Test) for moving from problem to commercialisable solution.
- Global innovation requires managing knowledge transfer (explicit and tacit) across borders; open innovation leverages external knowledge to accelerate development.
- MDEC/SDEC ecosystems support Malaysian innovation; AI is transforming marketing as a radical process innovation enabler.

Multiple Choice Questions (MCQS):

1. Which term describes a minor improvement to an existing product, such as adding a vitamin fortification to an established juice brand?

A) Radical product innovation

B) Incremental product innovation

C) Paradigm innovation

D) Process innovation

2. Henry Chesbrough's concept of "open innovation" argues that firms should:

A) Keep all R&D activities strictly internal to protect competitive advantage

B) Strategically manage external idea inflows and internal IP outflows to accelerate innovation

C) Outsource all innovation to external technology vendors

D) Focus exclusively on incremental product improvements

3. AirAsia's transformation of the airline industry through direct web booking and yield management pricing is best classified as:

A) Incremental process innovation

B) Incremental product innovation

C) Radical business model (paradigm) innovation

D) Position innovation only

4. The SDEC (Sarawak Digital Economy Corporation) primarily supports innovation in Sarawak through:

A) Directly manufacturing technology products for export

B) Implementing the Sarawak Digital Economy Blueprint 2030 and supporting digital startups and smart city initiatives

C) Regulating foreign investment in Sarawak's plantation sector

D) Providing physical retail infrastructure for e-commerce sellers

5. Which Design Thinking stage involves creating low-cost representations of proposed solutions for user feedback?

A) Empathise

B) Define

C) Prototype

D) Ideate

6. Tacit knowledge, compared to explicit knowledge, is more difficult to transfer internationally because:

A) It is protected by stronger patents

B) It is embedded in people's experience and practice rather than codified in documents

C) It is only relevant in the home country market

D) It requires expensive technology licences

7. AI-powered marketing tools such as Meta Advantage+ and Google Performance Max represent which type of innovation?

A) Radical product innovation in FMCG categories

B) Radical process innovation in how marketing campaigns are targeted and optimised

C) Incremental product innovation in consumer electronics

D) Position innovation in retail channel strategy

Answer Key (LU6): 1-B, 2-B, 3-C, 4-B, 5-C, 6-B, 7-B

Questions for Discussion

1. Compare the closed and open innovation models using Malaysian corporate examples. For a Malaysian telecommunications company like CelcomDigi, assess the benefits and

risks of adopting an open innovation strategy. What types of external knowledge should they actively seek, and what should remain internally developed? (CLO2)

2. MDEC's AI Roadmap identifies AI adoption as a national marketing and productivity priority. Drawing on LU6 concepts, design a three-step AI adoption roadmap for a medium-sized Malaysian retail brand seeking to use AI for personalised marketing, customer service, and campaign optimisation. What capabilities must the brand build first? (CLO2)
3. Assess the role of short-form video innovation (TikTok, Instagram Reels) in Malaysia's marketing landscape. Using the 2×2 Innovation Types Matrix, classify this development and explain its strategic implications for a Sarawak tourism brand seeking to attract international visitors. (CLO2)

Online Learning Resources

The following free resources supplement your study of this Learning Unit.

IDEO Design Thinking Toolkit (Free PDF Download)

https://www.ideo.com/post/design-thinking-for-educators

MIT OpenCourseWare — Managing Innovation (Free)

https://ocw.mit.edu/courses/15-351-managing-innovation-and-entrepreneurship

MDEC — Malaysia Digital Economy Resources and AI Toolkit (Free)

https://mdec.my

SDEC — Sarawak Digital Economy Blueprint 2030 (Free)

https://sdec.com.my

END OF TOPIC

TOPIC

7

FORMULATING AND IMPLEMENTING THE STRATEGY

Module Writer: Dr. Behrang (Hani) Parhizkar

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Apply strategy formulation tools (Ansoff Matrix, Porter's Generic Strategies) to marketing decisions**
- **Analyse international strategy formulation for SMEs and multinational organisations**
- **Evaluate the role of centralisation and decentralisation in global marketing strategy**
- **Develop a coherent strategy implementation plan with appropriate control mechanisms**

LO Learning Objectives

By the end of this topic you should be able to:

- **Apply key strategy formulation tools** including Porter's Generic Strategies, Ansoff, and BCG Matrix, to marketing decisions.
- **Evaluate international strategy formulation processes** for large corporations and SMEs operating in global markets.
- **Analyse the challenges of strategy implementation** including centralisation, decentralisation, and global factory management.
- **Develop an integrated strategic marketing plan** that connects vision, market analysis, and execution for a Sarawak context.

7.1 Strategy Formulation Tools for Marketing

Strategy formulation is the analytical and creative process through which an organisation determines how it will achieve its long-term objectives given its internal capabilities and the external competitive environment. For marketing managers, strategy formulation tools provide structured frameworks for systematically analysing the firm's strategic position and generating, evaluating, and selecting strategic options. The value of these tools lies not merely in the outputs they generate — matrices, models, and strategic options — but in the structured thinking process they impose, ensuring that critical dimensions of the strategic context are examined (Hooley et al., 2024).

The Ansoff Matrix — developed by Igor Ansoff in 1957 — remains one of the most widely applied frameworks for marketing strategy formulation. The matrix presents four strategic growth options defined by the relationship between products (existing vs new) and markets (existing vs new).

Diagram Note

Diagram Note: Ansoff Matrix

Visualise the Ansoff Matrix as a 2×2 grid. Horizontal axis: Products (left = Existing, right = New). Vertical axis: Markets (top = Existing, bottom = New). Four quadrants: [Top-Left] MARKET PENETRATION — existing product in existing market; lowest risk; strategy: increase usage frequency, capture competitor customers, improve marketing effectiveness. Malaysian example: Milo Malaysia launching "Milo Breakfast" campaign to increase daily consumption frequency among existing users. [Top-Right] PRODUCT DEVELOPMENT — new product for existing market; medium risk; strategy: NPD leveraging existing customer relationships. Example: Grab launching GrabFood to its existing ride-hailing user base. [Bottom-Left] MARKET DEVELOPMENT — existing product in new market; medium risk; strategy: geographic or segment expansion. Example: Old Town White Coffee expanding from Malaysia to China, Indonesia, and Vietnam. [Bottom-Right] DIVERSIFICATION — new product for new market; highest risk; strategy: related or unrelated diversification. Example: Genting Group expanding from Malaysian resort gaming into global integrated resorts (Singapore, US, UK).

Porter's Generic Strategies (1980) provide a complementary framework for competitive positioning. Porter argues that sustainable competitive advantage derives from one of three generic positions: Cost Leadership (achieving the lowest cost of production in the industry, enabling price competition or higher margins), Differentiation (offering unique product attributes that customers value and are willing to pay a premium for), or Focus (targeting a narrow market segment with either cost leadership or differentiation). Porter warns against "stuck in the middle" — attempting to pursue multiple strategies simultaneously without clear positioning, which typically leads to mediocre competitive performance.

Malaysian Strategy Formulation Examples

AirAsia exemplifies Cost Leadership: by relentlessly minimising operating costs (single aircraft type, no frills, direct booking), it undercuts full-service carriers and stimulates demand from price-sensitive passengers who previously could not afford to fly. Petronas pursues Differentiation: its national oil company brand, upstream exploration expertise, and petrochemical integration capabilities support premium positioning in global energy markets, enabling it to compete effectively against international majors through superior local

knowledge and government strategic partnership. Sarawak Tourism Board pursues a Focus strategy: rather than competing with Kuala Lumpur or Singapore for mass tourism, it focuses its international marketing on eco-tourism, indigenous cultural tourism, and adventure tourism segments — niches where Sarawak has unique, defensible competitive differentiation.

7.2 International Strategy Formulation

International strategy formulation must navigate the fundamental tension between global standardisation (leveraging scale, consistency, and efficiency across markets) and local adaptation (responding to unique customer preferences, regulatory requirements, and competitive conditions in individual markets). Hill and Hult (2022) present four international strategy types based on this tension: (1) International Strategy — low pressures for both cost reduction and local adaptation; firm largely replicates home market approach; (2) Multi-Domestic Strategy — high adaptation, low standardisation; each country subsidiary operates with high autonomy; (3) Global Strategy — high standardisation, low adaptation; firm optimises globally at the cost of local responsiveness; (4) Transnational Strategy — simultaneously achieves global efficiency and local responsiveness through complex coordination mechanisms.

Petronas International Marketing Strategy

Petronas exemplifies transnational strategy in its global marketing. Its upstream exploration and production (E&P) activities operate in over 50 countries with locally adapted operating models — partnering with host-country national oil companies (Angola's Sonangol, Sudan's GNPOC, Myanmar's MOGE), building local supply chains, and adapting HSE (Health, Safety, and Environment) standards to local regulatory frameworks. Yet its brand identity, technical standards, and financial management systems are globally consistent, enabling capital allocation optimisation across its global portfolio. Petronas Lubricants (motor oil brand present in over 100 countries) demonstrates marketing standardisation for its core performance message while adapting promotional execution, retail channel strategy, and motorsport sponsorship choices to local market contexts.

MDEC and Malaysian SMEs Going Regional

For Malaysian SMEs, international strategy formulation is a practical challenge with limited resources. MDEC's Global Digital Initiative and MATRADE's export development programmes provide frameworks and financial support for Malaysian SMEs developing their first international market entry strategies. A common approach for digital SMEs is to first dominate a domestic niche, then expand to culturally similar ASEAN markets (Indonesia, Singapore, Brunei) before tackling more distant markets (Japan, Australia, Middle East). MDEC's eBay Global Selling Programme and Amazon Global Selling support enable Malaysian e-commerce SMEs to sell to international consumers through established marketplaces, reducing entry barriers and logistics complexity.

7.3 Strategy Formulation in SMEs

Small and medium enterprises (SMEs) constitute 97.4% of all business establishments in Malaysia (SME Corp Malaysia, 2024) and contribute approximately 38.4% of Malaysia's GDP. Despite their numerical dominance, Malaysian SMEs face distinctive strategic challenges: limited capital for market research and strategy development, thin management bandwidth (owner-managers performing multiple roles simultaneously), difficulty accessing international distribution networks, and vulnerability to competitive displacement by larger, better-resourced rivals. In Sarawak, SMEs in sectors including food processing, handicrafts, tourism services, and digital services face these challenges amplified by geographic isolation from major commercial centres.

SME strategy formulation must be pragmatic and resource-conscious. While formal strategic planning processes (SWOT analysis, PESTEL, scenario planning) remain valuable, they must be adapted to the SME context: lighter analytical processes, shorter planning horizons, more emphasis on experimentation and learning, and greater reliance on network-based intelligence (industry associations, peer entrepreneurs, supplier feedback). The Balanced Scorecard (BSC) — adapted for SME scale — provides a practical framework for translating strategic objectives into measurable performance metrics across four dimensions: Financial, Customer, Internal Process, and Learning and Growth.

7.4 Centralisation, Decentralisation, and Global Marketing Strategy

One of the most consequential structural decisions in global marketing management is the degree of centralisation — the extent to which marketing strategy, brand management, product decisions, pricing authority, and promotional campaign development are controlled from the corporate headquarters versus delegated to regional or national subsidiary management. This decision shapes not just organisational structure but the fundamental nature of the firm's competitive propositions in each market (Keegan & Green, 2025).

Diagram Note

Diagram Note: Centralisation vs Decentralisation in Global Marketing

Visualise a spectrum line from LEFT (Fully Centralised) to RIGHT (Fully Decentralised). Left end: HQ controls all brand standards, campaign briefs, pricing decisions, product portfolio. Subsidiaries execute locally. Benefits: global consistency, cost efficiency, strong brand coherence. Risks: slow response to local opportunities, cultural misfit, low subsidiary morale. Right end: Each national subsidiary develops its own brand strategy, pricing, and campaigns. Benefits: local market responsiveness, speed, cultural fit. Risks: brand fragmentation, missed scale economies, strategic inconsistency. Middle: "Glocal" or Coordinated approach — HQ sets global brand guidelines, price corridors, and strategic frameworks; subsidiaries adapt execution, messaging tone, and promotional events within those guidelines. Example: Nestlé Malaysia (global nutrition strategy, local Milo and Maggi variants); Procter & Gamble Malaysia (global brand architecture for Pantene, local media mix adaptation). Best practice recommendation: Centralise strategy and brand standards; decentralise execution and cultural adaptation.

Omnichannel Orchestration and Data-Driven Strategy in Malaysia

The emergence of digital marketing channels has created new centralisation imperatives. Data — customer data, campaign performance data, CRM data — is strategically valuable only when it is aggregated and analysed at scale across all channels. This creates pressure for centralising data infrastructure, analytics capability, and marketing technology (martech) stack management, even while customer-facing execution is decentralised to local teams. Malaysian

brands such as Astro, Maxis, and CIMB Group have invested in centralised Customer Data Platforms (CDPs) that consolidate customer interactions across digital and physical touchpoints, enabling personalised, data-driven marketing at the individual customer level while maintaining brand consistency.

7.5 Strategy Implementation and International Strategy Control

Strategy formulation without effective implementation is an academic exercise. The implementation gap — the well-documented failure of organisations to execute their stated strategies — is a persistent challenge. Research by Kaplan and Norton (cited in Hooley et al., 2024) found that fewer than 10% of strategies formulated by organisations are effectively executed. Implementation failures typically arise from four sources: inadequate resource allocation (strategy not funded in practice), unclear accountability (no one owns specific strategic initiatives), poor communication (employees unaware of or uncommitted to strategic priorities), and misaligned incentives (reward systems that reinforce old behaviours rather than new strategic direction).

Sustainability and ESG Positioning in Malaysian Strategy

Environmental, Social, and Governance (ESG) considerations are increasingly integral to Malaysian corporate marketing strategy, particularly for firms seeking international investment or export markets in Europe and Japan. Sarawak's timber and palm oil industries face ESG-driven market access pressures (EUDR, RSPO certification requirements). Progressive Malaysian brands are turning ESG from a compliance obligation into a positive brand equity driver. Petronas's "sustainability linked" brand positioning around its hydrogen and carbon capture ambitions, Sarawak Forestry Corporation's sustainable logging certification, and Maxis's carbon neutrality commitment are all examples of ESG-driven strategic positioning.

Diagram Note

Diagram Note: Strategy Formulation and Implementation Process Flowchart

Visualise as a sequential flowchart with feedback loops: [1] ENVIRONMENTAL ANALYSIS — PESTEL, competitive analysis, customer insights → feeds into → [2] INTERNAL ANALYSIS — resources, capabilities, SWOT → both feed into → [3] STRATEGY FORMULATION — strategic options (Ansoff, Porter), option evaluation, strategic choice → leads to → [4] STRATEGY IMPLEMENTATION — marketing plan, budgets, campaigns, team responsibilities, timelines → leads to → [5] PERFORMANCE MONITORING — KPIs (sales, market share, brand metrics, digital analytics) → feeds BACK to [1] for continuous strategic adaptation. Include community/advocacy marketing as a modern Implementation element (engaging brand advocates and building communities through content marketing and loyalty programmes). Sarawak Tourism Board example at each stage.

Self-Reflection

Self-Reflection

1. Using the Ansoff Matrix, map the current growth strategy of a Malaysian brand you know well (e.g., Grab, AirAsia, Old Town White Coffee, or a local brand). Which quadrant best describes their current dominant strategy? Which quadrant represents the highest-potential next move, and what capabilities would they need to develop to execute it? (CLO3)

Self-Reflection

2. The Sarawak Tourism Board needs to increase international visitor arrivals from ASEAN and China by 30% within 3 years. Using Porter's Generic Strategies, identify the most appropriate competitive position for Sarawak tourism and outline the key strategic implementation actions required. (CLO3)

Managerial Insight

Managerial Insight: Community Marketing as Strategic Implementation

One of the most cost-effective strategy implementation tools for Malaysian brands is community and advocacy marketing — building loyal communities of brand advocates who amplify the brand's reach organically. Run Mummies Malaysia (a running community originally built around a health brand), Grab's GrabRewards loyalty programme, and Boost e-wallet's gamified loyalty mechanics all demonstrate that strategic community building reduces customer acquisition costs (CAC), increases customer lifetime value (CLV), and creates sustainable competitive differentiation.

Managerial Implication: Budget allocation for strategy implementation should include community management, UGC (user-generated content) activation, and loyalty programme investment alongside conventional advertising — these advocacy investments often yield disproportionate long-term returns.

Summary

LU7 Key Takeaways:

- The Ansoff Matrix and Porter's Generic Strategies provide complementary frameworks for marketing strategy formulation.
- International strategy choices (international/multi-domestic/global/transnational) determine how firms balance standardisation and local adaptation.
- SMEs need pragmatic, resource-efficient strategy tools; MDEC/SME Corp Malaysia provide frameworks and support for regional expansion.
- ESG integration and data-driven, omnichannel orchestration are defining features of modern Malaysian marketing strategy implementation.

Multiple Choice Questions (MCQS):

1. In the Ansoff Matrix, which quadrant describes selling an existing product to a new market?

   A) Market Penetration

   B) Product Development

   C) Market Development

D) Diversification

2. Porter's warning about being "stuck in the middle" refers to:

A) Firms that operate exclusively in mid-sized markets

B) Firms that fail to establish a clear competitive position (neither Cost Leadership nor Differentiation), leading to poor performance

C) Firms that focus only on the domestic market

D) SMEs that cannot afford international expansion

3. Which international strategy type simultaneously achieves global efficiency AND local responsiveness?

A) International strategy

B) Multi-domestic strategy

C) Global strategy

D) Transnational strategy

4. AirAsia's competitive strategy best exemplifies:

A) Differentiation strategy

B) Focus strategy targeting premium travellers

C) Cost Leadership strategy

D) Diversification into unrelated industries

5. The Sarawak Tourism Board's focus on eco-tourism and indigenous cultural tourism is an example of:

A) Global standardisation strategy

B) Cost leadership in the global tourism market

C) Focus (differentiation) strategy targeting specific niche segments

D) Market penetration in the domestic mass-tourism segment

6. ESG (Environmental, Social, Governance) positioning is becoming integral to Malaysian corporate marketing strategy primarily because:

A) It reduces production costs immediately

B) It helps firms avoid all regulatory scrutiny

C) It drives brand equity, meets international market access requirements, and attracts sustainability-oriented investors

D) It eliminates the need for advertising budgets

7. Which tool helps organisations translate strategic objectives into measurable performance metrics across Financial, Customer, Internal Process, and Learning dimensions?

A) Ansoff Matrix

B) BCG Matrix

C) Balanced Scorecard (BSC)

D) Porter's Five Forces

Answer Key (LU7): 1-C, 2-B, 3-D, 4-C, 5-C, 6-C, 7-C

Questions for Discussion

1. Using the Ansoff Matrix and Porter's Generic Strategies, formulate a comprehensive growth strategy for Sarawak Tourism Board targeting ASEAN visitors over the next three years. Justify each strategic choice with evidence and theory. (CLO3)
2. Compare a Malaysian SME's approach to strategy formulation with that of a multinational corporation like Nestlé Malaysia. What structural, resource, and capability differences shape their approaches? What lessons from MNC strategy formulation could Malaysian SMEs realistically adopt? (CLO3)
3. Data-driven marketing strategy requires centralised data infrastructure but localised customer engagement. For a Malaysian retail bank (e.g., Maybank, CIMB), design a marketing governance model that optimises both global efficiency and local customer responsiveness. (CLO3)

Online Learning Resources

The following free resources supplement your study of this Learning Unit.

McKinsey & Company — Strategy Insights Articles (Free)

https://www.mckinsey.com/capabilities/strategy-and-corporate-finance/our-insights

Harvard Business Review — Strategy Articles (Free tier available)

https://hbr.org/topic/subject/strategy

SME Corp Malaysia — SME Development Programmes and Strategy Guides (Free)

https://www.smecorp.gov.my

Balanced Scorecard Institute — Strategy Execution Resources (Free)

https://www.balancedscorecard.org

END OF TOPIC

TOPIC

8

STRATEGIES FOR ANALYSING AND ENTERING GLOBAL MARKETS

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Conduct a systematic global market analysis to identify and prioritise entry opportunities**
- **Compare and evaluate different modes of international market entry**
- **Analyse foreign direct investment, licensing, franchising, and strategic alliance models**
- **Apply market entry strategy frameworks to Malaysian and Sarawak firms seeking global expansion**

INSPIRING MINDS, SHAPING FUTURE

LO Learning Objectives

By the end of this topic you should be able to:

- **Evaluate global market entry modes** including exporting, licensing, franchising, JVs, and FDI.
- **Apply systematic global market analysis frameworks** to select high-potential markets for business expansion.
- **Assess the strategic rationale for international licensing and franchising** as market entry and growth strategies.
- **Design and implement a global market entry strategy** incorporating strategic alliances and partnership models.

8.1 Global Market Analysis: Frameworks and Approaches

Before committing resources to international market entry, firms must conduct rigorous market analysis to understand the opportunity size, competitive landscape, customer characteristics, regulatory environment, and risk profile of target markets. Global market analysis is not merely an academic exercise — it is the foundation of sound international investment decisions. Firms that enter international markets without adequate analysis frequently misjudge market size, underestimate entry costs, fail to anticipate regulatory barriers, or misread cultural differences in consumer preferences (Keegan & Green, 2025).

The PESTEL framework — analysing Political, Economic, Social, Technological, Environmental, and Legal dimensions of the target market — provides a comprehensive external environment scanning tool for global market analysis. For Malaysian firms considering ASEAN expansion, PESTEL analysis of key target markets (Indonesia, Thailand, Vietnam, Philippines) reveals dramatically different risk profiles: Indonesia's large consumer market and growing middle class (Social, Economic positives) is partially offset by complex regulatory requirements for foreign business registration and local content mandates (Political, Legal risks). Vietnam's rapidly growing digital economy (Technological, Economic) offers

significant opportunities for Malaysian e-commerce and fintech firms, while its political stability under a one-party system provides regulatory predictability (Political).

Hofstede's Cultural Dimensions in Market Analysis

Cultural analysis is a critical component of global market analysis that is often overlooked by technically-focused managers. Geert Hofstede's Cultural Dimensions framework — measuring Power Distance, Individualism/Collectivism, Masculinity/Femininity, Uncertainty Avoidance, Long-Term Orientation, and Indulgence/Restraint across over 70 countries — provides marketing managers with empirically grounded insights into how cultural values affect consumer behaviour, communication preferences, and purchasing patterns. Malaysian consumers score high on Power Distance (authority-based endorsements and premium brand cues are influential) and Collectivism (group references, family values, and community belonging are powerful marketing themes). These cultural dimensions directly inform advertising creative, celebrity endorsement strategies, and the appropriate role of social proof and user reviews in Malaysian digital marketing.

ASEAN Digital Economy Market Opportunities

The Malaysia Digital Economy Blueprint 2030 and the ASEAN Digital Economy Framework Agreement identify the ASEAN digital economy as a USD 1 trillion opportunity by 2030 (Google/Temasek/Bain, 2023). E-commerce, digital financial services, digital media, and online travel are the four largest digital economy verticals in ASEAN. For Malaysian firms with digital capabilities, this creates a compelling market development opportunity: the same digital platform, product, or service can be extended across ASEAN with relatively modest localisation investment (language adaptation, local payment method integration, regulatory compliance). CelcomDigi's digital financial services and GXBank (Malaysia's first digital bank) represent Malaysian firms positioned to leverage regional digital market opportunities.

8.2 Choosing a Mode of International Market Entry

The mode of entry into an international market is one of the most consequential strategic decisions a firm can make. Entry mode choices determine the level of resource commitment,

the degree of control over operations, the exposure to risk, and the potential return on international investment. Entry modes can be arranged along a spectrum from low commitment/low control (exporting) to high commitment/high control (wholly-owned subsidiary via greenfield investment or acquisition). Buckley et al. (2018) identify the primary factors shaping entry mode selection: the firm's ownership advantages (proprietary technology, brand, management know-how), location advantages of the target market (market size, factor costs, political stability), and internalisation advantages (the benefits of controlling activities within the firm rather than through arms-length market transactions) — the eclectic OLI paradigm of John Dunning.

Diagram Note

Diagram Note: Market Entry Mode Decision Tree

Visualise as a decision tree. Root question: "Does the firm have strong proprietary advantages (brand/tech/process)?" → YES branch: "Is the target market large and growing?" → YES → Consider FDI (greenfield or M&A) or strategic alliance. NO (small/uncertain market) → Licensing or franchising. → NO (weak proprietary advantage): "Are margins sufficient for export?" → YES → Direct or indirect exporting. NO → "Is there a suitable local partner?" → YES → Joint venture. NO → Reconsider market entry timing. Final output table: Entry Mode | Control Level | Resource Commitment | Risk | Example. Exporting (low/low/low/Sarawak pepper export), Licensing (medium-low/low/low-medium/Marrybrown franchise licence), Franchising (medium/medium/medium/Marrybrown in Middle East), Joint Venture (high/high/medium/Petronas JV in Sudan), Wholly-Owned Subsidiary (full/very high/high/Grab's direct operations in Indonesia). Malaysia Digital Economy Blueprint entry support context.

8.3 International Licensing

Licensing is a contractual arrangement in which the licensor grants the licensee the right to use specific intellectual property — patents, trademarks, copyrights, trade secrets, or know-how — in exchange for royalty payments, licence fees, or other compensation. As a market entry mode,

licensing offers several advantages: it requires minimal capital investment from the licensor (the licensee bears production and marketing costs in the target market), it generates revenue from markets the licensor could not efficiently serve directly, and it enables rapid geographic market coverage. The key limitation of licensing is loss of control: the licensor depends on the licensee to maintain product quality, brand standards, and customer service levels — failures in these areas can damage the brand globally.

Malaysian Licensing Examples

In the Malaysian food and beverage industry, Marrybrown — Malaysia's largest homegrown quick-service restaurant (QSR) chain — has expanded internationally through a combination of licensing and franchising arrangements. Marrybrown operates in over 20 countries including Indonesia, China, Saudi Arabia, UAE, Sri Lanka, and India. Its international expansion model involves granting master franchise licences to country partners who possess local market knowledge, regulatory relationships, and capital — enabling rapid international presence without Marrybrown bearing the full capital cost of direct international restaurant operations. The Marrybrown brand is a compelling case study in how a Malaysian SME can leverage intellectual property (brand, menu systems, operational know-how) as the basis for international licensing-based expansion.

8.4 International Franchising

Franchising is a special form of licensing in which the franchisor grants the franchisee a more comprehensive package of rights: the use of the brand name, business format, operating systems, training, and ongoing operational support — in exchange for an initial franchise fee and ongoing royalty payments (typically 4–8% of sales). The franchisee operates as an independent business owner but must strictly comply with the franchisor's operating standards, product specifications, and brand guidelines. Business format franchising — the dominant model in QSR, retail, and service sectors — gives the franchisor higher control over brand experience than simple licensing while requiring less capital investment than direct ownership.

Malaysia's Domestic Franchise Sector

Malaysia has a well-developed domestic franchise sector, regulated by the Franchise Act 1998 and supported by the Perbadanan Nasional Bhd (PNS) and the Ministry of Domestic Trade (KPDN) franchise development programmes. As of 2024, Malaysia has over 1,300 registered franchise systems (Franchise Association of Malaysia data), spanning F&B (Marrybrown, Rotiboy, Big Apple Donuts), education (Kumon, Q-Dees), healthcare services, and automotive services. For Malaysian entrepreneurs, franchise ownership offers a lower-risk entry into business with an established brand and proven operating system. For Malaysian brands expanding internationally via franchising, success requires developing robust franchisee selection processes, comprehensive training systems, and ongoing quality assurance mechanisms.

8.5 Foreign Direct Investment (FDI): Types and Strategic Implications

Foreign direct investment (FDI) involves establishing or acquiring productive assets in a foreign country — manufacturing facilities, offices, retail outlets, or controlling equity stakes in local companies — with the intent of exercising significant management control. FDI represents the highest commitment and highest control form of international market entry and is the primary mechanism through which multinational corporations establish global operations (Hill & Hult, 2022). FDI flows are a critical indicator of globalisation — global FDI reached approximately USD 1.3 trillion in 2023, with ASEAN attracting approximately USD 220 billion (UNCTAD World Investment Report, 2024).

Diagram Note

Diagram Note: FDI Types — Table Overview

Visualise as a table with columns: FDI Type | Description | Malaysian Example. Rows: [1] Greenfield FDI — Building entirely new facilities in host country; high control, high cost, slow establishment. Example: Microsoft's data centre in Malaysia (RM 10.2B announced 2024) — built from ground up in Sarawak/KL. [2] Brownfield / Acquisition FDI — Acquiring existing local firm; faster market entry, existing customer base, but integration risk. Example: Grab acquiring Kudo (Indonesia) to accelerate local market penetration. [3]

Horizontal FDI — Producing same product/service in multiple countries; motivated by market access. Example: Petronas operating exploration in 50+ countries replicating its core upstream business. [4] Vertical FDI — Upstream: controlling input supply; Downstream: controlling distribution. Example: Sarawak palm oil processor acquiring a European specialty foods distributor (downstream FDI for premium market access). [5] FDI into Sarawak — Microsoft, Google, SoftBank (renewable energy), Shell (LNG upstream) — driven by Sarawak's green hydrogen ambitions and digital infrastructure.

FDI into Sarawak: Hydrogen Economy and Digital Infrastructure

Sarawak has emerged as a significant FDI destination in two transformative sectors. In renewable energy and green hydrogen, Sarawak's abundance of hydroelectric power (the Sarawak Corridor of Renewable Energy — SCORE — includes massive hydroelectric dams such as Bakun and Murum) provides the clean electricity needed to produce green hydrogen through electrolysis. Sarawak has secured commitments from international energy majors and industrial gas companies for hydrogen production facilities. In digital infrastructure, Microsoft's RM 10.2 billion investment in cloud data centres in Malaysia — with a significant Sarawak component — and similar investments from Google and AWS represent landmark FDI decisions driven by Sarawak's cheap, clean hydroelectric power, improving connectivity infrastructure, and Malaysia Digital (MD) Status incentives. These FDI inflows validate Sarawak's emerging competitive advantage in green digital infrastructure.

8.6 Strategic Alliances and Their Implementation

Strategic alliances are cooperative arrangements between two or more firms in which the partners agree to contribute resources, share risks, and jointly pursue common strategic objectives while retaining their independent corporate identities. Unlike acquisitions, strategic alliances preserve partner autonomy; unlike simple arm's-length contracts, they involve ongoing collaboration, relationship management, and shared governance. Strategic alliances are particularly common in international market entry contexts, where local market knowledge, regulatory relationships, and distribution networks held by a local partner can significantly accelerate and de-risk a foreign firm's entry (Buckley et al., 2018).

Forms of Strategic Alliance

Strategic alliances take several forms: (1) Equity Joint Ventures — where partners create a new jointly-owned entity with shared equity, profits, and governance (e.g., Petronas's upstream E&P joint ventures globally); (2) Non-equity contractual alliances — marketing agreements, technology sharing pacts, distribution partnerships, co-branding arrangements; (3) Consortium alliances — multiple firms pooling resources for a specific large-scale project (e.g., the Malaysia LNG consortium comprising Petronas, Shell, Mitsubishi, Sarawak State Financial Secretary). The selection between equity and non-equity alliance forms depends on the strategic value of the cooperation, the level of trust between partners, and the regulatory environment.

Malaysian Firms Entering ASEAN via Alliances — Grab, Genting, and CelcomDigi

Grab's regional expansion across Southeast Asia combined direct investment (wholly-owned subsidiary in Singapore) with strategic alliances (technology partnerships with OVO in Indonesia, partnerships with local logistics providers in Philippines and Vietnam). Genting Group's international casino resort strategy — Resorts World Las Vegas, Resorts World Sentosa, Resorts World New York — combines wholly-owned development with strategic partnerships with local real estate developers, government tourism authorities, and entertainment brands. CelcomDigi (post-merger) is exploring ASEAN digital financial services expansion through alliance partnerships rather than direct FDI, leveraging its strong brand and customer base in Malaysia as a launchpad for regional fintech services via partnership arrangements.

Diagram Note

Diagram Note: Strategic Alliance Framework

Visualise as a four-quadrant framework. Axes: Horizontal = Strategic Importance of Alliance (Low to High); Vertical = Partner Capability Complementarity (Low to High). [Low/Low] = Transactional partnerships (simple supply agreements). [High/Low] = Acquisition preferred (buy capability you lack). [Low/High] = Arm's-length licensing (partner has capability but alliance is not strategic). [High/High] = Equity Joint Venture or

deep strategic alliance — core collaboration zone. Alongside: Alliance Success Factors (list): Clear shared objectives, complementary resources, cultural compatibility, governance mechanisms, exit provisions, trust-building processes. Malaysian example: Axiata and Sinar Mas's PT XL Axiata (Indonesia) — equity joint venture in the high/high quadrant. Alliance risks: Partner opportunism, knowledge leakage, goal divergence over time.

Self-Reflection

Self-Reflection

1. A Sarawak-based artisanal food brand wishes to enter the Singapore and Indonesian markets. Using the Entry Mode Decision Tree framework, analyse which entry mode is most appropriate for each market, and justify your recommendation with reference to the brand's resources, the market opportunity, and the relevant risk factors. (CLO3)

Self-Reflection

2. Microsoft's RM 10.2 billion FDI in Malaysian data centres was driven by Sarawak's green energy advantage. From Sarawak's perspective as a host economy, what strategies should the Sarawak government and SDEC pursue to maximise the technology transfer, employment, and local supplier development benefits of this FDI? (CLO3)

Managerial Insight

Managerial Insight: ASEAN Digital Economy as an Entry Strategy Opportunity

The ASEAN Digital Economy Framework Agreement (DEFA), under negotiation since 2023, aims to harmonise digital trade rules across all 10 ASEAN members — including e-commerce, digital payments, data governance, and cybersecurity standards. When implemented, DEFA will dramatically reduce the regulatory friction for Malaysian digital businesses entering other ASEAN markets, creating a near-seamless digital single market of 680 million consumers.

Strategic Implication: Malaysian businesses with scalable digital products or services should proactively monitor DEFA negotiations and prepare their ASEAN market entry strategy now. Those that establish first-mover presence in key ASEAN markets before DEFA implementation will benefit from incumbency advantages when regulatory harmonisation lowers barriers for all competitors.

Summary

LU8 Key Takeaways:

- Global market analysis (PESTEL, cultural dimensions, digital economy mapping) is the foundation of sound international entry decisions.
- Entry modes range from low-commitment exporting to high-commitment FDI; the OLI framework explains FDI motivations systematically.
- Licensing and franchising enable IP monetisation internationally with limited capital; Marrybrown is a compelling Malaysian case.
- Strategic alliances combine resources for market entry; ASEAN DEFA signals transformational expansion in the regional digital economy opportunity.

Multiple Choice Questions (MCQS):

1. Dunning's OLI Paradigm identifies three advantages that motivate FDI. Which of the following correctly states all three?

   A) Operational, Logistical, and Investment advantages

   B) Ownership, Location, and Internalisation advantages

   C) Output, Labour, and Innovation advantages

   D) Overseas, Licensing, and Infrastructure advantages

2. Which market entry mode offers the lowest resource commitment but also the least control over international operations?

   A) Greenfield FDI

   B) Equity joint venture

C) Exporting

D) Franchising

3. Marrybrown's international expansion strategy into Saudi Arabia and the UAE primarily uses:

A) Greenfield FDI to build new restaurants entirely owned by Marrybrown

B) International franchising, granting master franchise licences to country partners

C) Portfolio investment through stock market listings

D) Exporting prepared food products for local distribution

4. Microsoft's RM 10.2 billion data centre investment in Malaysia is best classified as:

A) Horizontal greenfield FDI

B) Vertical FDI upstream

C) Portfolio investment

D) Contractual licensing

5. Hofstede's Cultural Dimensions framework is useful in global market analysis because it:

A) Provides financial data for market sizing calculations

B) Predicts exchange rate movements between ASEAN currencies

C) Provides empirically grounded insights into how cultural values affect consumer behaviour and communication preferences

D) Measures GDP growth rates across global markets

6. The ASEAN Digital Economy Framework Agreement (DEFA) primarily aims to:

A) Create a common ASEAN currency for digital payments

B) Harmonise digital trade rules across ASEAN to reduce regulatory friction for digital businesses

C) Regulate FDI ceilings for technology companies entering ASEAN

D) Standardise product tariff rates for physical goods across ASEAN

7. A Sarawak palm oil processor acquires a European specialty food distributor to control its downstream distribution channel. This is an example of:

A) Horizontal FDI

B) Portfolio investment

C) Greenfield FDI in the home country

D) Downstream vertical FDI

8. Which of the following is the primary RISK of international licensing as an entry mode?

A) Excessively high capital requirements for the licensor

B) Loss of control over product quality, brand standards, and customer service in the target market

C) Inability to earn royalty income from multiple markets simultaneously

D) Mandatory equity stake in the licensee company

Answer Key (LU8): 1-B, 2-C, 3-B, 4-A, 5-C, 6-B, 7-D, 8-B

Questions for Discussion

1. Using the Entry Mode Decision Tree, recommend and justify the optimal international market entry strategy for Marrybrown entering the Vietnamese market. Consider market size, competitive intensity, cultural distance, capital requirements, and brand control needs. (CLO3)
2. Evaluate the strategic rationale for Sarawak attracting FDI in green hydrogen and digital data centres. Using the OLI framework, identify Sarawak's Location Advantages in these sectors and recommend policy and marketing actions the Sarawak state government should take to maximise FDI attraction. (CLO3)
3. Grab's regional expansion across Southeast Asia combined direct investment, strategic alliances, and acquisitions. Analyse Grab's entry mode strategy using the strategic

alliance framework and evaluate whether its approach has been optimally calibrated to local market conditions across Indonesia, Thailand, and Vietnam. (CLO3)

Online Learning Resources

The following free resources supplement your study of this Learning Unit.

MIDA — Malaysia Investment Development Authority: FDI Guides (Free)

https://www.mida.gov.my

ASEAN.org — Investment Guides and Market Entry Resources (Free)

https://asean.org/our-communities/asean-economic-community/investment

World Bank — Doing Business & International Trade Data (Free)

https://www.worldbank.org/en/topic/trade

GlobalEdge (Michigan State University) — Global Market Entry Intelligence (Free)

https://globaledge.msu.edu

END OF TOPIC

CONSOLIDATED GLOSSARY OF MARKETING TERMS

The following glossary defines 50+ key marketing terms used across all eight learning units of MBA6673 Business Marketing Strategy. Terms are presented in alphabetical order. Students should use this glossary as a quick reference during study and assignment preparation.

4Ps / 7Ps (Marketing Mix): The 4Ps framework comprises Product, Price, Place, and Promotion — the four controllable elements a marketer uses to satisfy customer needs and achieve marketing objectives. The 7Ps extends this to include People, Process, and Physical Evidence, particularly applicable to services marketing (Kotler & Keller, 2022).

Ansoff Matrix: A strategic growth framework developed by Igor Ansoff (1957) that presents four strategic options — Market Penetration, Product Development, Market Development, and Diversification — defined by the relationship between existing/new products and existing/new markets. Widely used in marketing strategy formulation.

B2B Marketing (Business-to-Business): Marketing activities directed at organisations (firms, government agencies, non-profits) as customers rather than individual consumers. B2B marketing involves longer sales cycles, rational decision processes, multiple buying centre stakeholders, and relationship-based selling approaches.

B2C Marketing (Business-to-Consumer): Marketing activities targeting individual end consumers. B2C marketing typically involves mass media, emotional appeal, shorter purchase cycles, and is increasingly executed through digital platforms. Malaysian B2C digital marketing is heavily concentrated on Shopee, TikTok, Meta, and Google channels.

BCG Matrix (Boston Consulting Group): A portfolio planning tool that classifies strategic business units (SBUs) or products into four categories — Stars (high share/high growth), Question Marks (low share/high growth), Cash Cows (high share/low growth), and Dogs (low share/low growth) — based on their relative market share and market growth rate.

Blue Ocean Strategy: A strategic concept by Kim and Mauborgne (2004) advocating the creation of uncontested new market spaces ("blue oceans") rather than competing in existing, overcrowded markets ("red oceans"). Value innovation — simultaneously pursuing differentiation and cost reduction — is the cornerstone of Blue Ocean Strategy.

Brand Equity: The commercial value derived from consumer perception of a brand name beyond the functional value of the product it identifies. Brand equity encompasses brand awareness, brand associations, perceived quality, and brand loyalty. High brand equity enables premium pricing and provides a competitive moat (Hooley et al., 2024).

Branding: The strategic process of creating a distinctive name, symbol, identity, and perceived personality for a product or organisation that differentiates it from competitors in customers' minds. Branding decisions include brand architecture (family vs individual), brand naming, visual identity, and brand positioning.

CAC (Customer Acquisition Cost): A key digital marketing performance metric calculated as Total Marketing Spend ÷ Number of New Customers Acquired in the same period. CAC measures the efficiency of marketing investment and is most meaningful when compared to CLV (Customer Lifetime Value).

CLV (Customer Lifetime Value): The total net revenue a firm expects to earn from a customer throughout the entire duration of their relationship. CLV = Average Purchase Value × Purchase Frequency × Customer Lifespan. CLV guides investment in customer acquisition (how much can we profitably spend to acquire a customer of this type?) and customer retention.

Competitive Advantage: A superior position relative to competitors that enables a firm to create greater value for customers and/or earn above-average profits. Porter (1980) identifies Cost Leadership, Differentiation, and Focus as sources of sustainable competitive advantage. Digital marketing capabilities increasingly constitute competitive advantage in Malaysian markets.

Consumer Behaviour: The study of how individuals, groups, and organisations select, purchase, use, and dispose of goods, services, ideas, and experiences to satisfy needs. Consumer behaviour is shaped by cultural, social, personal, and psychological factors — all of which must be understood for effective marketing strategy development.

Content Marketing: A marketing approach focused on creating and distributing valuable, relevant, and consistent content to attract and engage a clearly defined audience — with the objective of driving profitable customer action. Content marketing builds trust and brand authority over time rather than interrupting audiences with direct advertising.

CTR (Click-Through Rate): A digital advertising performance metric calculated as (Clicks ÷ Impressions) × 100. CTR measures how effectively an ad or piece of content encourages users to click through to the intended destination. Higher CTR indicates more compelling creative or more precise audience targeting.

Customer Journey Map: A strategic tool that visualises the complete series of interactions a customer has with a brand from initial awareness through purchase and post-purchase experience. Journey maps identify touchpoints, pain points, and moments of truth where marketing can most effectively influence customer behaviour (Chaffey & Ellis-Chadwick, 2022).

Data-Driven Marketing: A marketing management approach that uses quantitative data from customer interactions, campaign performance, market research, and digital analytics to inform strategy, targeting, messaging, and optimisation decisions. MDEC's Malaysia Digital Economy Blueprint identifies data-driven marketing capability as a national competitiveness priority.

Digital Marketing: The application of digital technologies and online channels — websites, social media, search engines, email, mobile apps, content platforms, and digital advertising networks — to achieve marketing objectives. Digital marketing encompasses both paid (PPC, display, social ads) and organic (SEO, content, social) approaches.

Distribution Channel: The interconnected set of organisations and intermediaries through which products and services flow from producer to end consumer. Distribution channel design involves choosing between direct and indirect channels, the number of intermediary levels, and the appropriate type of channel members (agents, wholesalers, retailers).

Diversification: One of the four Ansoff Matrix growth strategies — developing new products for new markets. Diversification carries the highest risk of the four strategies as the firm lacks experience in both the product and market dimensions. Related diversification (leveraging existing capabilities) is typically lower-risk than unrelated diversification.

E-marketplace: A digital platform that facilitates commercial transactions between multiple buyers and multiple sellers. In Malaysia, Shopee and Lazada are the dominant consumer e-marketplaces; for B2B, Alibaba.com and RFQ platforms serve sourcing needs. E-marketplaces provide SMEs with instant market access without requiring proprietary e-commerce infrastructure.

FDI (Foreign Direct Investment): Investment involving long-term controlling interest in a business enterprise operating in a foreign country. FDI may take the form of greenfield investment (building new facilities), brownfield investment (acquiring existing facilities), or equity joint ventures. Sarawak has attracted significant FDI in digital infrastructure and green hydrogen.

Franchising: A business format licensing arrangement in which the franchisor grants the franchisee the rights to use its brand name, business systems, and operational know-how in exchange for fees and royalties. The franchisee operates as an independent business owner but must comply with the franchisor's standards. Marrybrown's international expansion uses franchising extensively.

Global Marketing: The process of planning, executing, and controlling the marketing mix for products across national boundaries. Global marketing involves managing the tension between standardisation (scale efficiency) and local adaptation (market responsiveness) to optimise performance in multiple country markets (Keegan & Green, 2025).

Global Strategy: An international strategy type where a firm treats the world as a single market, pursuing maximum standardisation of products, marketing, and operations to achieve cost efficiency. Global strategy sacrifices local responsiveness for scale economies. Appropriate when cost pressures are high and local adaptation requirements are low.

Hofstede's Dimensions: A framework developed by Geert Hofstede measuring national cultural dimensions: Power Distance, Individualism/Collectivism, Masculinity/Femininity, Uncertainty Avoidance, Long-Term Orientation, and Indulgence/Restraint. These dimensions provide marketing managers with data-driven insights into cultural differences that affect consumer behaviour and communication strategies.

IMC (Integrated Marketing Communications): The strategic coordination of all marketing communication channels and messages to deliver a consistent, coherent, and compelling brand experience across all customer touchpoints. IMC recognises that customer brand perception is shaped by every interaction — from advertising to customer service to packaging to social media content.

Influencer Marketing: A marketing strategy that leverages individuals with significant social media followings to promote products and services to their audiences. Malaysian influencer marketing spans mega, macro, micro, and nano tiers, with micro-influencers (10K–100K followers) preferred by SMEs for high engagement rates and authentic audience relationships.

Innovation: The process of translating a novel idea into a commercially valuable product, service, process, or business model. Innovation is classified by novelty (incremental vs radical) and domain (product, process, position, or paradigm). Open innovation strategies leverage external knowledge sources to accelerate the innovation process.

International Licensing: A contractual arrangement where the licensor grants a foreign licensee the right to use intellectual property (patents, trademarks, trade secrets, know-how) in exchange for royalties or fees. Licensing enables international revenue generation with minimal capital investment but limits the licensor's control over quality and brand standards.

Live Commerce: An e-commerce format combining live video streaming with real-time product demonstrations and in-stream purchasing capabilities. Live commerce has grown rapidly in Malaysia through Shopee Live and TikTok Shop, generating conversion rates significantly higher than conventional e-commerce listings through real-time engagement and scarcity mechanics.

Market Entry Mode: The strategic choice of how a firm will participate in a foreign market — options include exporting, licensing, franchising, joint ventures, and wholly-owned subsidiaries (FDI). Entry mode selection depends on the firm's ownership advantages, the location advantages of the target market, and internalisation benefits (Dunning's OLI framework).

Market Penetration: One of the four Ansoff Matrix growth strategies — increasing sales of existing products in existing markets. Market penetration tactics include increasing purchase frequency among existing customers, attracting competitor customers, and expanding into previously underserved sub-segments within the existing market.

Market Research: The systematic process of collecting, analysing, and interpreting data about target markets, customers, competitors, and the marketing environment to inform business and marketing decisions. Market research encompasses primary research (surveys, interviews, focus groups, observation) and secondary research (published data, industry reports, competitor analysis).

Market Segmentation: The process of dividing a heterogeneous market into distinct homogeneous subgroups (segments) of customers who share similar needs, behaviours, or characteristics. Common segmentation bases include geographic, demographic, psychographic, and behavioural variables. Effective segmentation is the foundation of targeted, efficient marketing strategy.

Marketing Analytics: The practice of using data analysis to measure, manage, and optimise marketing performance. Marketing analytics encompasses campaign performance

measurement (CTR, conversion rate, ROAS), customer analytics (CLV, CAC, churn rate), and market analytics (share of voice, brand sentiment, competitive benchmarking).

Marketing Automation: The use of software and technology to automate repetitive marketing tasks — including email drip campaigns, social media posting, lead scoring, and CRM updates — enabling marketers to engage customers at scale with personalised communications triggered by specific behaviours or time schedules.

Open Innovation: A model advocated by Henry Chesbrough (2003) in which firms deliberately use both external idea inflows and internal knowledge outflows to accelerate innovation. Open innovation contrasts with closed innovation (all R&D internal) by recognising that valuable knowledge is widely distributed and that external partnerships can reduce time and cost to market.

Omnichannel: A customer experience strategy that provides a seamless, integrated experience across all channels — online and offline, mobile and desktop, physical and digital. An omnichannel approach ensures that customer interactions are consistent and mutually reinforcing regardless of the channel through which they occur.

Performance Marketing: A digital marketing model where advertisers only pay for specific measurable outcomes (clicks, leads, sales, conversions) rather than for advertising exposure. Performance marketing channels include Google Ads (PPC), affiliate marketing, and social media retargeting campaigns. Key metrics: ROAS, CPC, CPA, conversion rate.

PESTEL Analysis: A strategic environmental scanning framework analysing Political, Economic, Social, Technological, Environmental, and Legal dimensions of the external business environment. PESTEL is a foundational tool for global market analysis, helping firms identify opportunities and threats in potential international markets.

Porter's Generic Strategies: Three competitive strategy options identified by Michael Porter (1980): Cost Leadership (achieving lowest cost in the industry), Differentiation (unique product attributes valued by customers), and Focus (serving a narrow market segment with cost

or differentiation advantage). Porter warns that firms "stuck in the middle" achieve mediocre performance.

Positioning: The strategic process of designing a product and its marketing mix to occupy a distinctive, desirable, and credible place in the target customer's mind relative to competitor offerings. Effective positioning statements specify target customer, frame of reference, key benefit, and reason to believe.

Pricing Strategy: The approach a firm uses to set prices for its products or services. Major pricing strategies include cost-plus pricing, value-based pricing, competitive pricing, penetration pricing, price skimming, psychological pricing, and dynamic pricing. Price is the only marketing mix element that generates revenue directly.

Product Life Cycle: A model describing the stages a product passes through from introduction to decline: Introduction (slow growth, negative profit), Growth (rapid sales increase), Maturity (sales plateau, peak profit, intense competition), and Decline (falling sales and margins). PLC stage determines appropriate marketing strategy (Kotler & Keller, 2022).

Promotional Mix: The combination of communication tools used to promote a product or service: Advertising, Personal Selling, Sales Promotion, Public Relations, and Direct Marketing. Digital marketing has expanded the promotional mix with social media marketing, content marketing, influencer marketing, and performance marketing.

SEO / SEM: Search Engine Optimisation (SEO) is the practice of improving organic (unpaid) search visibility through technical website optimisation, quality content, and backlink building. Search Engine Marketing (SEM) refers to paid search advertising (Google Ads) to appear at the top of search results for relevant keywords. Both are critical for Malaysian digital marketing.

Social Media Marketing: The use of social media platforms — Facebook, Instagram, TikTok, Twitter/X, LinkedIn, YouTube — to build brand awareness, engage audiences, drive traffic, and generate leads or sales. Malaysian social media marketing is dominated by

Facebook/Instagram (Meta), TikTok, and YouTube, with WhatsApp as a near-ubiquitous direct communication channel.

Strategic Alliance: A cooperative arrangement between two or more independent firms that pool resources and capabilities to pursue mutual strategic objectives while maintaining their separate identities. Forms include equity joint ventures, contractual alliances, and consortium arrangements. Strategic alliances are widely used by Malaysian firms for international market entry.

STP (Segmentation, Targeting, Positioning): The foundational marketing strategy framework comprising three sequential steps: Segmentation (dividing the market into distinct customer groups), Targeting (selecting which segments to pursue based on attractiveness and fit), and Positioning (designing the value proposition and marketing mix to create a distinctive position in the target segment's mind).

UTM Tagging: A digital analytics technique involving the addition of tracking parameters (UTM codes) to URL links in digital marketing campaigns, enabling Google Analytics and other analytics platforms to identify the source, medium, campaign name, and content of each website visit. UTM tagging is essential for attributing conversions to specific marketing activities.

Value Proposition: The explicit statement of the unique value a product or service delivers to a specific customer segment — articulating what problem it solves, what benefits it provides, and why it is better or different from alternatives. A compelling value proposition is the foundation of effective positioning and marketing communication strategy.

ANSWER KEY FOR SELF-CHECK MULTIPLE CHOICE QUESTIONS

The correct answers for all Self-Check MCQs in MBA6673 Business Marketing Strategy are listed below. LU1–LU4 answers are compiled in the separate LU1–LU4 content module. Students are encouraged to attempt all questions before consulting this key.

Learning Unit	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8
LU1	See	LU1	content	module	—	—	—	—
LU2	See	LU2	content	module	—	—	—	—
LU3	See	LU3	content	module	—	—	—	—
LU4	See	LU4	content	module	—	—	—	—
LU5	C	C	B	C	B	C	B	B
LU6	B	B	C	B	C	B	B	—
LU7	C	B	D	C	C	C	C	—
LU8	B	C	B	A	C	B	D	B

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CA1 — 35% | Individual Written	Global Business Marketing Strategy Analysis

Assessment Overview

Assessment Component	Detail
Type	Individual Written Assignment
CLO Alignment	CLO1 — Analyse the global business strategies that companies used to reach their customers
Word Count	1,500–2,000 words (excluding title page, tables, and reference list)
Due Date	Week 7 — submit via i-CATS LMS by 11:59 PM
Submission Format	Microsoft Word (.docx) or PDF uploaded to i-CATS LMS
Assessment SLT	30 hours self-directed learning time (included in course SLT)

Assessment Task

Select ONE firm from the following categories: (a) a Sarawak-based firm with national or regional market presence (e.g., Sarawak Pepper Marketing Board, Sarawak Tourism Board, a Kuching-based café or food brand, SDEC-supported digital startup); (b) a Malaysian-based company with ASEAN presence (e.g., AirAsia, Grab, Marrybrown, CelcomDigi, Petronas downstream); or (c) an ASEAN-based firm with significant Malaysian operations. You will analyse the firm's global marketing strategy through four structured questions.

Required Questions

1. PESTEL Analysis (Marks: 8): Conduct a PESTEL analysis of the external environment facing your chosen firm. For each of the six dimensions (Political, Economic, Social, Technological, Environmental, Legal), identify at least two factors relevant to your firm's marketing environment and explain their strategic implications. Where possible, use specific data, statistics, or recent developments to support your analysis.

2. Global Marketing Strategy Analysis (Marks: 10): Analyse the firm's global marketing strategy. How does it configure and coordinate its marketing activities across markets? Classify the firm's international strategy (International, Multi-Domestic, Global, or Transnational — using Hill & Hult, 2022 framework) and provide evidence from the firm's actual marketing mix decisions to support your classification. Evaluate the appropriateness of this strategy choice given the firm's competitive environment.
3. Customer Reach Strategy — Segmentation, Targeting, and Channels (Marks: 10): Evaluate the firm's customer reach strategy. What market segments does it target (using demographic, geographic, psychographic, or behavioural bases)? Through which channels does it reach these segments (physical, digital, or omnichannel)? Assess the effectiveness of its channel strategy with specific evidence and recommend at least one channel improvement.
4. Strategic Challenges and Recommendations (Marks: 7): Identify two key challenges the firm faces in its global marketing environment (e.g., increasing digital competition, regulatory barriers in target markets, cultural adaptation challenges, sustainability/ESG pressures). For each challenge, recommend a specific, evidence-based strategic marketing response, justifying your recommendation with reference to relevant theoretical frameworks from LU1–LU4.

AI and Academic Integrity Note

AI Integrity Note: Students may use AI tools (e.g., ChatGPT, Gemini, Canva AI) for ideation, structuring, or editing support. However, all analysis, arguments, and critical judgements must be the student's own original work. Students must: (1) disclose all AI tools used and the purpose in an 'AI Tools Used' declaration appended to their submission; (2) verify all AI-generated content against course readings, case facts, and their own reasoning; (3) not submit AI-generated text as original work; (4) comply with Malaysia's PDPA 2010 and i-CATS academic integrity policies. AI use that substitutes for genuine academic work will be treated as academic misconduct.

Assessment Rubric — CA1

Criterion	Distinction (75–100%)	Merit (65–74%)	Pass (50–64%)	Fail (<50%)

Quality of Global Strategy Analysis (Q2)	Precise classification of international strategy type with compelling evidence from firm's actual marketing mix decisions; sophisticated analysis of standardise/adapt tensions; linkage to Keegan & Green or Hill & Hult frameworks throughout.	Good strategy classification with reasonable evidence; some analysis of adaptation/standardisation trade-offs; theory referenced but not always integrated.	Basic identification of strategy type with limited evidence; theory mentioned but minimally applied; superficial analysis of marketing mix configuration.	Incorrect or absent strategy classification; no theoretical framework applied; description only, no analysis.
PESTEL Application (Q1)	All six PESTEL dimensions covered with specific, relevant factors supported by data or named recent developments; clear articulation of strategic implications for the firm's marketing.	Most PESTEL dimensions covered; factors specific to the firm; implications partially developed.	Basic PESTEL coverage; some factors generic rather than firm-specific; limited implications.	Incomplete PESTEL (fewer than 4 dimensions); no firm-specific factors; no implications.

Customer Reach and Channel Analysis (Q3)	Precise STP analysis with evidence-backed segmentation; comprehensive channel mapping with data; insightful, actionable channel improvement recommendation grounded in Malaysian/digital market context.	Good STP identification; reasonable channel analysis; recommendation present but less specific.	Basic STP description; channel listing without depth; recommendation vague.	No STP analysis; channel list only; no recommendation.
Strategic Recommendations Quality (Q4)	Two well-identified challenges directly supported by evidence; recommendations are specific, creative, and fully justified using theory from LU1–LU4; demonstrates integration of environmental awareness and strategic thinking.	Two relevant challenges identified; recommendations reasonable with some theoretical grounding.	At least one challenge identified; recommendation present but weakly justified.	Challenges vague or absent; recommendations unsupported by theory or evidence.

CA2 — 35% | Individual Case	Marketing Strategy Case Study: Sarawak Tourism Board

Assessment Overview

Assessment Component	Detail
Type	Individual Case Study Analysis
CLO Alignment	CLO2 — Classify the key issues behind marketing strategies selection that company used to reach their global customers
Word Count	1,500–2,000 words (excluding title page and reference list)
Due Date	Week 11 — submit via i-CATS LMS by 11:59 PM
Submission Format	Microsoft Word (.docx) or PDF uploaded to i-CATS LMS
Assessment SLT	30 hours self-directed learning time

Case Scenario

Sarawak Tourism Board (STB) is developing a regional and international market expansion strategy for the 2025–2028 period. The objective is to significantly increase international visitor arrivals — specifically targeting four priority origin markets: Singapore (1–2 hour flight; cultural familiarity); Indonesia (large Muslim-majority population with growing middle class; appeal of Sarawak's halal tourism and nature experiences); Brunei (high per-capita income; strong cultural affinity); and one long-haul market — either China (world's largest outbound tourism market) or Australia (high-spending travellers with strong interest in eco-tourism and adventure experiences).

STB has a total international marketing budget of RM 15 million for this 3-year campaign and must decide: how to segment and target within each source market; how to position Sarawak relative to competing regional destinations (Bali, Kota Kinabalu, Phuket, Singapore); what marketing channel mix to use (digital, traditional, influencer, trade/tourism fair); whether to standardise the Sarawak brand message globally or adapt messaging for each source market; and what new products or experiences need to be developed to address emerging visitor needs.

Required Structure

1. Situation Analysis (approximately 400 words): Using PESTEL (or a condensed version focusing on the most relevant 3–4 dimensions) and a brief competitive positioning analysis, diagnose the key opportunities and threats facing Sarawak Tourism Board in its target international markets. What are Sarawak's core destination strengths and weaknesses relative to competing ASEAN destinations?
2. Classification of Key Strategic Marketing Issues (approximately 600 words): This is the core of your analysis. Identify and classify the 4–6 most critical strategic marketing issues STB must resolve, including: (a) Segmentation and Targeting choices — who precisely are the priority visitor segments in each source market?; (b) Brand Positioning — what is Sarawak's distinctive brand position, and does it need to vary by source market?; (c) Digital vs Traditional channel mix — how should the RM 15M budget be allocated across digital marketing (social media, SEM, influencer), traditional (trade fairs, travel agent partnerships, broadcast media), and experiential/PR activities?; (d) Global-Local Adaptation challenge — should messaging be standardised or adapted for Chinese versus Australian versus Singaporean visitors?; (e) Product development — are there new tourism experiences Sarawak needs to develop to address emerging visitor motivations (sustainability, adventure, gastronomy, cultural immersion)?
3. Recommended Strategic Options (approximately 400 words): Recommend a prioritised marketing strategy for STB. Select your top two priority source markets (justify why), specify the recommended positioning statement for each, outline the recommended channel mix, and identify the single most important new product/experience investment STB should make. Justify your recommendations with reference to relevant frameworks from LU5–LU6 and the case data.

AI and Academic Integrity Note

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integrity policies. AI use that substitutes for genuine academic work will be treated as academic misconduct.

Assessment Rubric — CA2

Criterion	Distinction (75–100%)	Merit (65–74%)	Pass (50–64%)	Fail (<50%)
Identification and Classification of Strategic Issues (Q2)	All 4–6 strategic issues identified with precise classification using LU5–LU6 frameworks; sophisticated analysis of the tensions between global-local adaptation, digital-traditional mix, and segmentation complexity; use of specific data and destination marketing evidence.	Most strategic issues identified and reasonably classified; good framework application; some analytical gaps.	Basic issues identified; limited classification framework; analysis largely descriptive.	Fewer than 3 issues identified; no classification framework; description without analysis.
Linkage to Theory and Tools	Precise and accurate application of STP, IMC, digital channel frameworks, and global-local	Good theory application with minor gaps; most key frameworks referenced; citations mostly correct.	Some theory referenced but superficially; frameworks mentioned but not applied analytically.	No theoretical frameworks applied; theory section absent; no citations.

	adaptation models; theory integrated throughout analysis rather than listed separately; APA 7th citations accurate.			
Depth of Critical Thinking	Demonstrates sophisticated understanding of strategic trade-offs (budget allocation dilemmas, standardise vs adapt tensions, digital-traditional balance); analysis goes beyond obvious observations to generate non-trivial insights; uses comparative destination marketing evidence.	Good analytical depth; some evidence of trade-off thinking; mostly logical arguments.	Basic analysis; limited trade-off reasoning; arguments mostly obvious or descriptive.	No critical analysis; purely descriptive; no evidence of strategic thinking.
Structure, Recommendations, and Justification	Clear three-part structure; specific,	Good structure; recommendations present with	Adequate structure; basic recommendations	Poor or absent structure; no recommendations;

	actionable recommendations with explicit budget allocation logic; positioning statements articulated clearly; justification connects recommendations to diagnosis and theory.	reasonable justification; minor gaps in budget logic.	with limited justification.	unjustified conclusions.

Final Assessment — 30% | Individual	Digital and Global Marketing Strategy Project

Assessment Overview

Assessment Component	Detail
Type	Individual Project-Based Assignment
CLO Alignment	CLO3 — Evaluate marketing innovation and strategic elements for effective global market entry, using digital tools to support efficient decision-making and operations
Word Count	2,000–2,500 words (excluding title page, tables, appendices, and references)
Release Date	Week 12 — distributed via i-CATS LMS
Submission Deadline	Week 14 — submit via i-CATS LMS by 11:59 PM
Submission Format	Microsoft Word (.docx) or PDF; include a 1-page Executive Summary at the front
Assessment SLT	30 hours self-directed learning time

Assessment Task

You are a marketing consultant engaged to develop a comprehensive marketing strategy and digital marketing plan for a Sarawak-based or Malaysian-based organisation that is entering OR deepening its presence in one or more global markets. You may choose a real organisation (Sarawak-based firm, Malaysian SME, Malaysian brand expanding regionally) or design a credible hypothetical organisation with a realistic product/service offering.

The strategy must explicitly incorporate: (1) innovation in the firm's value proposition or marketing model; (2) digital tools (social media, performance marketing, marketing automation, analytics) as central strategic components; and (3) current global and Malaysian marketing trends (omnichannel, live commerce, AI-driven personalisation, ASEAN digital economy, ESG/sustainability positioning).

Required Sections and Mark Allocation

1. Situation Analysis (5 marks): Brief PESTEL analysis focused on your chosen firm's target global market(s); SWOT analysis of the firm's marketing position; key market opportunity statement.
2. Marketing Objectives (3 marks): Three SMART marketing objectives for the strategy (e.g., achieve X% brand awareness in target market within 12 months; acquire Y new customers through digital channels; achieve Z% revenue from international markets within 24 months).
3. Target Market and Positioning Strategy (5 marks): STP analysis — segment description, targeting rationale, and positioning statement (what need, for whom, why better than alternatives). Explain how positioning addresses identified global and local market insights.
4. Marketing Mix Strategy (5 marks): Apply the 7Ps framework to your chosen firm. For each of the 7Ps, specify strategic choices and justify them in the context of your target market and positioning. Identify which Ps are most critical for competitive differentiation.
5. Digital Marketing Plan (7 marks): Detail the firm's digital marketing strategy across: (a) content and social media (platforms chosen, content themes, frequency, influencer vs. brand-generated content); (b) performance marketing (Google Ads, Meta Ads, TikTok Ads — objectives, targeting approach, budget rationale); (c) marketing automation (email flows, chatbot or WhatsApp Business, CRM integration); (d) analytics and measurement (what tools will be used, which metrics tracked, how performance will be monitored and optimised).
6. Implementation Plan (3 marks): 12-month timeline showing key activities, budget allocation across channels (specify % of total budget for each major channel), and team/resource requirements.
7. Success Metrics (2 marks): Specify at least five KPIs using the formulas: CTR = (Clicks ÷ Impressions) × 100; Conversion Rate = (Conversions ÷ Visits) × 100; CAC = Total Marketing Spend ÷ New Customers Acquired; CLV = Avg Purchase Value × Purchase Frequency × Customer Lifespan; ROAS = Revenue Generated ÷ Ad Spend. Justify the target levels for each KPI.

AI and Academic Integrity Note

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Assessment Rubric — Final Assessment

Criterion	Distinction (75–100%)	Merit (65–74%)	Pass (50–64%)	Fail (<50%)
Integration of Innovation and Global Strategy (Sections 1–4)	Strategy demonstrates genuine innovation in value proposition or marketing model; global market entry strategy is clearly reasoned using LU7–LU8 frameworks; positioning is distinctive and credible in context; all 7Ps coherently integrated.	Good innovation element; strategy largely coherent; 7Ps mostly well-developed; minor gaps in global entry reasoning.	Basic strategy present; innovation element weak or generic; 7Ps incomplete; limited use of entry strategy frameworks.	No innovation; no global strategy reasoning; 7Ps incomplete or incorrect; frameworks absent.

Digital Marketing Plan Appropriateness and Justification (Section 5)	Digital marketing plan is comprehensive, channel choices clearly justified by target audience data; automation strategy demonstrates practical knowledge; analytics plan specifies tools, dashboards, and optimisation processes; formulas correctly applied to Malaysian context.	Good digital plan with reasonable channel justification; automation referenced; analytics plan present; minor gaps.	Basic digital plan; channel list without depth; automation and analytics minimal; limited justification.	Digital plan absent or generic; no channel justification; formulas missing or incorrect.
Feasibility and Clarity of Implementation Plan (Section 6)	Realistic, detailed 12-month timeline; budget allocation across channels is logical and proportional; resource requirements	Good timeline; reasonable budget allocation; resources identified; minor gaps in specificity.	Basic timeline; budget allocation vague; resources mentioned but not detailed.	No timeline; no budget allocation; plan not actionable.

	clearly identified; plan is actionable and specific.			
Strategic Alignment with CLO3 and KPI Quality (Section 7)	All five KPI formulas correctly applied; target values justified with benchmarks or Malaysian market data; KPIs directly measure the success of strategic objectives; demonstrates understanding of digital marketing measurement.	Most KPIs correctly calculated; target values present; reasonable alignment with objectives.	Some KPIs present; calculation attempts with minor errors; weak linkage to strategy.	KPIs absent or incorrect; no formulas applied; no measurement framework.

APPENDIX A: MARKETING AND DIGITAL TOOLS GUIDE (BY LEARNING UNIT)

The following tables provide recommended tools and resources for each Learning Unit in MBA6673. All tools listed at no cost can be accessed by students without subscription. Tools marked "Free tier" provide basic functionality without charge but may offer premium features at a cost. Use these tools to support your learning, research, and assessment preparation.

LU1 & LU2: Global Marketing Strategy and the Marketing Environment

Tool / Resource	Link	Cost	How to Use for This LU
PESTEL Template (free, HubSpot)	https://offers.hubspot.com	Free	Download template; use to structure PESTEL analysis for any firm in assessments
SEMrush (free tier)	https://www.semrush.com	Free tier / paid	Competitive SEO and digital market analysis; track competitor keyword rankings
Statista (free partial access)	https://www.statista.com	Free (limited)	Global market data, industry statistics; use for PESTEL economic/social data
Google Trends	https://trends.google.com	Free	Analyse search interest for marketing topics, product categories; Malaysia filter available
Hofstede Insights Country Comparison Tool	https://www.hofstede-insights.com/country-comparison	Free	Compare Hofstede cultural dimension scores across countries for LU2 cultural analysis

LU3 & LU4: Consumer Behaviour and Market Research

Tool / Resource	Link	Cost	How to Use for This LU
Google Forms	https://forms.google.com	Free	Create and distribute consumer surveys; export data to Google Sheets for analysis
Google Analytics 4 (GA4)	https://analytics.google.com	Free	Website and campaign analytics; track user behaviour, conversion funnels, traffic sources
Meta Business Suite	https://business.facebook.com	Free	Social media audience insights, ad performance data, page analytics for Malaysia market
Miro (free tier)	https://miro.com	Free tier	Collaborative journey mapping, persona building, and workshop facilitation online
MDEC Digital Consumer Reports	https://mdec.my	Free	Malaysian consumer digital behaviour data; use to contextualise consumer behaviour research

LU5: Marketing Mix Strategy

Tool / Resource	Link	Cost	How to Use for This LU
HubSpot Academy — Inbound Marketing Certification	https://academy.hubspot.com	Free	Covers content marketing, email, SEO, and marketing mix; includes quiz-based certification

Meta Blueprint — Digital Advertising	https://www.facebook.com/business/learn	Free	Learn Meta Ads targeting, creative, and measurement; directly applicable to CA promotional mix analysis
Google Digital Garage — Digital Marketing Fundamentals	https://learndigital.withgoogle.com	Free + certified	26-module course covering all digital marketing fundamentals; Google-certified qualification
Shopee Seller Academy	https://seller.shopee.com.my/edu/home	Free	E-commerce and channel strategy resources specific to Shopee Malaysia marketplace
Mailchimp (free tier)	https://mailchimp.com	Free tier	Email marketing platform; use to understand and practise direct marketing and automation

LU6: Innovation Management

Tool / Resource	Link	Cost	How to Use for This LU
IDEO Design Thinking Toolkit (free PDF)	https://www.ideo.com/post/design-thinking-for-educators	Free	Download full toolkit; use Design Thinking process for innovation management assignments

MIT OpenCourseWare — Managing Innovation	https://ocw.mit.edu	Free	Full course lectures and materials on innovation management; supplement LU6 theory
MDEC AI Toolkit and Resources	https://mdec.my	Free	AI adoption guides for Malaysian businesses; use for LU6 AI in marketing analysis
Miro (free tier)	https://miro.com	Free tier	Innovation brainstorming, Open Innovation canvas, and collaboration boards

LU7: Formulating and Implementing the Strategy

Tool / Resource	Link	Cost	How to Use for This LU
McKinsey Insights — Strategy Articles	https://www.mckinsey.com/capabilities/strategy-and-corporate-finance/our-insights	Free	High-quality strategy articles; use for real-world Ansoff, Porter, and implementation examples
Balanced Scorecard Institute Templates	https://www.balancedscorecard.org	Free	BSC templates and guides; use for LU7 strategy implementation section
SME Corp Malaysia	https://www.smecorp.gov.my	Free	SME strategy development

			resources, export readiness tools, and development programme guides
Harvard Business Review — Strategy (free articles)	https://hbr.org/topic/subject/strategy	Free (limited)	Classic HBR strategy articles by Porter, Prahalad, and others; supplement LU7 theory

LU8: Strategies for Analysing and Entering Global Markets

Tool / Resource	Link	Cost	How to Use for This LU
MIDA — Malaysia Investment Development Authority	https://www.mida.gov.my	Free	FDI guides, investment incentives, Sarawak entry information; use for LU8 FDI analysis
ASEAN.org — Investment Guides	https://asean.org/our-communities/asean-economic-community/investment	Free	ASEAN market entry data, investment frameworks; use for LU8 entry mode analysis
World Bank — Trade and Business Data	https://www.worldbank.org/en/topic/trade	Free	Global trade data, Doing Business indicators; use to

			compare market entry environments
GlobalEdge (Michigan State University)	https://globaledge.msu.edu	Free	Country profiles, market entry guides, trade data; comprehensive resource for LU8 global market analysis

Responsible AI and Data Use in Marketing Studies

AI tools including ChatGPT, Gemini, Canva AI, Jasper, Meta Advantage+, and Google Performance Max may legitimately support marketing copy ideation, campaign creative testing, content brainstorming, and analytics interpretation. However, all use of AI tools in academic work requires: (1) disclosure in an "AI Tools Used" declaration; (2) critical human review of all AI outputs — AI tools frequently generate plausible-sounding but factually incorrect information ("hallucinations"); (3) compliance with Malaysia's Personal Data Protection Act (PDPA 2010) — do not upload personally identifiable customer data or confidential business information to external AI platforms; (4) compliance with i-CATS University College AI Usage and Academic Integrity policies. AI-assisted work that is submitted without disclosure, or AI outputs submitted as original analysis, constitutes academic misconduct.

APPENDIX B: FRAMEWORK AND CANVAS REFERENCE CARDS

The following reference cards provide concise descriptions and usage guides for the key strategic frameworks used in MBA6673. Use these reference cards during study and for assessment preparation.

B.1 STP Framework: Segmentation → Targeting → Positioning

Diagram Note

Framework Structure:

- STEP 1 — SEGMENTATION: Divide the total market into distinct customer groups using: Geographic (region, country, urban/rural — e.g., West vs East Malaysia); Demographic (age, income, education, occupation); Psychographic (lifestyle, values, attitudes); Behavioural (purchase frequency, usage rate, brand loyalty, benefits sought).
- STEP 2 — TARGETING: Evaluate each segment using: Size (is the segment large enough to be profitable?), Growth (is it growing?), Accessibility (can we reach it efficiently?), Firm fit (do our capabilities match segment needs?), Competitive intensity (how many rivals compete for this segment?). Select one or more segments to serve.
- STEP 3 — POSITIONING: Design the value proposition and marketing mix to occupy a distinctive place in the target customer's mind. Positioning statement formula: "For [target customer], [brand/product] is the [frame of reference] that [key benefit] because [reason to believe]."

Sarawak Tourism Board STP Example: SEGMENT — International eco-tourists aged 30–55, high income, interested in nature and indigenous cultures. TARGET — Singapore and Australia primary; China and Indonesia secondary. POSITIONING — "Sarawak: Where the Ancient Rainforest Meets Living Culture" — the definitive eco-cultural destination in Borneo, offering unique UNESCO-class biodiversity and authentic Dayak cultural experiences unavailable anywhere else in Southeast Asia.

B.2 4Ps and 7Ps Marketing Mix Grid

Marketing Mix Element	Key Decisions	Malaysian Digital/Service Business Example
Product	Core, actual, augmented levels; branding; NPD; product line; quality	Grab app: core = transport; actual = ride-hailing app; augmented = loyalty points, insurance, 24/7 support
Price	Pricing strategy (skim/penetrate/value/competitive); price tiers; discounts; payment terms	Shopee: dynamic promotions, flash sales, free shipping thresholds, ShopeePay cashback
Place (Distribution)	Channel structure; e-commerce vs physical; logistics; intermediary selection	Marrybrown: company-owned + franchised restaurants + delivery platforms (Grab, Foodpanda)
Promotion	Advertising; social media; influencer; PR; sales promotion; direct/email	CelcomDigi: TikTok brand campaigns, Meta Ads, influencer partnerships, loyalty programme
People (Services +)	Customer-facing staff training; service culture; brand ambassadors	Maybank: frontline banker customer service excellence; digital assistant "Ask Maya"
Process (Services +)	Service delivery process; customer journey design; automation	AirAsia: fully digital booking, mobile check-in, self-service baggage, digital boarding pass
Physical Evidence (Services +)	Service environment; packaging; digital UI/UX design; uniforms; receipts	Starbucks Malaysia: store ambience, cup design, mobile app UX as physical evidence

B.3 Ansoff Matrix — Strategic Growth Options

Quadrant	Strategy	Risk Level	Malaysian Example
Existing Product / Existing Market	Market Penetration	Lowest	Milo Malaysia increasing consumption frequency through Milo Breakfast Campaign
New Product / Existing Market	Product Development	Medium	Grab launching GrabPay and GrabFinancial services for its existing transport users
Existing Product / New Market	Market Development	Medium	Old Town White Coffee expanding from Malaysia to China, Indonesia, and Vietnam
New Product / New Market	Diversification	Highest	Genting Group moving from Malaysian resort gaming into Las Vegas (Resorts World Las Vegas)

B.4 BCG Matrix — Portfolio Planning

BCG Quadrant	Description	Strategic Action	Malaysian Brand Example
Stars (High Share / High Growth)	Market leaders in fast-growing markets; require investment to maintain position	Invest to maintain leadership; build market share	Grab GrabFood in Malaysian food delivery (high share, high growth market)
Question Marks (Low Share / High Growth)	Small market share in fast-growing markets;	Selective investment; build to Star or divest	Malaysian digital banks (GXBank, AEON Bank) — early stage in growing fintech market

	uncertain future; require resources		
Cash Cows (High Share / Low Growth)	Market leaders in mature, slow-growing markets; generate strong cash flow	Harvest cash to fund Stars and Question Marks	Maxis postpaid subscription in mature Malaysian mobile market
Dogs (Low Share / Low Growth)	Weak competitive position in slow-growing markets; minimal cash generation	Divest or manage for minimal cost	Print media advertising in Malaysia — declining market, declining share for most publishers

B.5 Porter's Generic Strategies

Strategy	Description	Source of Advantage	Malaysian Example
Cost Leadership	Lowest cost producer in the industry; enables price competition or higher margins at competitive prices	Operational efficiency, scale, process innovation	AirAsia: single aircraft type (A320), no-frills model, direct digital booking eliminates agent commissions
Differentiation	Unique product/service attributes valued by customers; sustain price premium	Brand equity, technology, quality, innovation, customer experience	Petronas: technical expertise, national champion brand, integrated downstream products

Focus — Cost	Cost leadership in a narrow segment	Serving specific niche at lowest cost	Budget independent hotel chains targeting domestic business travellers in secondary Malaysian cities
Focus — Differentiation	Differentiation in a narrow segment	Unique value for a specific customer group	Sarawak Tourism Board targeting eco-tourists and indigenous cultural tourism enthusiasts globally

B.6 Customer Journey Map — Five Stages

Stage	Customer Goal	Key Touchpoints	Digital Channel Examples (Malaysia)
1. Awareness	Become aware of need or product	Social media, search ads, word of mouth, influencer content, TikTok viral content	TikTok organic content, Meta awareness ads, Google Display ads
2. Consideration	Research options, compare alternatives	Website, reviews (Shopee/Lazada ratings), YouTube product demos, WhatsApp enquiries	Google Search, Shopee product pages, YouTube reviews, SEO-optimised blog content
3. Purchase	Make the purchase decision	E-commerce checkout (Shopee, Lazada), in-store, WhatsApp order, live commerce	ShopeePay, GrabPay, DuitNow QR, live-stream "add to cart"

4. Retention	Continue using product, rebuy	Email / WhatsApp follow-up, loyalty programme, customer service	Shopee loyalty vouchers, email drip campaign, WhatsApp Business broadcast
5. Advocacy	Recommend to others, generate reviews	User reviews, social media sharing, referral programmes, UGC	Shopee/Lazada star ratings, Instagram UGC reposts, Grab referral code

B.7 Digital Marketing Funnel and Key Metrics

Diagram Note

Digital Marketing Funnel — TOFU / MOFU / BOFU Model

- TOP OF FUNNEL (TOFU) — Awareness: Goal = maximum reach and brand awareness. Tactics: social media organic + paid reach campaigns, influencer marketing, PR, SEO content. KPI: Impressions, Reach, Brand Search Volume, Video Views.
- MIDDLE OF FUNNEL (MOFU) — Consideration: Goal = engage and nurture interested prospects. Tactics: retargeting ads, email nurture sequences, comparison content, product demo videos, webinars. KPI: CTR, Email Open Rate, Time on Site, Lead Conversion Rate.
- BOTTOM OF FUNNEL (BOFU) — Conversion: Goal = convert prospects to paying customers. Tactics: PPC conversion campaigns, limited-time promotions, live commerce, abandoned cart emails, chatbot sales support. KPI: Conversion Rate, CAC, ROAS, Revenue.

KEY METRIC FORMULAS: CTR = (Clicks ÷ Impressions) × 100 | Conversion Rate = (Conversions ÷ Visits) × 100 | CAC = Total Marketing Spend ÷ New Customers Acquired | CLV = Avg Purchase Value × Purchase Frequency × Customer Lifespan | ROAS = Revenue Generated ÷ Ad Spend | CPM = (Total Ad Spend ÷ Impressions) × 1000

APPENDIX C: OPTIONAL ADVANCED TRACK — DIGITAL AND DATA-DRIVEN MARKETING

Note: Optional Advanced Track — Not Compulsory and Not Directly Assessed

This appendix provides optional advanced learning material for students who wish to deepen their understanding of performance marketing, marketing analytics, AI in marketing, and marketing automation. This content goes beyond the core assessed curriculum but directly prepares students for marketing practitioner roles in Malaysian and global digital marketing environments.

C.1 Performance Marketing Deep-Dive

Performance marketing is a digital advertising model where advertisers pay only for measurable outcomes — clicks, leads, sales, or app installs — rather than for advertising exposure. This results-accountability makes performance marketing attractive for ROI-conscious businesses and has driven its rapid growth in Malaysia.

Search Advertising (Google Ads):

Google Search Ads appear at the top of search results pages when users search for relevant keywords. Advertisers bid on keywords in a real-time auction; ad position is determined by bid amount × Quality Score (ad relevance, landing page quality, expected CTR). Key concepts: keywords (broad match, phrase match, exact match, negative keywords), ad copy (headline, description, display URL), bid strategy (manual CPC, target CPA, target ROAS, maximise conversions). Malaysian application: A Kuching digital agency can run Google Ads targeting "Kuching website design" or "Sarawak marketing agency" to capture high-intent, purchase-ready prospects at relatively low CPCs.

Social Advertising (Meta Ads and TikTok Ads):

Meta Ads (Facebook + Instagram) offer the most granular audience targeting available in Malaysian digital advertising: demographic targeting, interest-based targeting (users who

follow competitors, interest categories), custom audiences (retargeting website visitors, email list upload), and lookalike audiences (finding users who resemble your best customers). TikTok Ads (In-Feed, TopView, Branded Hashtag, Spark Ads) are particularly effective for awareness and consideration among Malaysian youth (18–34). Malaysian digital ad spend context: Malaysia's digital advertising market was valued at approximately RM 2.8 billion in 2023, with Meta and Google commanding approximately 60% of total digital ad spend (MDEC/IAB Malaysia, 2024).

Retargeting/Remarketing:

Retargeting shows ads to users who have previously visited your website or mobile app without converting. Using a tracking pixel (Meta Pixel, Google Tag) placed on your website, the ad platform identifies these users and shows them tailored follow-up ads across the web and social media. Retargeting typically yields 2–5× higher conversion rates than prospecting campaigns, as the audience has already demonstrated interest. For a Malaysian e-commerce brand, retargeting users who viewed a product but did not purchase — with a personalised ad featuring that exact product plus a discount code — is one of the highest-ROI performance marketing tactics available.

C.2 Marketing Analytics Starter

Marketing analytics transforms raw data from marketing activities into actionable insights that drive strategy improvement and investment optimisation.

UTM Tagging:

UTM (Urchin Tracking Module) parameters are tags appended to URLs in marketing campaign links so that analytics tools can identify where each visitor came from. Five standard parameters: utm_source (e.g. "facebook", "google", "email"); utm_medium (channel type: "cpc", "social", "email"); utm_campaign (campaign name: "ramadan2025", "sarawakfresh_launch"); utm_content (creative variant: "carousel_ad_v2"); utm_term (paid search keyword, optional). Example: https://sarawakfresh.com/shop?utm_source=facebook&utm_medium=cpc&utm_campaign=r

amadan2025. Without UTM tags, all campaign traffic appears as "Direct" in GA4, making ROI attribution impossible. UTM tagging is the foundation of accurate marketing analytics.

GA4 Basics:

Google Analytics 4 (GA4) is the current version of Google Analytics. It uses an event-based data model (every user interaction — pageview, scroll, click, purchase — is tracked as an event with parameters), replacing the session-based model of Universal Analytics. Key GA4 reports: Acquisition (where visitors come from, broken down by source/medium/campaign — fed by UTM tags); Engagement (pages viewed, time on site, events triggered); Monetisation (e-commerce revenue, conversion events); Retention (returning vs new users). GA4 integrates with Google Ads for bidding optimisation and with Looker Studio for custom dashboard reporting. For a Malaysian SME, GA4 is free, powerful, and essential for understanding which marketing channels drive website traffic and conversions.

Simple Campaign Tracking Spreadsheet:

For SMEs without a full analytics stack, a simple spreadsheet can track campaign performance. Recommended columns: Campaign Name | Channel | Start Date | End Date | Total Budget (RM) | Impressions | Clicks | CTR (%) | Conversions | Conversion Rate (%) | Revenue Generated (RM) | CAC (RM) | ROAS | Notes. Update weekly from ad platform dashboards (Meta Ads Manager, Google Ads, TikTok Ads Manager) and GA4. This structure allows quick identification of which campaigns deliver the best ROI and enables budget reallocation toward top performers.

C.3 AI in Marketing

Artificial intelligence is rapidly transforming marketing practice in Malaysia and globally. Key applications include:

AI-Powered Copy and Content Tools:

ChatGPT (OpenAI), Jasper, and Copy.ai can generate marketing copy (ad headlines, email subject lines, product descriptions, social media captions) at scale. Malaysian marketers use

these tools to produce multilingual content (English/Bahasa Malaysia/Mandarin) quickly. Canva AI integrates generative AI for graphic design — allowing non-designers to create professional social media visuals. Limitations: AI-generated copy may lack brand voice consistency, cultural nuance, or factual accuracy — all AI content requires human review and editing before publication.

AI Image Generation:

Tools like Canva AI (Magic Media), Adobe Firefly, and Midjourney can generate product imagery, lifestyle visuals, and social media graphics from text prompts. These tools reduce the cost of visual content creation for Malaysian SMEs that cannot afford professional photography. However, AI-generated images raise copyright, representation, and authenticity considerations — Malaysian audiences may respond negatively to generic or culturally inappropriate AI visuals.

AI-Powered Ad Optimisation:

Meta Advantage+ (formerly Automated Ads) and Google Performance Max are AI-driven campaign types that automatically allocate budget across audiences, placements, and creative variations to maximise conversions. These systems use machine learning to identify the highest-performing combinations faster than manual management. Malaysian marketers running campaigns on Meta Ads Manager increasingly use Advantage+ Shopping Campaigns for e-commerce brands, achieving 10–20% lower CAC compared to manual campaign management (Meta, 2024).

Ethical Considerations and PDPA Compliance:

The use of AI in marketing raises significant ethical and legal considerations in Malaysia. The Personal Data Protection Act 2010 (PDPA) requires businesses to obtain consent before collecting, processing, or transferring personal data, including online behavioural data used for ad targeting. Sending customer data (email lists, CRM records) to external AI platforms (ChatGPT, Jasper) may violate PDPA if customer consent has not been obtained for third-party data sharing. Businesses must also be transparent with customers about personalisation — automated decisions affecting customers should be explainable. i-CATS students are expected

to demonstrate awareness of these obligations in assessments involving digital marketing strategy.

C.4 Marketing Automation Introduction

Marketing automation uses software to automate repetitive marketing tasks, enabling businesses to deliver personalised, timely communications at scale without manual intervention for each interaction.

Email Drip Campaigns:

A drip campaign is a sequence of automated emails sent to prospects or customers based on specific triggers (sign-up, download, purchase, abandonment). Example sequence for a Malaysian e-commerce SME: Email 1 (Day 0, immediately after sign-up): Welcome email with 10% discount code. Email 2 (Day 3): Brand story and product highlights. Email 3 (Day 7): Customer testimonials and social proof. Email 4 (Day 14): "You left something behind" abandoned cart reminder (if applicable). Email 5 (Day 21): Personalised product recommendation based on browsing behaviour. Tools: Mailchimp (free tier up to 500 contacts), HubSpot (free CRM + email), and Klaviyo (popular with Malaysian Shopify stores).

WhatsApp Business API and Chatbots:

WhatsApp has extraordinary penetration in Malaysia — approximately 88% of smartphone users use WhatsApp regularly. The WhatsApp Business API enables businesses to automate WhatsApp messaging at scale: order confirmations, shipping notifications, customer service chatbots, appointment reminders, and broadcast promotions to opted-in customers. Malaysian SMEs increasingly use WhatsApp as a primary customer engagement channel, often replacing email for transaction-related communications. Chatbot platforms like Chatfuel, ManyChat (for Instagram/Facebook DM automation), and WhatsApp-compatible solutions can handle frequently asked questions, qualify leads, and escalate complex queries to human agents — reducing customer service costs while maintaining responsiveness.

CRM Integration:

A Customer Relationship Management (CRM) system centralises all customer interaction data — contact information, purchase history, support tickets, marketing campaign engagement — in a single platform accessible to sales, marketing, and service teams. HubSpot free CRM is widely used by Malaysian SMEs and integrates natively with HubSpot email marketing, website analytics, and live chat. Proper CRM usage enables: personalised outreach based on customer history; accurate customer lifetime value (CLV) calculation; identification of at-risk customers (who have not purchased recently) for reactivation campaigns; and clear attribution of revenue to specific marketing activities.

C.5 Advanced Caselet: SarawakFresh — Performance Marketing and Automation

Case: SarawakFresh (Hypothetical)

SarawakFresh is a hypothetical (but realistic) online fresh produce marketplace connecting Sarawak farmers to urban consumers in Kuching and Miri. Founded in 2023 by two graduates of i-CATS University College, SarawakFresh offers same-day delivery of locally grown vegetables, fruits, and Dayak heritage food products sourced directly from smallholder farms in the Kuching division, Serian, and Kota Samarahan. Their mission is to shorten the supply chain, give farmers better margins, and provide urban Sarawakians with fresh, traceable, locally grown food.

Note: This caselet is hypothetical but based on realistic market conditions, technology tools, and marketing data for Malaysia/Sarawak circa 2024–2025. It is intended as an illustration of how the digital marketing concepts in Appendix C apply in practice.

The SarawakFresh Marketing Funnel:

SarawakFresh uses a full-funnel digital marketing approach, with distinct tactics for each funnel stage. At the top of funnel (TOFU), they run TikTok Organic videos ("meet the farmer" content, recipe videos using Sarawak produce) and boosted Instagram Reels targeting Kuching/Miri residents aged 25–45 with interests in "organic food", "local food", and "sustainability". These posts average 15,000 organic views per week, driving profile visits and website traffic. At the middle of funnel (MOFU), visitors who view the website but do not

register receive retargeting ads on Facebook/Instagram showing a "Fresh from Sarawak farm to your table" carousel with a 15% first-order discount for new sign-ups. Email leads collected through a "Free recipe guide" lead magnet are entered into a 7-email welcome drip sequence via Mailchimp. At the bottom of funnel (BOFU), Google Shopping Ads target users searching "fresh vegetables delivery Kuching" and "organic fruits Miri". Cart abandonment emails are sent automatically 2 hours and 24 hours after abandonment. WhatsApp Business broadcasts are sent to opted-in customers on Sundays announcing the coming week's harvest availability.

SarawakFresh UTM Setup:

Campaign	UTM Source	UTM Medium	UTM Campaign	UTM Content
TikTok organic boost	tiktok	social	awareness_oct2025	farmer_story_v1
Instagram retargeting	facebook	cpc	retargeting_oct2025	carousel_15off
Google Shopping	google	cpc	shopping_oct2025	fresh_veg_miri
Mailchimp welcome email	mailchimp	email	welcome_drip	email3_testimonials
WhatsApp broadcast	whatsapp	social	weekly_harvest	oct_w3_2025

Key Metrics (Month 6, Oct 2025):

Metric	Value	Calculation
Monthly Website Visitors	8,400	GA4 — Sessions report
Conversion Rate (visitor to first order)	3.2%	269 orders ÷ 8,400 visitors × 100
Average Order Value (AOV)	RM 68	Total revenue ÷ orders

Total Monthly Revenue	RM 18,292	269 orders × RM 68 AOV
Total Marketing Spend	RM 3,200	Meta Ads (RM 1,800) + Google Ads (RM 1,000) + Mailchimp (RM 400)
Customer Acquisition Cost (CAC)	RM 11.89	RM 3,200 ÷ 269 new customers
Estimated CLV (12 months)	RM 408	RM 68 AOV × 6 orders/year average
ROAS (Revenue ÷ Ad Spend)	5.7×	RM 18,292 ÷ RM 3,200

Strategic Takeaway:

SarawakFresh's CLV (RM 408) is 34× its CAC (RM 11.89), indicating a highly efficient customer acquisition model — every RM spent acquiring a customer returns RM 34 in lifetime value. The ROAS of 5.7× means every RM 1 spent on advertising returns RM 5.70 in revenue. These metrics justify continued investment in performance marketing and automation. The next strategic challenge is scaling order volume from 269 to 1,000+ orders per month without proportionally increasing CAC — achievable through better MOFU nurture (improving the email drip sequence open rate from 22% to 35%), referral programme implementation (offering RM 10 voucher for each referral that converts), and expanding Google Shopping to target Miri more aggressively. This caselet illustrates how the concepts across Appendix C — UTM tagging, analytics, AI content tools, automation, and performance marketing — integrate into a coherent, measurable digital marketing system for a Sarawak-based startup.